

NSE Clearing Limited



30th

Thirtieth Annual Report
2024-25

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CORPORATE INFORMATION

BOARD OF DIRECTORS

Non - Independent, Executive



Mr. Vikram Kothari
(Managing Director & CEO)

S

Non - Independent Director, Non - Executive



Mr. Ian Desouza

A C



Mr. Piyush Chourasia

R

Public Interest Director, Non - Executive



Mr. Abhaya Hota
(Chairperson)

R N A



Mr. Gopalkrishna Hegde

N A C S



Mrs. Priti Savla

A C R S



Dr. Golaka Nath

C N R



Mr. Jayant Haritsa

S A R N

Board Committees

● - Chairperson ● - Member

- A - Audit Committee
- C - Corporate Social Responsibility Committee
- N - Nomination & Remuneration Committee
- R - Risk Management Committee
- S - Stakeholder Relationship Committee

Total No. of
Board Members



Average Age (years)



Board Independence (%)



BRIEF PROFILE OF THE DIRECTORS

Mr. Abhaya Hota
Chairperson, PID

Mr. Abhaya Hota is well known in banking and financial services for his contribution in Payment and Settlement System as Head of Payment Systems Department in Reserve Bank of India (2005-2008) and thereafter as the Managing Director & CEO of National Payments Corporation of India (2009-2017). He combines the experience of a regulator & operator in payments systems space and has dedicated major part of his career towards technology, clearing and settlement systems.

Dr. Golaka Nath
PID

Dr. Golaka Nath comes with an extensive work expertise in financial product markets covering Debt, Equity, Forex & Derivatives, Data Analytics, Financial Benchmarks developments, Information Technology, application of Technology in business, specific Software skill, proven at both a strategic and operational level. He is presently working as Professor & Dean, School of Economics at XIM University.

Mr. G S Hegde
PID

Mr. G S Hegde has a wide experience in handling litigation, providing legal advice, negotiating contracts and vetting documents. After completing LL.M from Columbia University, New York, he served as an in-house lawyer at the Reserve Bank of India for over 30 years. During his period there, he was closely associated with the legal services related to the Payment and Settlement Systems and Government Securities. He currently works as a consultant at Amarchand Mangaldas and Co., law firm.

Mr. Jayant Haritsa
PID

Mr. Jayant Haritsa is an alumnus of IIT Madras, he holds a PhD in Computer Science from University of Wisconsin – Madison. He has worked for over 30 years at the Indian Institute of Science, Bangalore and currently is a professor in Department of Computational & Data Sciences and Department of Computer Science & Automation. He is involved in the research and teaching in database system. He specializes in the field of technology research.

Mrs. Priti Savla
PID

Mrs. Priti Savla has an exposure over 20 years in areas of audit, strategic planning, business advisory, process set up, risk mitigation & finance. She was a panel member in SEBI - Committee for review of Takeover Regulations. She is also a Central Council Member of the Institute of Chartered Accountants of India. She is currently a partner at KPB & Associates, Chartered Accountants.

Mr. Ian Desouza
NID

Mr. Ian Desouza is Chief Financial Officer at the National Stock Exchange of India Limited. He carries over 26 years of experience in the Banking & BFSI domain with experience in strategy, cost optimization, profitability / productivity enhancement, financial controllership & implementation of internal control frameworks. Mr. Ian Desouza is a Chartered Accountant, ICWA and holds degree of Master of Management Studies (Finance) from Mumbai University.

Mr. Piyush
Chourasia
NID

Mr. Piyush Chourasia is the Chief Regulatory Officer - Member Compliance, Surveillance, Member Inspection & Investigation at the National Stock Exchange of India Limited. He has extensive experience and knowledge in capital markets and exchange sector with expertise in Risk, Policy, Strategy, Product Development, Operations, Systems & Processes and Compliance. He is part of multiple Committees and Working groups at Securities and Exchange Board of India (SEBI) and Reserve Bank of India (RBI). He has also contributed to various Government Committees and reports on financial markets, as well as to various IOSCO, WFE and CCP12 Committees and Working Groups. Mr. Piyush Chourasia is a postgraduate from IIM, Ahmedabad and is also a B. Tech graduate (Electrical & Electronics), from NIT Nagpur.

Mr. Vikram Kothari
MD & CEO

Mr. Vikram Kothari is a Chartered Accountant & Cost Accountant. He has been appointed as the Managing Director of the NSE Clearing Limited since 2017. He comes with a wide range of knowledge and experience in the field of Capital Markets. In his career, he has headed major critical operations like Trade Operations, Clearing & Settlement & Risk Management. He has served various organisations in formulating strategies, driving sales, client management, client delivery and compliance. During his career Mr. Kothari was associated with Companies like The Hong Kong And Shanghai Banking Corporation Limited (HSBC Ltd), ICICI Bank Limited and JP MORGAN Chase Bank.

MANAGEMENT TEAM

Ms. Rana Usman	: Clearing & Settlement
Mr. Huzefa Mahuvawala	: Risk Management
Mr. Uppili Krishnan Srinivasan	: Technology - Applications & Development
Ms. Hima Bindu Vakkalanka	: Operations Risk & Strategic Projects
Mr. Aniket Bhanu	: Research & Policy
Mr. Amit Pujara	: Regulatory & Compliance
Mr. Pradeep Mukilmaridur	: Legal
Mr. Nilesh Tinaikar	: Business Solution Group
Mr. Thomas Cherian	: Technology - Operations
Ms. Irsha Kale	: Human Resource
Mr. Vijayakumar Chandrasekaran	: Cyber & Information Security

CHIEF FINANCIAL OFFICER

Mr. Hardik Parikh

COMPANY SECRETARY

Mr. Ravin Tank

STATUTORY AUDITORS

M/s. Khandelwal Jain & Co.

Chartered Accountants

12-B, Baldota Bhavan, 5th Floor, Maharshi Karve Road,
Churchgate, Mumbai - 400 020

SECRETARIAL AUDITORS

M/s. Mehta and Mehta

Company Secretaries

201-206, Shiv Smriti, 2nd Floor, 49A, Dr. Annie Besant Road,
Above Corporation Bank, Worli, Mumbai - 400 018

REGISTERED OFFICE

"Exchange Plaza"

Plot No. C-1, Block 'G', Bandra Kurla Complex
Bandra (East), Mumbai - 400 051

REGISTRAR & TRANSFER AGENTS

MUFG Intime India Private Limited

(Formerly known as Link Intime India Private Limited)

C-101, 247 Park, L.B.S Marg,
Vikhroli (West), Mumbai - 400 083

BOARD'S REPORT

To,
The Shareholders,

Your Directors' have pleasure in presenting this Thirtieth Annual Report of NSE Clearing Limited (referred herein as the 'NCL' or 'NSE Clearing' or 'the Company') along with the Audited Financial Statements for the financial year (F.Y.) ended March 31, 2025.

1 STATE OF COMPANY'S AFFAIRS - OPERATIONS

1.1 Capital Market (CM) Segment

During the period F.Y. 2024-25, NSE Clearing completed 249 normal settlements in de-materialised mode. The average daily value of securities settlement was ₹ 30,011.94 crores in F.Y. 2024-25 compared to ₹ 22,374.13 crores in F.Y. 2023-24. The average daily funds settlement was ₹ 7,144.22 crores in F.Y. 2024-25 compared to ₹ 5,297.39 crores in F.Y. 2023-24. The average number of shares deliverable was about 10,642 lakhs in F.Y. 2024-25 compared to 9,530 lakhs in F.Y. 2023-24. Short deliveries per settlement averaged around 0.09% in F.Y. 2024-25 as compared to 0.12% in F.Y. 2023-24.

Table No. 1:

	F.Y. 2024-25	F.Y. 2023-24
Average daily value of securities pay-in (₹ in crores)	30,011.94	22,374.13
Average daily funds pay-in (₹ in crores)	7,144.22	5,297.39
Average daily quantity deliverable (in lakhs)	10,642	9,530
Average daily short delivery quantity	0.09%	0.12%
% of Delivery to cleared quantity	22.60%	20.80%
% of Delivery to cleared value	24.68%	25.31%
Highest clearing turnover value (₹ in crores)	2,93,827.36	1,91,602.48
Highest deliverable value (₹ in crores)	67,658.46	69,476.54

The highest clearing turnover value of ₹ 2,93,827.36 crores was on June 04, 2024. Highest deliverable value of ₹ 67,658.46 crores was observed on September 02, 2024. The percentage of number of shares deliverable to number of shares cleared increased to 22.60% in F.Y. 2024-25 from 20.80% in F.Y. 2023-24. The percentage of value of shares deliverable to value of shares cleared decreased to 24.68% in F.Y. 2024-25 from 25.31% in F.Y. 2023-24.

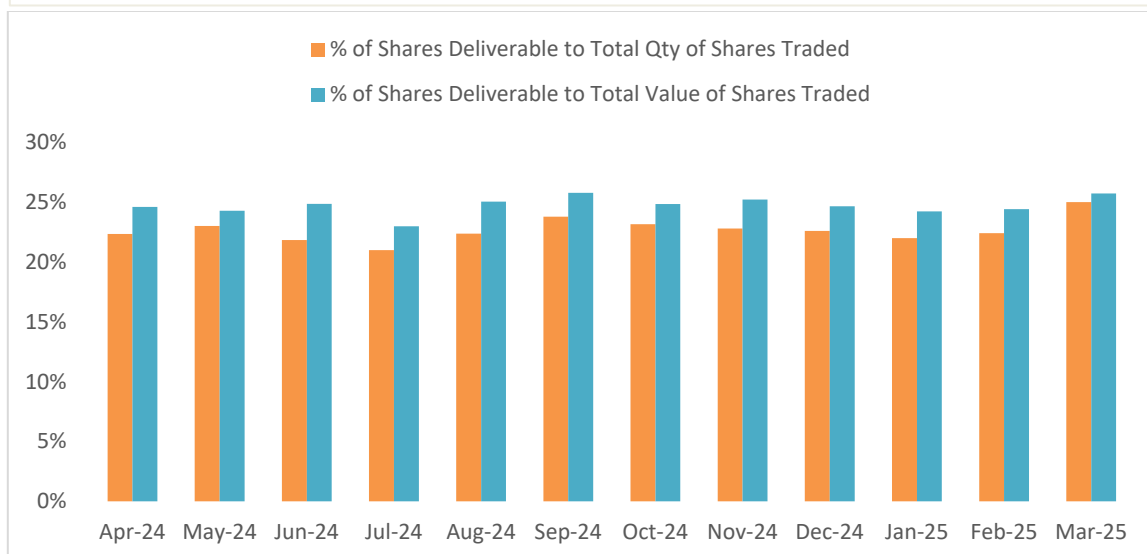
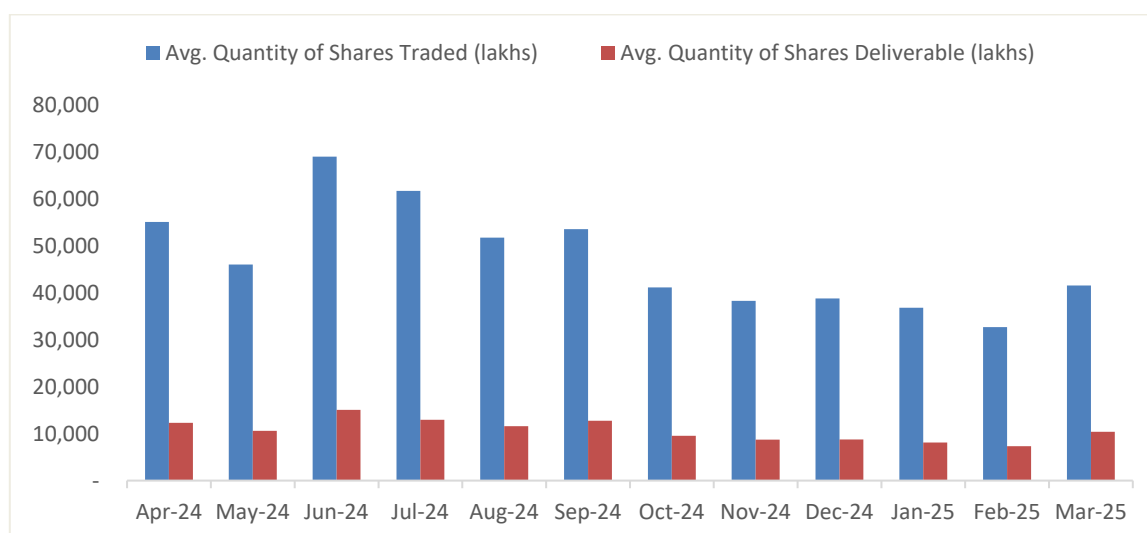
The Core Settlement Guarantee Fund for CM Segment stood at ₹ 467.40 crores as of March 2025.

The details of month wise average daily clearing turnover and settlements carried out by NSE Clearing are presented in the table no. 2 and chart below.

Table No. 2:

Month	Quantity of Shares Cleared (in lakh)	Quantity of Shares Deliverable (in lakhs)	% of Shares Deliverable to Total Shares Cleared	Value of Shares Cleared (₹ in crores)	Value of Shares Deliverable (₹ in crores)	% of Delivery to Value of Shares Cleared	% of Short Delivery	Funds-Pay In (₹ in crores)	No. of settlements
Apr-24	55,074.49	12,304.16	22.34	1,14,272.65	28,119.03	24.61	0.05	6,598.43	20
May-24	46,010.12	10,591.80	23.02	1,15,628.76	28,084.84	24.29	0.15	5,921.02	22
Jun-24	68,953.10	15,059.25	21.84	1,70,266.70	42,322.61	24.86	0.10	11,325.07	19
Jul-24	61,684.12	12,953.94	21.00	1,50,986.92	34,706.85	22.99	0.14	7,129.76	22
Aug-24	51,734.68	11,577.07	22.38	1,31,535.60	32,941.75	25.04	0.10	7,829.51	21
Sep-24	53,520.78	12,730.88	23.79	1,36,425.30	35,181.82	25.79	0.10	8,563.75	21
Oct-24	41,121.12	9,522.11	23.16	1,14,610.75	28,471.04	24.84	0.09	7,297.33	22
Nov-24	38,249.11	8,719.36	22.80	1,08,087.52	27,261.97	25.22	0.10	7,067.70	19
Dec-24	38,773.76	8,764.20	22.60	1,12,314.78	27,696.81	24.66	0.06	5,380.86	21
Jan-25	36,792.30	8,094.76	22.00	1,02,571.32	24,857.18	24.23	0.08	6,090.99	23
Feb-25	32,676.72	7,325.54	22.42	95,281.21	23,268.26	24.42	0.04	5,617.06	20
Mar-25	41,539.37	10,386.83	25.00	1,08,716.83	27,968.33	25.73	0.05	7,375.28	19

Note: Data for Normal Settlements across all exchanges & volumes on single side



1.2 F&O Segment

The Average daily clearing turnover in F.Y. 2024-25 increased by 30.34% to ₹ 2,46,386.41 crores from ₹ 1,89,036.50 crores in F.Y. 2023-24. The average daily funds pay-in increased by 87.81% to ₹ 2,342.40 crores in F.Y. 2024-25 from ₹1,247.19 crores in F.Y. 2023-24. The highest clearing turnover was ₹ 6,79,150.26 crores witnessed on June 04, 2024. The highest funds pay-in was ₹ 19,864.22 crores witnessed on June 05, 2024.

Table No. 3: (₹ in crores)

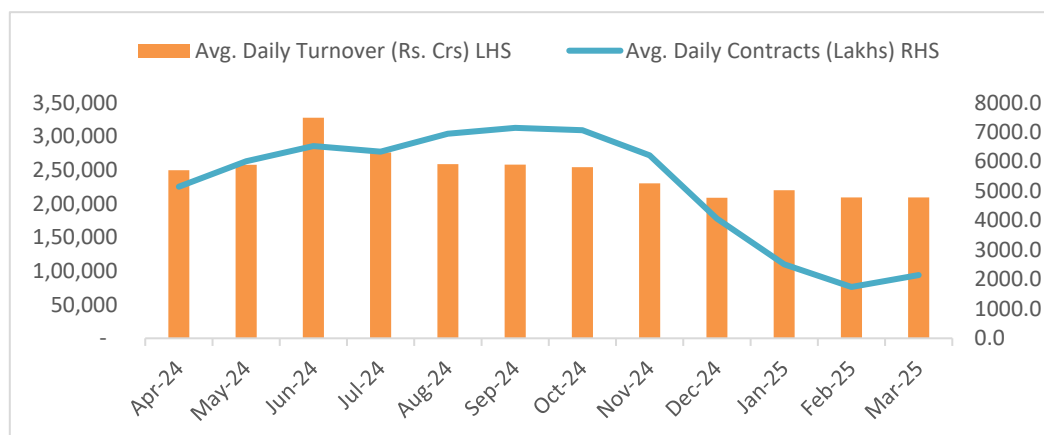
	F.Y. 2024-25	F.Y. 2023-24
Average daily clearing turnover	2,46,386.41	1,89,036.50
Average daily Funds Pay-in	2,342.40	1,247.19
Highest clearing turnover	6,79,150.26	4,99,881.12
Highest funds Pay-in	19,864.22	6,991.84

The Month-wise details of average daily clearing turnover and settlement values during the financial year April 01, 2024 to March 31, 2025, are tabulated below:

Table No. 4:

Month	Average Daily Number of Contracts Cleared (in lakhs)	Average Daily Clearing Turnover (₹ in crores)	Average Daily Funds Pay-in (₹ in crores)
Apr-24	5,143.60	2,49,508.31	1,610.39
May-24	6,008.31	2,57,590.03	2,043.41
Jun-24	6,524.00	3,27,398.11	3,466.85
Jul-24	6,331.63	2,75,820.11	1,824.98
Aug-24	6,942.65	2,58,443.66	2,361.99
Sep-24	7,140.85	2,57,819.37	1,995.09
Oct-24	7,063.81	2,54,117.37	2,694.33
Nov-24	6,210.26	2,30,149.36	2,714.28
Dec-24	4,064.47	2,08,716.53	1,881.09
Jan-25	2,510.62	2,19,887.46	2,970.75
Feb-25	1,742.14	2,09,190.19	2,454.29
Mar-25	2,144.62	2,09,224.04	2,148.12

Note: Clearing turnover and contracts are across all exchanges on single side.



The Core Settlement Guarantee Fund for F&O Segment stood at ₹ 11,192.62 crores as of March 2025.

1.3 Settlement - Currency Derivatives (CD) Segment

The F.Y. 2024-25 witnessed a decrease of 87.85% in the average daily clearing turnover to ₹ 3,620.74 crores from ₹ 29,796.85 crores. The highest clearing turnover value during this period was ₹ 26,765.24 crores witnessed on April 02, 2024, with total of 96.51 contracts being cleared. The highest funds pay-in was ₹ 175.61 crores witnessed on January 14, 2025.

Table No. 5:

(₹ in crores)

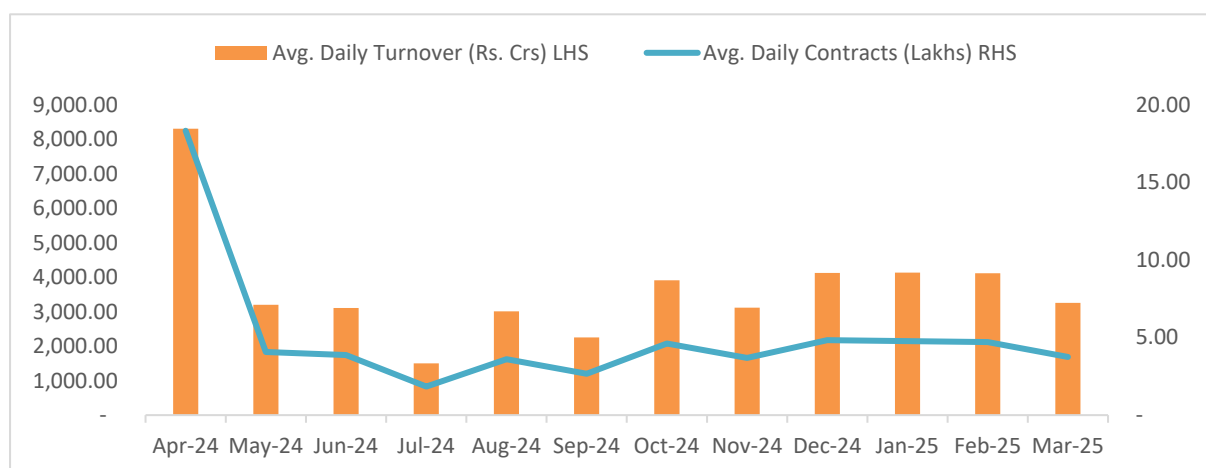
	F.Y. 2024-25	F.Y. 2023-24
Average daily clearing turnover	3,620.74	29,796.85
Average daily Funds Pay-in	20.05	34.17
Highest Clearing turnover	26,765.24	96,620.51
Highest Funds Pay-in	175.61	147.11

The details of average daily clearing turnover and month-wise settlement values during the financial year April 01, 2024, to March 31, 2025, are tabulated below:

Table No. 6:

Month	Average Daily No. of Contracts Cleared (in lakhs)	Average Daily Clearing Turnover (₹ in crores)	Average Daily Funds Pay-in (₹ in crores)
Apr-24	18.32	8,304.83	23.65
May-24	4.07	3,200.12	15.65
Jun-24	3.87	3,104.79	27.00
Jul-24	1.84	1,501.61	7.00
Aug-24	3.60	3,006.72	11.88
Sep-24	2.67	2,251.05	10.24
Oct-24	4.62	3,906.49	8.01
Nov-24	3.69	3,115.62	17.03
Dec-24	4.83	4,120.37	28.78
Jan-25	4.77	4,131.59	30.64
Feb-25	4.70	4,111.48	40.94
Mar-25	3.75	3,254.76	23.50

Note: Clearing turnover and contracts are across all exchanges on single side



The Core Settlement Guarantee Fund for CD Segment stood at ₹ 375.21 crores as of March 2025.

1.4 Securities Lending and Borrowing Market

NSE Clearing is an Approved Intermediary (AI) with SEBI. In F.Y. 2024-25, the average daily value clearing turnover increased by 34.21% to ₹ 208.29 crores from ₹ 155.20 crores as compared to the previous F.Y. 2023-24. During F.Y. 2024-25, securities cleared in SLBS increased from 502 in previous F.Y. 2023-24 to 689.

1.5 Debt Market

1.5.1 Over the Counter

The average daily settlement value at NSE Clearing for OTC trades cleared in Corporate Bonds, Certificate of Deposits and Commercial Papers during the F.Y. 2024-25 stands at ₹ 6,032 crores, ₹ 6,503 crores and ₹ 3,699 crores, respectively. The highest settlement value, during this period, of ₹ 39,768.88 crores (across all debt instruments) was recorded on trade date March 11, 2025.

The month-wise average daily settlement statistics for debt instruments are as under:

Table No. 7:

(₹ in crores)

Month	Corporate Bonds	Commercial Papers	Certificate of Deposits	State Development Loans	Government Securities	Total
Apr-24	4,551.62	4,824.79	2,494.38	30.73	5.02	11,906.53
May-24	5,382.05	5,994.56	3,898.96	16.34	4.25	15,296.16
Jun-24	5,157.45	4,789.35	3,293.99	25.45	7.47	13,273.71
Jul-24	5,467.33	3,622.01	2,662.55	69.28	7.07	11,828.23
Aug-24	5,917.04	5,083.75	3,857.87	20.11	4.13	14,882.91
Sep-24	6,415.63	5,802.10	4,025.91	20.55	9.62	16,273.81
Oct-24	5,904.52	6,373.35	3,051.88	35.16	8.16	15,373.07
Nov-24	5,124.60	5,459.64	3,812.61	35.70	2.70	14,435.26
Dec-24	5,725.67	9,983.70	4,528.92	69.20	2.48	20,309.97
Jan-25	5,111.34	6,998.26	2,419.15	55.80	2.24	14,586.81
Feb-25	7,298.59	8,840.18	5,000.12	9.70	6.55	21,155.14
Mar-25	10,631.31	10,466.09	5,756.65	40.13	4.90	26,899.08

During F.Y. 2024-25, NSE Clearing settled 161 repo trades on corporate bonds valuing ₹ 11,856.91 crores as compared to 770 repo trades valuing ₹ 69,422.5 crores settled in the previous F.Y. 2023-24.

1.5.2 Exchange Traded

During F.Y. 2024-25 average daily corporate bonds traded on exchange traded platform (CM Segment) was ₹ 30.35 crores.

1.6 Mutual Fund Service System (MFSS)

As on March 31, 2025, 45 mutual fund houses were enabled under the MFSS. During F.Y. 2024-25 the average daily subscription, redemption and switch-in/out was ₹ 54.44 crores, ₹ 89.56 crores and ₹ 15.31 crores, respectively.

1.7 Risk Management

1.7.1 Capital Market & Securities Lending & Borrowing segments

NSE Clearing has placed utmost focus on risk management by putting in place an On-line Position monitoring system which has successfully and efficaciously addressed the market risks. Margins are computed on an on-line real time basis at client level. The Value at Risk (VaR) Margins are applied which is statistically arrived at covering 99% value at risk.

1.7.2 Futures & Options, Currency and Commodity Derivatives segments

NSE Clearing has in place many risk management measures including monitoring of exposure on a real time basis through the system called PRISM (Parallel Risk Management System) and also end of day monitoring of client level exposures.

The most critical component of PRISM is the online real time client level portfolio-based margining and monitoring system. The robustness of the system is time tested and has proved its efficient handling of volatile situations effectively, on numerous occasions in the past and especially on highly volatile days in the year. The actual margining and position monitoring is done on-line, on an intra-day basis. NSE Clearing uses the SPAN (Standard Portfolio Analysis of Risk) system for the purpose of margining, which is a portfolio-based system.

SPAN is a registered trademark of the Chicago Mercantile Exchange, used herein under License. The objective of SPAN is to identify overall risk in a portfolio of futures and options contracts for each member. The system treats futures and options contracts uniformly, while at the same time recognising the unique exposures associated with options portfolios like extremely deep out-of-money short positions and inter-month risk. SPAN is used to determine the largest loss that a portfolio might reasonably be expected to suffer from one day to the next day. The parameters used in the computation of margins are revised six times a day.

1.8 New Initiatives and Developments

I. Introduction of custodian participation in T+0 settlement cycle

The beta version of optional T+0 settlement cycle, introduced with effect from March 28, 2024, was enabled only for non-custodian clients. Since February 10, 2025 the same has been extended to allow trades to be executed for custodial clients as well, thereby providing greater market participation in the optional T+0 settlement cycle.

II. API based mechanism for early pay-in of securities

Early pay-in instructions were received by NCL through files from depositories. NCL along with Central Depository Services (India) Limited (CDSL) has implemented Application Programming Interface (API) messages for communication of early pay-in of securities. This has helped in implementing a seamless flow of early pay-in instructions while providing

encrypted communication between the clearing corporation and the depository. Similar API based mechanism for early pay-in of securities between National Securities Depositories Limited (NSDL) and NCL is under testing.

III. API for receiving securities in pledge repledge mechanism

NCL accepts collaterals in form of securities like equity shares, units of mutual fund, corporate bonds, government securities in demat mode through its pledge repledge mechanism. The pledge instructions were received from depositories through files in periodic interval. NCL along with NSDL and CDSL have implemented API which has reduced the processing time for accepting pledged securities and thereby providing timely addition of collateral.

IV. Direct payout of securities to clients' demat accounts

The Market Infrastructure Institutions (MIIs) comprising Exchanges, Clearing Corporations and Depositories successfully implemented the direct payout mechanism for settlement of securities w.e.f. February 2025 under the guidance of SEBI. This enables securities payout to be released directly to the demat accounts of the investors thereby enhancing operational efficiency, transparency and investor protection.

V. Auction for internal shortages

NCL had provided a facility where clearing members could choose to include their internal shortages in the auction conducted by the clearing corporation. With the implementation of direct payout of securities to client demat accounts and as advised by SEBI, any shortages arising due to inter se netting of positions between clients i.e., internal shortages, are now handled through NCL's process of buy-in auction. This has led to operational efficiency and greater accuracy in the identification of internal shortages which was earlier voluntary in nature.

1.9 Other achievements

CRISIL has continued its highest corporate credit rating of 'AAA/Stable' to NSE Clearing Limited. 'AAA/Stable' rating indicates highest degree of strength with regard to honouring debt obligations. NSE Clearing is the first Indian Clearing Corporation to get this rating. The rating reflects NSE Clearing's rigorous risk management controls and adequate settlement guarantee cover.

NSE Clearing has been accorded with this rating for the 17th consecutive year.

1.10 Opportunities and increased coverage

1.10.1 Clearing Members

New Self Clearing Members have been added on Capital Market, F&O & Currency Derivatives segments. Self-Clearing membership was granted to 14 new members in the F&O segment and 15 new members in Capital Market segment. In Currency Derivatives segment, 6 Self Clearing Members have been registered. Clearing membership was granted to 3 new members in F&O segment, 3 in Currency Derivatives Segment and 2 in Capital Market Segment.

Self-Clearing Members also surrendered from Capital Market, F&O & Currency Derivatives segments. 30 such members were surrendered from Capital Market, 14 in F&O segment and 10 in Currency Derivatives segment. Also, 4 Trading cum Clearing Membership surrendered from F&O, 5 in Currency Derivatives segment and 1 in Capital Market Segment.

There were no new addition or removal of Custodian Clearing Members & Professional Clearing Members.

1.10.2 Participants & custodians in SLBM

390 participants, 8 custodian-cum-participants and 5 custodians are registered in SLBM as on March 31, 2025.

1.10.3 Multiple Depositories / Banks

NSE Clearing is electronically connected to both the depositories viz. NSDL and CDSL for securities settlement and 14 clearing banks namely Axis Bank Ltd., Bank of India, Canara Bank, Citibank N.A., HDFC Bank Ltd., Hongkong & Shanghai Banking Corporation Ltd., ICICI Bank, IDBI Bank Ltd., IndusInd Bank Ltd., Kotak Mahindra Bank Ltd., Standard Chartered Bank, State Bank of India, Union Bank of India and JP Morgan Chase Bank for funds settlement.

2 INFORMATION TECHNOLOGY

NSE Clearing successfully delivered many path breaking initiatives across Clearing, Settlement, Risk Management and Collateral functions during F.Y. 2024-25.

- Technology was leveraged effectively to deliver these initiatives by technology architecture revamp, business process re-engineering, technology modernization and process optimizations.
- To achieve the fastest Turn Around Time and error free executions during daily operations, all the processes were automated.
- Automation included data validation as well as process / data sanctity checks along with exception handling to ensure seamless clearing and settlement activities within the shortened settlement cycle.

Key programs during F.Y. 2024-25 across functions are summarized below:

2.1 Clearing & Settlement

▪ Direct payout of securities to client demat accounts

- This regulatory initiative was rolled out to enhance operational efficiency and reduce risks associated with the handling of clients' securities at member end.
- The key highlights of the implementation are as follows:
 - Mandatory Direct Payout: It was mandated that securities for payout must be credited directly to the client's demat account, replacing the previous pooled method used by members.

- Mechanism for Unpaid Securities: Clearing Corporations (CCs) implemented mechanisms for Trading Members to identify unpaid securities and funded stocks under margin trading facilities.
- Handling Internal Shortages: In cases of internal shortages among clients, NCL platforms were enhanced for Trading Members and Clearing Members to handle these through auction processes.
- This necessitated critical technical architecture and design modifications in clearing and settlement platforms.
- It also required performance enhancements due to the increased volume handling expectation in the critical securities payout and auction processing areas.
- This initiative was successfully rolled out effective February 25, 2025.
- **Modernization of Clearing, Settlement, Collateral and Offline Risk Management platforms**
 - NSE Clearing has initiated a program to modernize its existing technology platforms to make them future ready.
 - Discovery phase was initiated as a first phase of this modernization journey with focus on finalizing the next generation solution architecture, technology frameworks and technology stack.
 - The same was successfully completed in October 2024.
 - Additionally, it covered the illustrative business use cases with mapping of new technologies and frameworks implementation.
 - After the successful completion of the discovery phase, the modernization program delivery phase was initiated.
- **API based mechanism for Early Pay-in interface between NSE Clearing and Depositories**
 - As a technology modernization initiative, API based early pay-in interface was implemented between NSE Clearing and depositories.
 - This replaced the earlier file based early pay in mechanism with the depositories.
 - It ensured encrypted Early Pay-in data transfer on a real time basis resulting in operational efficiencies.
 - The same is being rolled out in production environment in close coordination with depositories.
- **T+0 settlement CP confirmation CP Trade facility for Securities Under T+0**
 - There was no facility available for CP trade confirmation by custodians in CM segment for securities under T+0 settlement.
 - As a customer service initiative, same was rolled out during the year.
 - Clearing & Settlement platforms associated with T+0 settlement, were rearchitected to introduce this functionality.
 - Downstream processes in both clearing and settlement were also suitably re-designed to manage the same.
 - Production roll out was successfully carried out in September 2024.

- **Business Process Optimization for Cash Market & Futures & Options daily processing**

- In a continuous endeavor to optimize business processes, strategic initiatives were undertaken in critical Cash Market and Futures & Options segments.
- Total 14 business process optimization initiatives were successfully implemented during the year involving solution architecture / design changes.

2.2 Risk Management & Collateral

- **API based mechanism for Pledge / Repledge interface between NSE Clearing and Depositories**

- As a technology modernization initiative, API based Pledge / Repledge interface was implemented between NSE Clearing and depositories.
- This replaced the earlier file-based pledge / Repledge mechanism with the depositories.
- It ensured encrypted pledge / Repledge data transfer on a real time basis resulting in operational efficiencies.
- The same is being rolled out in production environment in close coordination with depositories.

- **Business Process Optimization for Collateral processing**

- In a continuous endeavor to optimize business processes, strategic initiatives were undertaken in the Collateral Processing.
- Collateral Allocation Process optimization initiatives were successfully implemented during the year.
- Auto heal implemented across various processes, so that application heals itself in case of any communication failure.

- **Multi-Mother implementation in Risk Management**

- The existing derivative risk management system had reached its capacity limits due to increased volumes. Therefore, it was necessary to redesign the system to handle current and future volume increases while maintaining high throughput and low latency.
- To achieve this, horizontally scalable architecture has been implemented, enabling load distribution across multiple engine instances.
- The production roll-out was planned in two phases. In the initial phase, the online risk engines were upgraded to the Multi-Mother Version to enable horizontal scaling by distributing the load across multiple engine instances. The primary goal of this phase was to ensure that the latest version is deployed and operational before we proceed with scaling up the environment.
- Multi-Mother Capability in the Online Engine was successfully completed across all production environments in January 2025.
- The subsequent phase focused on scaling up the setup to two Mothers by incorporating an additional instance and the necessary configurations. This would ensure effective load distribution across the available engines by allocating Clearing Members based on trade volumes. The goal being to enhance system efficiency and manage the increased load seamlessly.
- The same is being rolled out in the production environment in close coordination with all stakeholders.

▪ Business Process Optimization & Performance Improvements in Risk & C2N

- In a continuous endeavor to optimize business processes, strategic and performance improvements initiatives were undertaken in critical Cash Market and Futures & Options segments. Some of the key initiatives include,
 - NCMS F&O segment CP trade approvals, Inter CC communication, Trade Capturing & handling of CP trade actions
 - Query optimizations to improve trade downloads in Cash & F&O Segments
 - Optimized Margin Feed aimed at enhancing intraday CM and TM Updates in the Risk and NMASS interface.
 - Ongoing rollout of Trades & Actions downloads using improved API Ver. 2.0 in F&O segment
 - Ongoing phase wise migration of Collateral Interfaces from CIM to NMASS
 - Automation of Inter-CC member shifting processes in Risk Management
- This necessitated critical technical architecture and design modifications to achieve performance enhancements essential to manage the increased volume handling expectation in the critical member facing interfaces.

3 HUMAN CAPITAL

We cultivate a work environment that fosters growth, inclusivity, and innovation, underpinned by mutual respect and shared purpose. We provide a wide range of professional development opportunities, place strong emphasis on health and wellness, and invest in building a diverse and inclusive workplace. Our performance driven culture is designed to align individual aspirations with organizational goals, empowering employees to thrive while contributing meaningfully to NSE Clearing's continued success.

F.Y. 2024-25 Highlights



Key Focus Areas

Culture and Values

At NSE Clearing, our culture is deeply rooted in our core values - **Integrity, Customer-focused culture, Passion for Excellence, Trust, Respect, and Care for the individual.** These principles are not just guiding statements but experiences that shape our day-to-day operations and long-term vision. We hold ourselves to the highest standards of ethics and transparency, ensuring that integrity is at the heart of every decision and action we take. We are driven by a passion for excellence, consistently striving to exceed expectations and set benchmarks. We foster an inclusive and collaborative environment where every individual is respected, valued, and supported in their growth.

Building Talent Continuity @NSE Clearing Across Generations

Our workforce is a vibrant blend of generations - ranging from the seasoned experience of Gen X, Gen Y to the fresh perspectives of Millennials and Gen Z. This unique generational mix brings together a diverse array of skills, values, and insights that contribute to our dynamic work culture and operational excellence. Each generation complements the other, fostering an environment of mutual respect, learning, and innovation. This synergy between generations is one of the pillars of NCL's continued success. While mix of Millennials and Gen Z bring in fresh perspectives, digital fluency, and a strong inclination toward innovation and sustainability, helping us adapt quickly to new technologies and emerging trends, at the same time, our senior professionals contribute with deep domain knowledge, strategic thinking, and years of industry experience that provide us stability and long-term vision. This blend of youthful energy and seasoned wisdom ensures that while we remain rooted in strong fundamentals, we are agile enough to lead in a rapidly transforming financial ecosystem. Together, this intergenerational collaboration drives the resilience, relevance, and growth of NSE Clearing as a trusted institution for the nation.

Diversity, Equity and Inclusion (DEI)

At NSE Clearing, we believe that diversity, equity, and inclusion are essential to building a high-performing, future-ready organization. Women represent a strong one-third of our workforce, contributing meaningfully across departments. These professionals bring deep expertise, leadership, and commitment to roles that are critical to the functioning of our markets.

Health, Safety and Wellbeing

At NSE Clearing, employee health, safety, and well-being form a foundational pillar of our people policy framework. We recognize that a thriving workforce is essential to achieving sustainable success, and we are deeply committed to fostering an environment where our people feel safe, supported, and empowered. Our comprehensive approach to well-being is guided by a robust policy that integrates physical health, mental wellness, workplace safety, and work-life balance. We offer a wide range of initiatives including health check-ups, mental health counseling, wellness programs, comprehensive insurance cover and preventive healthcare awareness drives.

Workplace safety remains a top priority, with protocols designed to minimize risk and ensure preparedness in case of emergencies. Periodic safety drills, compliance audits, and training sessions are conducted to maintain a safe and secure working environment.

We also acknowledge the importance of psychological safety and strive to create a culture of openness, respect, and empathy, where employees feel comfortable sharing concerns and seeking help. Through these initiatives, we aim not just to safeguard the health and safety of our employees but to actively promote their holistic well-being, ensuring they feel valued, energized, and equipped to deliver their best every day.

To support the wellbeing of employees and ease the challenges of commuting during peak hours, we introduced Flexible Working Hours. This has helped us to ensure better management of work-life integration and better autonomy over employees' schedules. As part of its employee wellness program, NSE Clearing offers a range of Value-Added Services designed to support the holistic well-being of its workforce. These include doctor consultation, Employees Assistance Program, OPD claims, and access to an on-site gymnasium facility. In addition, NSE Clearing actively fosters a vibrant and inclusive workplace through various employee engagement initiatives as a part of its Staff Welfare Interventions. The organization's people centric policies promote participation in a variety of activities for employees and their families – from family gatherings and festive celebrations to national events, sports and many more. Together, these initiatives help create a supportive, balanced, and thriving work environment.

Engaging employees through communication

Transparent and timely communication is a cornerstone of our people-first approach. Over the past year, we have further strengthened our internal communication channels to ensure that employees remain informed, engaged, and empowered. A key enabler in this journey has been **HR Bytes**, which has evolved into a trusted and go-to reference for all HR-related announcements, including new policies, policy updates, and important organizational communications.

Rewards & Recognition

To foster a culture of appreciation and celebrate everyday excellence, we revived a dedicated **Rewards and Recognition** platform that empowers employees to acknowledge and appreciate each other's contributions in real time. The program is thoughtfully integrated with Group Company's core values, ensuring that every recognition reinforces the behaviors and principles that define our culture. By making appreciation visible and value-driven, the platform has strengthened employee morale, promoted cross-functional collaboration, and enhanced overall engagement across the organization. In this model employees can receive recognitions from peers, managers, and senior management of NSE Clearing.

We celebrate employee contributions through various recognition initiatives that acknowledge exceptional performance and dedication. Regular recognitions throughout the year highlight outstanding achievements, while special milestones honor long-term commitment and loyalty. These efforts reinforce a culture of appreciation and motivate employees to continue excelling within the organization.

Learning and Development

Talent Development Plan for F.Y. 2024-25 aimed to create a future-ready workforce, fostering innovation and resilience. Our focus has been on empowering employees to become agile, skilled, and inspired leaders in the capital markets through digital learning, immersive experiences, and personalized growth paths.

Anchored in our four strategic pillars: **Building Future-Ready Capabilities, Enhancing Workforce Engagement, Empowering Leaders at Every Level, and Enabling Growth-Focused Retention**, we are dedicated to making learning accessible to all. We strive to ensure that every employee has equitable access to meaningful opportunities for growth, development, and success within an inclusive, secure, and enriching environment. The Following Learning and Development initiatives were undertaken by NSE Clearing Limited:

1. **Upskilling & Reskilling:** NCL's commitment to building a future-ready workforce is anchored in its focused approach to upskilling and reskilling, driven by a systematic **Training Need Identification** process that aligns both organizational priorities and individual aspirations.
2. **Blended Learning Ecosystem:** NCL's talent development approach integrates real-world exposure with formal learning tracks. Employees grow through **on-the-job assignments, peer guidance**, and team-based challenges, complemented by expert sessions and digital modules for **just-in-time** learning. The "Exchange 360" Learning Series, offered in-depth operational insights.
3. **Digital Innovation:** By adopting a **digital-first learning ecosystem**, the organization has unlocked flexible, on-demand access to skill-building resources. The revamped platform's intuitive design and personalized content have driven **99% learner adoption** empowering employees to learn what they need, when they need it.
4. **Self-Driven Development:** NSE Clearing empowers employees to own their growth journey. The **Learning Rewards** initiative celebrates consistent learners, inspiring a culture of self-driven development. Additionally, **Saarathi Mentoring Program** pair newcomers with experienced colleagues, fostering smooth onboarding and organic knowledge exchange across teams.
5. **Leadership Development:** Programs like the *Accelerated Leadership Program*, *Women Leaders Program*, and *First-time Managers Program* have equipped leaders with strategic and people management skills.
6. **Career Advancement Support:** Through the **Work Integrated Learning Program (WILP)** and **Employee Education Assistance Program (EEAP)**, employees are supported in obtaining professional degrees and certifications, aligning personal aspirations with organizational goals.

Together, these initiatives reflect NSE Clearing's holistic, digitally enabled, and inclusive talent development strategy for F.Y. 2024–25—one that builds a resilient, future-ready workforce equipped to navigate the complexities of the financial sector.

Financial Wellbeing

We support the financial well-being of our employees through a comprehensive framework that ensures security, and transparency. Our financial benefits include tax management option, life and accident insurance, and robust medical coverage, all designed to provide financial stability for our workforce. We also offer Salary Advance options to support employees facing unforeseen financial needs. Our variable pay program is performance-linked, fostering a high-performance culture while ensuring that management compensation is aligned with organizational objectives. All compensation practices are governed by a strong compliance framework, and we maintain full adherence to statutory regulations, internal audit standards, and disclosure requirements. This holistic approach to financial well-being reinforces our commitment to employee security, motivation, and sustained professional growth.

Performance Management

Our performance management approach emphasizes meritocracy, accountability, and ongoing development. We foster a culture where employees are recognized and rewarded based on their performance and impact. We focus on encouraging excellence and ensuring that rewards are closely aligned with individual achievements and business outcomes. By prioritizing a merit-based and results-driven environment, we continue to strengthen employee motivation and drive organizational success.

Interplay of Capitals

	Human
Financial	Through continuous investment in professional development and leadership capabilities, we strengthen our talent base, boost employee engagement, and optimize the value derived from our human capital.
Intellectual	Our employees' diverse skills and shared knowledge form the bedrock of our intellectual strength. This essential resource drives our ability to craft solutions that meet the evolving demands of our stakeholders, positioning us at the forefront of value creation.
Infrastructure	Modern infrastructure and robust operational framework are thoughtfully designed to foster employee safety, well-being, and continuous development, enabling our workforce to perform at their best and contribute meaningful value to a wide range of stakeholders.
Social & Relationship	By engaging in advocacy and collaboration, our employees can build meaningful connections with society and contribute positively beyond the workplace.
Natural	Environmental responsibility is embedded in our culture, as we proactively engage employees in initiatives that promote stewardship and inspire positive change within the organization and in the wider community.

Sr. No	Name of the Award/Recognition	Recognized By
1	Employers of the Future 2024	Lead Up Universe & Outlook Business
2	1000 Women Leaders Ally Award 2024	Jombay
3	WOW Workplace Award 2025	Jombay
4	Top 50 Future Ready Employers of India 2025	Fortune India and CIEL HR

Image Library

1. L&D Session – Leadership Intervention



2. Festival Celebration



3. Health and Wellness



4. Sports



3.1 Resources committed towards strengthening regulatory functions and towards ensuring compliance with regulatory requirements applicable to Clearing Corporation

As per Schedule II, Part - C of Securities Contracts (Regulation) (Stock Exchanges and Clearing Corporations) Regulations, 2018, departments handling the risk management, member registration, compliance, inspection, enforcement, default, investor protection and investor services functions shall be considered as Regulatory departments in a Clearing Corporation.

The Company has dedicated resources to manage the regulatory departments. There are 97 resources in these functions in various designations. Total cost, including employee related cost, Technology related cost and Space & Infrastructure Cost is ₹ 128.15 crores. Further, there are various committees (which are sub-committees of the Board) to oversee the regulatory functions; these committees comprise members of the Board and external experts, as required.

3.2 Disclosures under Sexual Harassment of Women at Workplace (Prevention, Prohibition & Redressal) Act, 2013

As per the requirements of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 ("the Prevention of Sexual Harassment Act"), the Company has formulated a Policy on Prevention of Sexual Harassment at Workplace for prevention, prohibition and redressal of sexual harassment at workplace and Internal Complaints Committees ("ICC") have also been set up to redress any such complaints received. The Company is committed to providing a safe and conducive work environment to all of its employees and associates. Further, the Policy also gives shelter to contract workers, probationers, temporary employees, trainees, apprentices of the Company and any person visiting the NCL at its office. NCL has zero tolerance on sexual harassment at the workplace. The employees are required to undergo mandatory training/certification on the Prevention of Sexual Harassment Act to sensitize themselves and deepen their awareness.

NCL has constituted ICCs across all relevant locations of the Company in India to consider and resolve sexual harassment complaints reported pursuant to the provisions of the Prevention of Sexual Harassment Act. The role of ICCs is not restricted to mere redressal of complaints but also encompasses prevention and prohibition of sexual harassment. Over the years, NCL has worked extensively on creating awareness on relevance of sexual harassment issues and innovative measures to help employees understand the forms of sexual harassment. NCL periodically conducts sessions for employees across the organization to build awareness about the Policy and the provisions of the Prevention of Sexual Harassment Act. During F.Y. 2024 - 25, the Company did not receive any complaints pertaining to sexual harassment, and accordingly, no complaints were required to be disposed off. Further, there were no cases pending for more than 90 days during F.Y. 2024-25.

The disclosures required to be given under the Prevention of Sexual Harassment Act are given in the following Table No. 8. We are giving the below details based on the POSH annual report filed by us for the year:

Table No. 8:

1	Number of complaints of sexual harassment received in the year	Nil
2	Number of complaints disposed off during the year	Not applicable
3	Number of cases pending for more than 90 days	Nil
4	Number of workshops or awareness programs against sexual harassment carried out	Awareness program for all employees done.
5	Nature of action taken by the employer	Not applicable

4 FINANCIALS

4.1 FINANCIAL RESULTS

The key highlights of standalone and consolidated financial performance of the Company for the financial year ended March 31, 2025, is summarised below:

Table No. 9: (₹ in crores)

Particulars	Standalone		Consolidated	
	2024-25	2023-24	2024-25	2023-24
Income	2,749.98	2,172.23	2,777.05	2,188.91
Expenditure	523.36	385.31	555.58	410.38
Profit before tax and exceptional item	2,226.62	1,786.92	2,221.47	1,778.53
Add/(Less): Exceptional Item	-27.13	-22.88	-27.13	-22.88
Profit before tax	2,199.49	1,764.04	2,194.34	1,755.65
Provision for tax (including deferred tax)	573.84	449.74	573.84	449.74
Profit after tax	1,625.65	1,314.30	1,620.50	1,305.91
Add: Items that will be reclassified to profit or loss	-	-	3.16	0.72
Less: Items that will not be reclassified to profit or loss	-1.73	-1.01	-1.73	-1.10
Add/(less): Income-tax to relating items that will not be reclassified to profit or loss	0.44	0.25	0.44	0.25
Total comprehensive income	1,624.36	1,313.54	1,622.37	1,305.78
Surplus brought forward from previous year	1,197.44	984.73	1,096.96	917.76
Total	2,821.80	2,298.27	2,719.33	2,223.54
Less: Dividend distributed (including DDT) during F.Y. 2023-24 & F.Y. 2022-23	-28.90	-22.50	-28.90	-22.50
Less: Contribution to core SGF (net of tax impact)	-1,421.81	-1,078.33	-1,474.48	-1,103.36
Less: Share issue Expenses	-	-	-	-
Amount available for appropriation	1,371.09	1,197.44	1,212.79	1,097.68

For more details, please refer to 'Management Discussion & Analysis' which forms part of the Board's Report.

4.2 Result of operations and the State of Company's Affairs

During the F.Y. 2024-25, on a standalone basis, the total income of the Company increased to ₹ 2,749.98 crores from ₹ 2,172.23 crores in the previous year and the profit after tax stood at ₹ 1,625.65 crores as against ₹ 1,314.30 crores in the previous year.

During the F.Y. 2024-25, on a consolidated basis, the total income of the Company increased to ₹ 2,777.05 crores from ₹ 2,188.91 crores in the previous year and the profit after tax stood at ₹ 1,620.50 crores as against ₹ 1,305.91 crores in the previous year.

During the F.Y. 2024-25, there has been no change in the nature of business of the Company.

4.3 STANDALONE AND CONSOLIDATED FINANCIAL STATEMENTS

The standalone and consolidated financial statements of the Company for F.Y. 2024-25 are prepared in compliance with the applicable provisions of the Companies Act, 2013 ("Act") and as stipulated by Regulation 33 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), as also in accordance with the Indian Accounting Standards notified under the Companies (Indian Accounting Standards) Rules, 2015. The audited standalone and consolidated financial statements together with the Independent Auditor's Report thereon forms part of this Annual Report.

Pursuant to the provisions of Section 129(3) of the Act read with the Rules made thereunder, a statement containing the salient features of the financial statements of the subsidiary company in Form AOC-1 is attached to the financial statements of the Company as **Annexure - 3**.

Pursuant to the provisions of Section 136 of the Act, the standalone and consolidated financial statements of your Company, along with relevant documents and separate audited accounts in respect of subsidiary, are available on the website of your Company.

Pursuant to the provisions of Section 136 of the Act, financial statements of the subsidiary are available for inspection by Shareholders at the registered office of the Company during business hours. The Company will make available the said financial statements and related detailed information about the subsidiary company upon the request by any shareholder of your Company. Any shareholder desirous of obtaining copies of the audited financial statements may write to the Company at rtank@nsccl.co.in.

4.4 DIVIDEND

The Board of Directors at their meeting held on April 25, 2025 had recommended a final dividend at ₹ 0.20/- per equity share (on the face value of ₹ 10/- each) for the financial year ended March 31, 2025, subject to the approval of the shareholders at the ensuing Annual General Meeting (AGM).

The dividend, if approved, would result in a total cash outflow of ₹ 28.90 crores and shall be paid to those shareholders whose names appear in the Register of Members as on August 15, 2025, being the record date.

Pursuant to the provisions of the Income-Tax Act, 1961, dividend paid or distributed by the Company shall be taxable in the hands of the shareholders. Accordingly, the payment of the aforementioned dividend, if approved, would be subject to deduction of tax at source, as applicable. The dividend will be paid within the statutory timeline prescribed under the Act. The dividend recommended is in accordance with the Dividend Distribution Policy of the Company.

Pursuant to Regulation 43A of the Listing Regulations, the Board of Directors of the Company have adopted a Policy for Distribution of Dividend which is made available on the website of the Company at

https://www.nseclearing.in/sites/default/files/disclosure-doc/2023-04/NCL_Dividend_Policy.pdf

4.5 UNPAID / UNCLAIMED DIVIDEND

As on March 31, 2025, no amount is lying as unpaid / unclaimed dividend.

4.6 TRANSFER TO RESERVES

The Company has not transferred any amount to the Reserves. The entire amount of profits post appropriation is retained in the profit and loss account.

4.7 PARTICULARS OF LOANS, GUARANTEES OR INVESTMENTS UNDER SECTION 186 OF THE ACT

The Company has not given any loan to any person during the financial year. The guarantee provided or investments made by the Company during the financial year are in accordance with the provisions of the Act and the particulars of such guarantee / investments made have been set out in the Notes to Financial Statements which form part of this Annual Report.

4.8 PARTICULARS OF CONTRACTS OR ARRANGEMENTS WITH RELATED PARTIES

During the financial year ended March 31, 2025, all contracts / arrangements / transactions entered into by the Company with related parties were on an arm's length basis and in the ordinary course of business except for the sale of NSE IFSC Clearing Corporation Limited (NSEICC), wholly owned subsidiary, by the Company to NSE IFSC Limited, wholly owned subsidiary of National Stock Exchange of India Limited, which was at arm's length but not in ordinary course of business and the same was approved by the Governing Board, based on the recommendation of the Audit Committee, at its meeting held on January 22, 2025 and by the Shareholders at the Extra ordinary General Meeting held on February 25, 2025 and were in compliance with the applicable provisions of the Act and Listing Regulations. Further, the sale of NSEICC was completed on June 10, 2025.

Further, no contracts/arrangements/transactions which were material, were entered into with related parties in accordance with the Policy on Materiality and Dealing with Related Party Transactions. Pursuant to the provisions of the Act and the Listing Regulations, the Company has formulated a Policy on Materiality and Dealing with Related Party transactions as approved by the Board, which is available on the Company's website at:

<https://www.nseclearing.in/sites/default/files/disclosure-doc/2024-05/Policy%20On%20Materiality%20and%20Dealing%20with%20Related%20Party%20Transactions.pdf>

Pursuant to Section 134(3)(h) read with Section 188 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014, the particulars of contracts or arrangements with related parties are reported in Form AOC-2 and are attached herewith as **Annexure - 1** to this Report.

4.9 DETAILS IN RESPECT OF ADEQUACY OF INTERNAL FINANCIAL CONTROLS WITH REFERENCE TO THE FINANCIAL STATEMENTS

Your Company has laid down a system of internal financial controls with reference to its financial statements. The Company has implemented sound internal control practices across all processes, units and functions. Such processes are well documented with comprehensive and well defined Standard Operating Procedures (SOPs) which, inter-alia, includes the financial controls in the form of maker & checker, strict adherence to financial delegation given by the Board at various levels, systemic controls, information security controls as well as role-based access controls, etc. Further, these controls are periodically reviewed for change management in the eventualities of the introduction of new processes / change in processes, change in the systems, change in personnel handling the activities, etc. Such controls are independently reviewed by the internal auditors / operational reviewers of your Company. The internal financial controls of the Company with respect to the financial statements are adequate and are operating effectively.

The Statutory Auditors have reviewed the internal controls over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India and have issued their audit report thereon.

4.10 SHARE CAPITAL

During the F.Y. 2024-25, there is no change in the capital structure. The details with respect to share capital as on March 31, 2025 are as under:

The Issued, Subscribed and Paid-up equity share capital of the Company as on March 31, 2025 was ₹ 14,45,00,00,000/- (Rupees One Thousand Four Hundred and Forty Five Crores only) divided into 1,44,50,00,000 (One Hundred Forty-Four Crores and Fifty Lakhs) equity shares of face value ₹10/- (Rupees Ten) each. Further, the Company has no convertible securities.

4.11 SUBSIDIARIES, JOINT VENTURES AND ASSOCIATE COMPANIES

NSE IFSC Clearing Corporation Limited (NSEICC), a step-down subsidiary of NSE, wherein 100% share capital is held by NCL, commenced operations as a Clearing Corporation in GIFT International Financial Services Centre (GIFT IFSC), Gandhinagar, Gujarat, India, with effect from June 05, 2017, after receiving approval from SEBI.

The IFSC Authority granted recognition to NSEICC on May 24, 2021, which has been subsequently renewed annually. The paid-up share capital of NSEICC as on March 31, 2025, stood at ₹ 250 Crores comprising 25 Crore equity shares of ₹ 10/- each.

NSEICC clears and settles trades executed on NSE IFSC Limited (NSEIX). NSEICC has the following types of clearing membership – Professional Clearing Member, Trading Cum Clearing Member, and Trading Cum Self Clearing Member. NSEICC has put in place a robust and comprehensive Risk Management System. NSEICC has adopted the best global practices including client-level asset segregation and real-time risk management and adopted the CPMI IOSCO Principles for Financial Market Infrastructures (PFMIs).

Clearing Banks and Depositories are the key link between clearing members and NSEICC for funds and securities settlement. The members are required to maintain and operate a clearing and pool account with any one of the designated clearing banks and depository participants respectively.

There are currently 8 Banks (IBU) empaneled with NSEICC for issuance of collateral and 6 Banks (IBU) for settlement of funds. For settlement of securities, NSEICC has established connectivity with India International Depository IFSC Limited (IIDI), a Depository in IFSC and with Global CSD Clearstream. During the F.Y. 2024-25, NSEICC has incurred a loss of ₹ 5.13 crores as compared to loss of ₹ 8.40 crores. As at March 31, 2025, the net worth of NSEICC stood at ₹ 166.07 crores.

Initiatives and major events during F.Y. 2024-25:

1. NSEIX has introduced a category – Remote Trade Participant (RTP), based on IFSCA guidelines, who can trade in GIFT without having physical presence in GIFT. All the RTPs are required to enter into an agreement with an IFSCA registered Clearing Member for clearing and settlement of its transactions executed on the Stock Exchanges. IFSCA further amended the guidelines, wherein an entity regulated by the securities market regulator in its home jurisdiction (country where it has been incorporated), shall be eligible to be onboarded as RTP. In case if an entity is not regulated by the securities market regulator in its home jurisdiction, it needs to be a member of Stock Exchanges, or such other Stock Exchanges, as may be specified by IFSCA from time to time. IFSCA has also removed the mandatory membership criteria of 1 year under the given list of exchanges.
2. NSEICC has introduced a new facility whereby the clearing member may raise a request for adjustment of available cash collateral deposit, towards their respective funds pay-in obligation via C2N.
3. Settlement cycle for NSE IFSC Receipts on US Stocks has been revised from T+3 to T+2 from September 03, 2024.
4. NSEICC started providing clearing, settlement & Risk Management services for contracts of Corporate Bond Index (FUTCBI) being traded at GIFT (NSEIX) w.e.f. December 30, 2024.
5. NSEICC has introduced a web-based platform as NSEICC OTC Reporting Platform (NORP), for reporting of issuance of Offshore Derivative instrument by non-bank entities in GIFT IFSC. The facility is made available w.e.f. February 03, 2025.
6. NSEICC has successfully carried out Live Clearing & Settlement, Risk Management activities from its Disaster Recovery Site from April 08, 2024, till April 12, 2024, and from December 02, 2024, till December 06, 2024.
7. CARE Rating has reaffirmed the credit rating of 'CARE AAA' to NSEICC. This rating is considered to have the highest degree of safety and carry lowest credit risk.
8. Implementation of near DR site in IFSC in addition to its DR site.
9. Introduced the facility for simpler Institutional Trade Confirmation.

Business Growth for the F.Y. 2024-25:

Over the year, GIFT Nifty has achieved several milestones which include an all-time High Open Interest of 399,188 contracts worth US \$20.84 billion (INR 1,74,275 crores equivalent) as on September 24, 2024.

Operational Updates:

As of March 31, 2025:

1. NSEICC clears and settles derivative contracts on 10 Indices (6 equity indices and 4 corporate bond indices), 7 currency pairs, 209 single stocks, 1 DR Receipt and 50 NSEIFSC Receipts.
2. NSEICC accepts Cash, Fixed Deposit Receipt, Bank Guarantee, and US Treasury Securities as collateral.
3. The total value of the settlement for F.Y. 2024-25 is US \$91.59 million, while the highest monthly settlement in F.Y. 2024-25 was US \$14.54 million for March 2025.

Clearing Banks and Depositories are the key link between clearing members and NSEICC for the settlement of funds and securities. Further, for the settlement of securities, NSEICC has established connectivity with India International Depository IFSC Limited (IIDL), a depository in IFSC and with Global CSD Clearstream. 8 (eight) clearing banks were empanelled with NSEICC for issuance of collateral and 6 (six) Banks were empanelled for clearing and settlement of funds.

As on March 31, 2025, NSEICC had 22 (twenty two) registered clearing member, of which 20 (twenty) clearing members are active. There were 12 (twelve) Trading cum Clearing Members, 6 (six) Trading cum Self Clearing Members and 2 (two) Professional Clearing Members.

As of March 31, 2025, the Settlement Guarantee Fund (SGF) was US \$11.30 million.

Further, on June 10, 2025, the Company completed the transaction of sale of 100% stake of its wholly owned subsidiary, NSEICC to NSEIX, wholly owned subsidiary of National Stock Exchange of India Limited (NSE). Accordingly, post June 09, 2025, the Company does not have any Subsidiary.

The Company does not have any joint venture or associate company(ies).

4.12 DEPOSITS

Your Company has not invited, accepted or renewed any deposits in terms of Section 73 of the Act, read with its applicable rules. Accordingly, the requirement to furnish details relating to deposits covered under Chapter V of the Act, is not applicable.

4.13 RISK MANAGEMENT

The Company has an enterprise-wide risk assessment and review mechanism which *inter-alia* consists of risk identification, assessment and categorization of risks taking into account the impact and likelihood of risks and putting in place adequate controls and mitigation plans which has helped in reducing the overall risk exposure for the Company and also the impact thereof.

In this direction, the Company has a Risk Management Committee, a sub-committee of the Board, which meets periodically to review the efficacy and adequacy of the Company's risk management exercise and the controls and mitigation plans put in place to reduce the overall impact of the various inherent risks.

For each of the identified risk areas, the Company maintains detailed Risk Registers mainly containing details such as risk description, risk indicators, categorization of the risk, current controls, mitigation plans, etc.

In terms of Securities Contracts (Regulation) (Stock Exchanges and Clearing Corporations) Regulations, 2018 ("SECC Regulations"), the Company is required to constitute a Risk Management Committee, *inter-alia*, to formulate a detailed risk management policy. Accordingly, the Risk Management Committee has formulated a risk management policy and monitors its implementation.

With respect to Cyber and Information Security Risk, your Company has implemented state-of-the-art cyber security architecture, controls and solutions. Your Company has adopted the SEBI mandated cyber security framework for the design and operation of controls that defend from advanced cyber-attacks. During the financial year under review, no major cyber security incidents or breaches were observed.

4.14 MATERIAL CHANGES AND COMMITMENTS, IF ANY, AFFECTING FINANCIAL POSITION OF THE COMPANY WHICH HAVE OCCURRED BETWEEN THE END OF THE FINANCIAL YEAR OF THE COMPANY AND THE DATE OF THE REPORT

There were no material changes and commitments affecting the financial position of your Company which have occurred between the end of the financial period to which the Financial Statements relate and the date of this Report. Further, it may be noted that the Company has divested its 100% stake of NSEICC effective June 10, 2025.

4.15 DETAILS OF SIGNIFICANT AND MATERIAL ORDERS PASSED BY THE REGULATORS OR COURTS OR TRIBUNALS IMPACTING THE GOING CONCERN STATUS AND COMPANY'S OPERATIONS IN FUTURE

During the financial year under review, there were no significant or material orders passed by the Regulators or Courts or Tribunal which would impact the going concern status of your Company and its future operation.

However, the following orders have been passed by Regulators or Courts or Tribunal:

Inter CCP Collateral

In the matter of Inter-CCP Collateral, SEBI has issued Show Cause Notice to NCL dated November 21, 2023, wherein a Settlement Order dated October 29, 2024, was passed and NCL made a payment of ₹ 27,13,10,000/- in the form of settlement.

4.16 STATUTORY AUDITORS

M/s. Khandelwal Jain & Co., Chartered Accountants [Firm Regn. No. 105049W] were re-appointed as the Statutory Auditors of the Company for a further period of 5 (five) years from the conclusion of the 27th Annual General Meeting, i.e., July 05, 2022, till the conclusion of the 32nd Annual General Meeting to be held in year 2027.

The Auditor's Report for the financial year ended March 31, 2025, issued by the Statutory Auditor forms an Integral part of this Annual Report and the said report does not contain any qualification, reservation or adverse remark or disclaimer.

4.17 SECRETARIAL AUDITOR

In terms of provisions of Section 204 of the Companies Act and the rules laid down thereunder, the Board appointed M/s. Mehta & Mehta, Company Secretaries, as the Secretarial Auditors of your Company, to conduct the Secretarial audit for a period of 3 years starting from financial year 2024-25 till financial year 2026-27.

In terms of Regulation 24A of the Listing Regulations, with effect from April 01, 2025, your Company is required to appoint a Practicing Company Secretary for not more than one term of five consecutive years or a firm of Practicing Company Secretaries for not more than two terms of five consecutive years, as a Secretarial Auditor, with the approval of the shareholders at its AGM and such Secretarial Auditor must be a peer reviewed company secretary and should not have incurred any of the disqualifications as specified under the Listing Regulations. Further, as per the said Regulation, any association of the individual or the firm as the Secretarial Auditors of the Company before March 31, 2025, shall not be considered for the purpose of calculating the tenure of the Secretarial Auditor's.

Taking into account the above requirements, based on the recommendation of the Audit Committee, the Board at its meeting held on July 04, 2025, had approved the appointment of M/s. Mehta & Mehta, Company Secretaries (Firm Registration Number – MU000019250) as the Secretarial Auditors of the Company for a term of 5 (five) consecutive financial years commencing from financial year 2025-26 to financial year 2029-30, subject to the approval of the shareholders.

The Resolution in respect of appointment of M/s. Mehta & Mehta, Practicing Company Secretaries, as the Secretarial Auditor is included in the Notice convening the 30th Annual General Meeting of the Company.

The recommendation followed a detailed evaluation of proposals received by the Company and consideration of factors such as technical capabilities, independence, industry experience, subject matter expertise, profile of audit partners and team, quality of audit practices, and past association with the Company.

Your Company has received a written consent from the Secretarial Auditor that the appointment, if approved, will be in accordance with the applicable provisions of the Listing Regulations, Act and rules framed thereunder. Further, the Secretarial Auditors have confirmed that they are not disqualified to be appointed as the Secretarial Auditor of your Company.

The Secretarial Audit Report issued for the financial year ended March 31, 2025, issued by M/s. Mehta & Mehta, Secretarial Auditors is annexed herewith as **Annexure - 2** to this report and the said report does not contain any qualification, reservation, adverse remark or disclaimer.

4.18 REPORTING OF FRAUDS BY AUDITORS

During the financial year under review, neither the statutory auditors nor the secretarial auditors have reported any instances of fraud to the Audit Committee in terms of Section 143 (12) of the Act.

4.19 SECRETARIAL STANDARDS

The applicable Secretarial Standards, i.e. SS-1 and SS-2, relating to 'Meetings of the Board of Directors' and 'General Meetings', respectively, issued by the Institute of Company Secretaries of India (ICSI) have been duly complied with by your Company.

4.20 EXTRACTS OF THE ANNUAL RETURN

Pursuant to the provisions of Section 92(3) and 134(3)(a) of the Act, a copy of Annual Return for the F.Y. 2024-25 is made available on the website of the Company and can be accessed through the following weblink:

<https://www.nseclearing.in/disclosures/other-disclosures>

5 DIRECTORS AND KEY MANAGERIAL PERSONNEL

5.1 BOARD OF DIRECTORS AND KMPs

Pursuant to the provisions of the SECC Regulations, the Governing Board of every recognised clearing corporation shall comprise of:

- (a) Public Interest Directors (PID).
- (b) Non-Independent Directors (NID); and
- (c) Managing Director.

As on March 31, 2025, the Board consist of 8 Directors namely, Mr. Abhaya Hota [DIN: 02593219] (Chairperson of the Board), Mr. G S Hegde [DIN: 09515748], Mr. Jayant Haritsa [DIN: 09524601], Dr. Golaka Nath [DIN: 09750678] and Mrs. Priti Savla [DIN: 00662996] are Independent Directors under the category of the 'Public Interest Directors', Mr. Ian Desouza [DIN:10721685] and Mr. Piyush Chourasia [DIN: 07130931] are Directors under the 'Non-Independent Director / Shareholder Director' category and Mr. Vikram Kothari [DIN: 07898773] is the Managing Director & Chief Executive Officer (MD & CEO) of the Company and he is included in the category of 'Non-Independent Director'. Accordingly, Mr. Vikram Kothari is not liable to retire by rotation during his tenure as MD & CEO.

Changes During the year

Mr. Yatrik Vin ceased to be a Non-Independent Director from the Governing Board of NCL consequent to the retirement by rotation at the 29th Annual General Meeting held on August 22, 2024.

SEBI approved the appointment of Mr. Ian Desouza (DIN: 10721685) and Mr. Piyush Chourasia (DIN: 07130931) as the Non-Independent Director (NID) / (Shareholder Director (SHD)) on the Governing Board of NCL with effect from September 26, 2024.

Mr. Ian Desouza, is liable to retire by rotation, in terms of Section 152(6) of the Act, at the ensuing 30th Annual General Meeting and being eligible has offered himself for re-appointment. Based on the recommendation of the Nomination and Remuneration Committee, the Board of Directors in their meeting held on July 04, 2025, approved the re-appointment of Mr. Ian Desouza. Details of the proposal for his re-appointment are mentioned in the Explanatory Statement of the Notice of the 30th Annual General Meeting of the Company pursuant to Section 102 of the Companies Act, 2013. The re-appointment of the Director is appropriate and in the best interest of the Company. The Board recommends his re-appointment to the Shareholders, subject to the approval of SEBI.

The composition of the Board is in conformity with the Act and SECC Regulations, enjoining a specified combination of Executive, Non-Executive and Public Interest Directors with at least one Independent Women Director. The Chairperson of the Board is a Non-Executive Director and in conformity with Listing Regulations is not related to the Managing Director.

Mr. G S Hegde and Prof. Jayant Haritsa were appointed as PID on the Governing Board of the Company w.e.f. June 17, 2022, for a period of three years i.e. upto June 16, 2025. Pursuant to SECC Regulations, PIDs are appointed for three years, and the tenure can be extended by another term of three years after carrying out evaluation exercise as prescribed under the law. Further, the application for re-appointment has to be made four months before the end of the tenure. Considering the same, the Company had made an application to SEBI w.r.t. re-appointment of Mr. G S Hegde and Prof. Jayant Haritsa.

SEBI vide its letter dated June 17, 2025, approved the re-appointment of Mr. G S Hegde and Prof. Jayant Haritsa for another term of three years with effect from June 17, 2025.

Key Managerial Personnel

Pursuant to Section 203 of the Act, the Key Managerial Personnel of the Company are Mr. Vikram Kothari, MD & CEO, Mr. Hardik Parikh, Chief Financial Officer and Mr. Ravin Tank, Company Secretary.

Pursuant to SECC Regulations, the Key Managerial Personnel of NCL as on March 31, 2025, are:

Sr. No.	Name	Designation
1	Mr. Vikram Kothari	Managing Director and Chief Executive Officer
2	Mr. Hardik Parikh	Chief Financial Officer
3	Ms. Rana Usman	Chief Operations Officer - Clearing & Settlement
4	Mr. Huzefa Mahuvawala	Chief Risk Officer
5	Mr. Uppili Krishnan Srinivasan	Chief Technology Officer - Applications & Development
6	Mr. Amit Pujara	Chief Regulatory Officer & Compliance Officer
7	Ms. Hima Bindu Vakkalanka	Vice President - Operations Risk & Strategic Projects
8	Mr. Aniket Bhanu	Vice President - Research & Policy
9	Mr. Sijo Eluvathingal	Vice President - Collaterals Operations
10	Mr. Nirajkumar Chhangani	Vice President - Technology Operations
11	Mr. Nilesh Tinaikar	Vice President - Business Solution Group
12	Mr. Deepak Maharishi	Vice President - Technology - Apps & Development
13	Mr. Amit Hatakar	Vice President - Technology - Apps & Development
14	Mr. Animesh Jain	Vice President and Head - Application Development & Maintenance
15	Mr. Thomas Cherian	Chief Technology Officer - Operations
16	Mr. Pradeep Kumar Mukilmaridur	Head Legal
17	Mr. Sachin Shetty	Vice President - Risk Operations
18	Mr. Manish Karwatkar	Vice President - Business Solution Group
19	Ms. Nisha Pillai	Vice President - Clearing
20	Ms. Kavita Shanbhag	Vice President - Technology - Apps & Development
21	Mr. Satish Jathan	Vice President - Settlement
22	Mr. Vijayakumar Chandrasekaran	Chief Information Security Officer
23	Mr. Santosh Kumar Sadasivan	Vice President - IT Infrastructure
24	Ms. Irsha Kale	Associate Vice President - Human Resources
25	Mr. Ravin Tribhuvan Tank	Company Secretary

Changes during the year

Mr. Sachin Shetty – Vice President – Risk Operations, Mr. Manish Karwatkar – Vice President – Business Solution Group, Ms. Nisha Pillai – Vice President – Clearing, Ms. Kavita Shanbhag – Vice President – Technology – Apps & Development were appointed as KMPs on account of promotion w.e.f. April 01, 2024.

Mr. Thomas Cherian was appointed as Vice President – Chief Technology Officer – Operations w.e.f. April 15, 2024, Mr. Hardik Parikh was appointed as the CFO of the Company w.e.f. from May 29, 2024, Mr. Satish Jathan was appointed as Vice President – Settlement w.e.f. June 19, 2024, Mr. Vijayakumar Chandrasekaran was appointed as Chief Information Security Officer joined on July 03, 2024 and Mr. Santosh Sadasivan – Vice President – Head Infra was appointed on August 12, 2024.

Ms. Mira Desai – Vice President – Technology ceased as KMP with effect April 30, 2024 & Mr. Amit Amlani resigned from the position of Chief Financial officer (CFO) w.e.f. from May 28, 2024, and ceased to be a KMP (Vice-president Finance) w.e.f. from August 05, 2024.

Post the period under the review, Mr. Nishant Jha – Vice President – Technology ADM, Mr. Onkar Phadnavis – Vice President – Settlement and Mr. Rijesh Kottungal – Vice President – Technology Operations were appointed as KMP under SECC Regulations w.e.f. April 01, 2025.

5.1.1 Director's e-KYC

The Ministry of Corporate Affairs (MCA) has vide amendment to the Companies (Appointment and Qualification of Directors) Rules, 2014, mandated KYC of all the Directors through the e-Form DIR-3 KYC. All Directors of NCL have complied with the aforesaid requirement.

5.1.2 Disclosure under Section 164 of the Companies Act, 2013

The Company has received the disclosures in the Form DIR-8 required under Section 164 of the Act and has noted that none of the directors have incurred any of the disqualifications on account of non-compliance with any of the provisions of the Act read with the Companies (Appointment and Qualification of Directors) Rules, 2014. Further, there were no acts of omission / commission by the Company itself, leading to the disqualification of its directors.

5.2 NUMBER OF MEETINGS OF THE BOARD OF DIRECTORS

The Board / Committee meetings are pre-scheduled and a tentative annual calendar of the Board and Committee meetings is circulated to the Directors well in advance to help them plan their schedule and ensure meaningful participation in the meetings. Only in case of special and urgent business, if the need arises, the Board's or Committee's approval is taken by passing resolutions through circulation or by calling the Board/Committee meetings at a shorter notice, as permitted under the law.

The Board meets at regular intervals to discuss and decide on the Company / business policy and strategy apart from other agenda items. The Board exhibits strong operational oversight seeking presentations on different matters in quarterly meetings.

During the F.Y. 2024-25, Ten meetings of the Board were held. For further details of the meetings of the Board, please refer to the Corporate Governance Report, which forms part of this report.

During the year under review, the total duration of the Board meetings, i.e. approximate aggregate number of hours was approximately 19 hours. The maximum gap between any two meetings was less than one hundred and twenty days.

5.3 DECLARATION BY PUBLIC INTEREST DIRECTORS

In terms of provisions of Regulation 2(1)(o) of SECC Regulations, Public Interest Director means an Independent Director representing the interests of investors in securities market and who is not having any association, directly or indirectly, which in the opinion of the Board, is in conflict with his / her role.

In terms of SECC Regulations, SEBI has approved the appointments of Mr. Abhaya Hota, Prof. Jayant Haritsa, Mr. G S Hegde, Dr. Golaka Nath and Mrs. Priti Savla as Public Interest Director on the Governing Board of NSE Clearing Limited.

The Company has, *inter-alia*, received the following declarations from all the Public Interest Directors:

▪ Criteria of Independence

In terms of the provisions of Section 149(7) of the Act and Regulation 25(8) of the Listing Regulations, the Public Interest Directors meet the criteria of independence as provided in Section 149(6) of the Act and Regulation 16(1)(b) of the Listing Regulations. The Public Interest Directors have also confirmed that they are not aware of any circumstances or situations, which exists or may be reasonably anticipated, that could impair or impact their ability to discharge their duties with an objective independent judgement and without any external influence;

▪ Fit and Proper

The Public Interest Directors satisfy the “fit and proper” criteria as stipulated under Regulation 20 of the SECC Regulations;

▪ Code for Independent Directors

The Public Interest Directors have complied with the Code for Independent Directors prescribed under Schedule IV of the Act;

▪ Independent Director's Databank

Pursuant to Rule (6) of the Companies (Appointment and Qualifications of Directors) Rules, 2014, they have registered themselves with the Independent Director's Databank maintained by the Indian Institute of Corporate Affairs; and

▪ Code of Conduct

The Public Interest Directors have affirmed compliance with the Code of Conduct for the Board of Directors and Senior Management of the Company.

The Public Interest Directors did not have any conflict of interest with the Company.

In the opinion of the Board, all the Public Interest Directors of the Company possess the requisite expertise and experience (including the proficiency). Further, they all fulfil the conditions specified under the Companies Act, Listing Regulations and SECC Regulations and are independent of the management.

▪ Familiarisation Programme

In terms of Regulation 25(7) of the Listing Regulations, your Company conducts the Familiarisation Programme for all the Directors including Public Interest Directors. The details of the same are disclosed in the Report on Corporate Governance which forms part of this Report.

5.4 COMPANY'S POLICY ON DIRECTORS' APPOINTMENT AND REMUNERATION INCLUDING CRITERIA FOR DETERMINING QUALIFICATIONS, POSITIVE ATTRIBUTES & INDEPENDENCE OF DIRECTORS

Pursuant to the requirements of the Act, the Listing Regulations and SECC Regulations, the Nomination and Remuneration Committee shall formulate a criteria for determining qualifications, positive attributes and independence of a Director and recommended to the Board of Directors a policy relating to the remuneration of the Directors, Key Managerial Personnel (KMP) and other employees.

Regulation 27 of the SECC Regulations provides for formulation of Compensation Policy which shall be in accordance with the norms specified under the said Regulations.

In compliance with the said Regulations, the Company has laid down:

- (i) Policy for Nomination and Appointment of Directors, KMPs and Senior Management Personnel; and
- (ii) Remuneration Policy.

The aforementioned policies of the Company are given as **Annexure - 4**.

5.5 MANNER IN WHICH THE FORMAL ANNUAL EVALUATION OF PERFORMANCE BY THE BOARD OF ITS OWN PERFORMANCE, OF ITS COMMITTEES, INDIVIDUAL DIRECTORS AND INDEPENDENT EXTERNAL PROFESSIONALS WAS CARRIED OUT

The Board, on the recommendation of Nomination and Remuneration Committee, had put in place methodology and assessment process for effective evaluation of the Board, its Committees, Individual Directors including Chairperson, Public Interest Directors and Independent External Professionals.

Details on assessment process, criteria for evaluation, outcome, feedback are provided in the Report on Corporate Governance, which forms part of this Integrated Annual Report.

6 DIRECTORS' RESPONSIBILITY STATEMENT

Pursuant to Sections 134(3) read with 134(5) of the Act, with respect to the Directors' Responsibility Statement, it is hereby confirmed that –

- (i) in the preparation of the annual accounts, the applicable accounting standards had been followed along with proper explanation relating to material departures, if any;
- (ii) the Directors had selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of NCL at the end of the financial year i.e. March 31, 2025 and of the profits of NCL for that year;
- (iii) the Directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of NCL and for preventing and detecting fraud and other irregularities;
- (iv) the Directors had prepared the annual accounts on a going concern basis;
- (v) the Directors had laid down internal financial controls to be followed by the Company and that such internal financial controls are adequate and were operating effectively; and
- (vi) the Directors had devised proper systems to ensure compliance with the provisions of all applicable laws and such systems are adequate and were operating effectively.

7 CORPORATE SOCIAL RESPONSIBILITY

NSE along with its subsidiaries including NCL has formed NSE Foundation, an entity incorporated under the provisions of the Act, to initiate, supervise and co-ordinate activities to implement Corporate Social Responsibility (CSR) projects which have been approved by the CSR Committee and by the Board of the Company.

The Company has constituted a Committee in accordance with Section 135 of the Act. During the F.Y. 2024-25, ₹ 19.54 crores were required to be spent to implement the CSR Policy of the Company in the manner laid down in Section 135(5) of the Act out of which ₹ 0.78 crores was spent and the balance ₹ 18.92 crores has been transferred to an unspent CSR account by the Company. Further, the Company has committed a full amount towards the Health Care Project.

The CSR policy is available on the Company's website at:

https://www.nseclearing.in/sites/default/files/disclosure/NSE_Group_CSR_Policy.pdf

The Annual Report on CSR activities as per Rule 9 of Companies (Corporate Social Responsibility Policy) Rules, 2014 is attached herewith as **Annexure - 5**.

8 CORPORATE GOVERNANCE

NCL is a public limited company, whose securities are not listed on any of the Stock Exchanges. Pursuant to the provisions of Regulation 33 of the SECC Regulations, the disclosure requirements and corporate governance norms as specified for listed companies are *mutatis mutandis* applicable to a recognized Clearing Corporation.

The Corporate Governance Report, for the F.Y. 2024-25 which forms part of Board's Report as **Annexure - 6**, is prepared pursuant to Listing Regulations and SECC Regulations. A certificate from a Practicing Company Secretary confirming compliance with the conditions of disclosures and Corporate Governance is also attached to the Corporate Governance Report.

9 COMMITTEES OF THE BOARD

Details of the composition of Committees of the Board, meetings held, attendance of the Directors at such Meetings and other relevant details are given in the Corporate Governance Report forming part of this Report.

10 MANAGEMENT DISCUSSION AND ANALYSIS REPORT

Management's Discussion and Analysis Report for the period under review is presented in a separate section forming part of the Annual Report.

11 VIGIL MECHANISM / WHISTLE BLOWER POLICY

The Company has formulated the 'Whistle Blower Policy' and the same has been in force since January 2015. The Policy, as on date, provides a mechanism for reporting alleged violation of Code of Ethics or Code of Conduct or any law or regulation to the Whistleblower Panel or the Chairperson of Audit Committee. Protected Disclosures should preferably be reported in writing as soon as possible after the whistleblower becomes aware of the same.

All Protected Disclosures reported under the Policy will be thoroughly investigated by the Whistleblower Panel or Chairperson of the Audit Committee. No unfair treatment will be meted out to a Whistle Blower by virtue of his / her having reported a Protected Disclosure. Complete protection will be given to whistleblowers against any unfair practice. No Personnel has been denied access to the relevant Committee.

If the findings of the investigator(s) conclude commission of an unethical and improper act, disciplinary action or any other action, as deemed appropriate, will be initiated against the person concerned. One complaint was received and resolved during the financial year.

A report is being submitted to the Chairperson of the Audit committee as and when any Protected Disclosures are received along with the results of investigations, if any, and the action initiated with regard to the same. The Board of NCL periodically takes up the policy for its review and for bringing in suitable changes wherever required so that the policy remains relevant at all times.

Further, a Whistle Blower can raise a concern by way of following means:

1. Sending an email addressed to whistleblower@nsccl.co.in
2. Sending a letter in a sealed envelope marked confidential to the below mentioned address and should be addressed to the Whistle Blower Panel. The letter can either be typed or written in a legible handwriting in any language including English.
Whistle Blower Panel,
NSE Clearing Limited
Exchange Plaza, Bandra Kurla Complex, Bandra East, Mumbai - 400051
3. The Whistle Blower should give his/her name and address in an attached letter which shall be detached in order to maintain the anonymity of the Whistle Blower.
4. In exceptional cases (such as potential victimization or threat to the Whistle Blower), the Whistle Blower can directly make a Protected Disclosure to the Chairperson of the Audit Committee of NCL, by writing at (auditchairperson@nsccl.co.in)

As per the requirements of Listing Regulations, whistle blower policy is available on the Company's website at:

https://www.nseclearing.in/sites/default/files/disclosure-doc/2025-08/Whistle%20Blower%20Policy_NCL.pdf

12 BUSINESS RESPONSIBILITY AND SUSTAINABILITY REPORT (BRSR)

In accordance with Regulation 34(2)(f) of the Listing Regulations read with National Guidelines on Responsible Business Conduct issued by the Ministry of Corporate Affairs, the BRSR has been prepared to provide an overview of the Company's initiatives in the areas of environmental, social, and governance matters. The BRSR forms part of the Annual Report and the same is made available on NCL's website at <https://www.nseclearing.in/>.

Further, SEBI vide its circular no. SEBI/HO/CFD/CFD-PoD-1/P/CIR/2024/177 dated December 20, 2024, introduced the Industry standards for disclosure of the BRSR Core, with Key Performance Indicators categorized into general requirements and attribute-wise requirements. In accordance with this requirement, the Company has appointed Bureau Veritas India Private Limited (CIN:U74210MH2001PTC134262) as the assurance provider for the BRSR core of the Company for the F.Y. 2024-25. The Statement issued by the Assurance Provider is annexed to the BRSR.

13 CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS / OUTGO

The disclosure of particulars with respect to conservation of energy and technology absorption in terms of Section 134(3)(m) of the Act read with Rule 8 of Companies (Accounts) Rules, 2014 are given hereunder.

NCL, a wholly owned subsidiary of NSE, is carrying on its operations from the premises of NSE. NCL, together with other companies in NSE Group, has undertaken the following major technological initiatives towards energy conservation, green / renewable energy which demonstrates the commitment towards the sustainable development and clean environment, namely: -

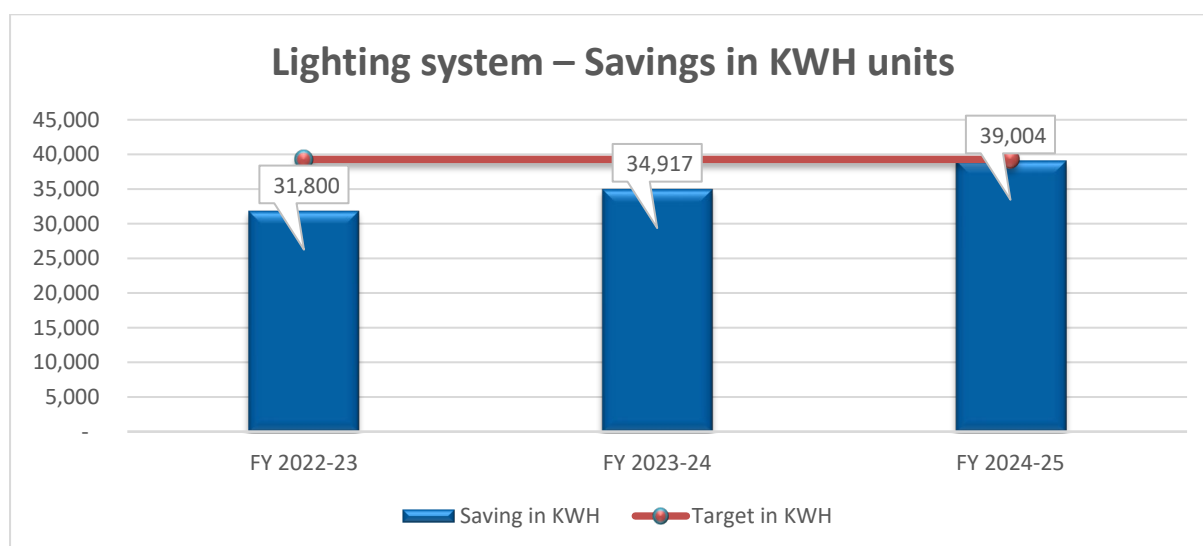
A. Conservation of Energy

1. The steps taken or impact on conservation of energy:

i) Lighting Transformer and LED Lights:

Lighting Transformers have been introduced in the lighting feeders to regulate incoming power supply which reduces excess power consumption and enhances the life of the luminaries. Additionally, LED Lights have been introduced across entire office area.

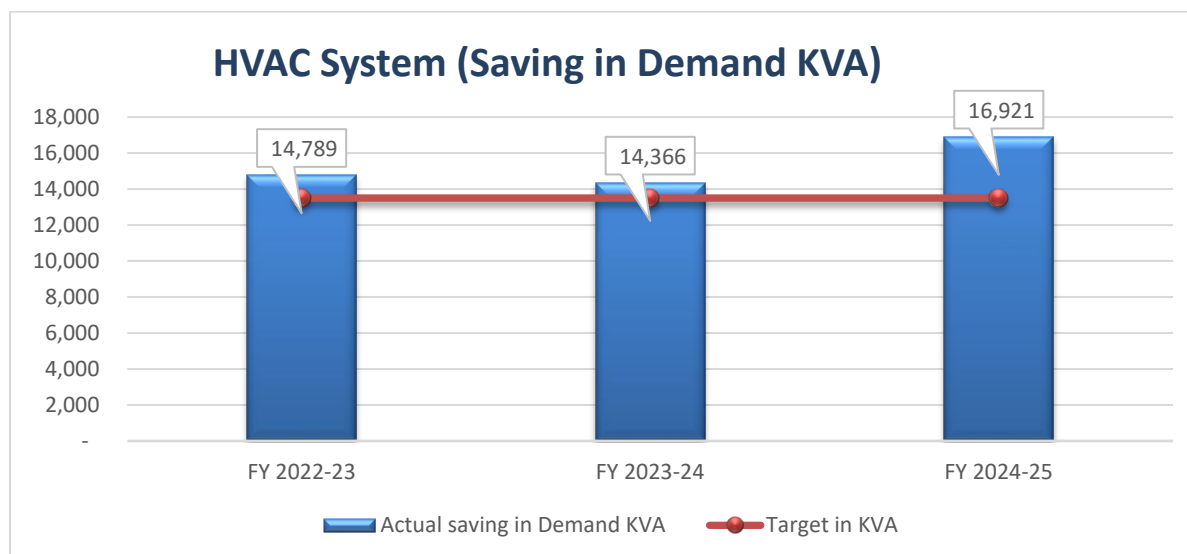
These measures have saved around 39,004 units in the F.Y. 2024-25.



ii) Thermal Energy Storage System:

Thermal Energy Storage System has been introduced in the Air-conditioning (AC) System at Exchange Plaza. It was observed that most of the Services (i.e. AC Chillers, Air Handling Unit's, Lifts, Lighting, PC, Plumbing System, etc.) in the building were operated mainly during office / day hours. Amongst them, the AC Chillers and its associated equipments used to consume more than 30% of the total peak demand load. In view of this, NSE had decided to reduce its demand load during peak hours by introducing the aforesaid plant in the existing AC System. In this system, the AC Chillers are being operated at night hours to form the "Chill" (i.e. Glycol Water at a temperature below zero degree centigrade) which gets stored in a Thermal Storage Tank. The next day, the stored Chill is being utilised through Heat Exchangers for air-conditioning the entire office area. On account of this, the Services which were operating mainly during office hours have been distributed and NSE had surrendered the extra power.

This way, NSE group has saved around 16,921 Demand KVA in the F.Y. 2024-25.



iii) Occupancy Sensors:

Motion/Occupancy Sensors have been installed at the entire office areas to operate the Lights automatically based on the occupancy in the respective areas.

iv) Building Management System:

The Building Management System (BMS) had been installed at the inception stage itself to enable NSE to operate the Building's Services more effectively. By using BMS System, the Air Handling Units (AHU) of air-conditioning system are being operated (i.e. switching ON /OFF) as per the exact timetable scheduled for respective floors. It also helps NSE to regulate / control the temperature of the workspace area well within a prescribed tolerance. With this effective operation and regulation of AHU's, electricity is being conserved on a day-to-day basis.

v) Automatic Power Factor Control Units:

The Automatic Power Factor Control Units have been installed to improve the power factor (i.e. by counterbalancing the inductive load of the building with capacitive load) of the entire electrical load of the building. Power Supplier gives incentives i.e. by-passing certain discount in the electricity bill on account of this regularly.

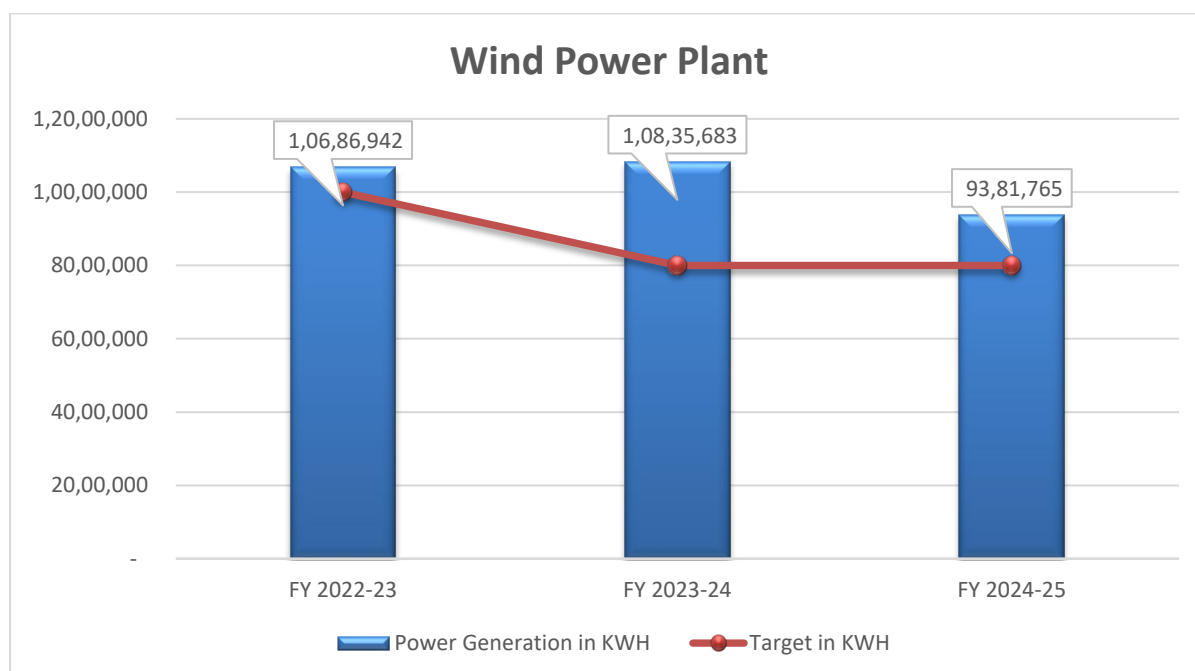
2. The steps taken by the Company for utilizing alternate source of energy

i) Wind Power Plant:

NSE has its own Wind Power Plant of the capacity of 5 MW (i.e. 4 nos. of 1.25 MW of Windmills) at Satara in Maharashtra. In Wind Power Plant, the Wind Electric Generator (WEG) converts the Kinetic Energy available in the Wind to Electrical Energy by using a Rotor, Gearbox and Generator. With regard to the operation of Wind Power Plant, it goes hand-in-hand with the Local Electricity Board. The Plant is connected to the Main Power Grid of the Local Electricity Board. As per renewable energy policy of Govt. of Maharashtra, the quantum

of electricity generated through the Wind Power Plant is fed to the grid, which gets set off against the power consumption towards High Tension (HT) installation of the 'Wind farmer' (which in this case is NSE) anywhere in that grid.

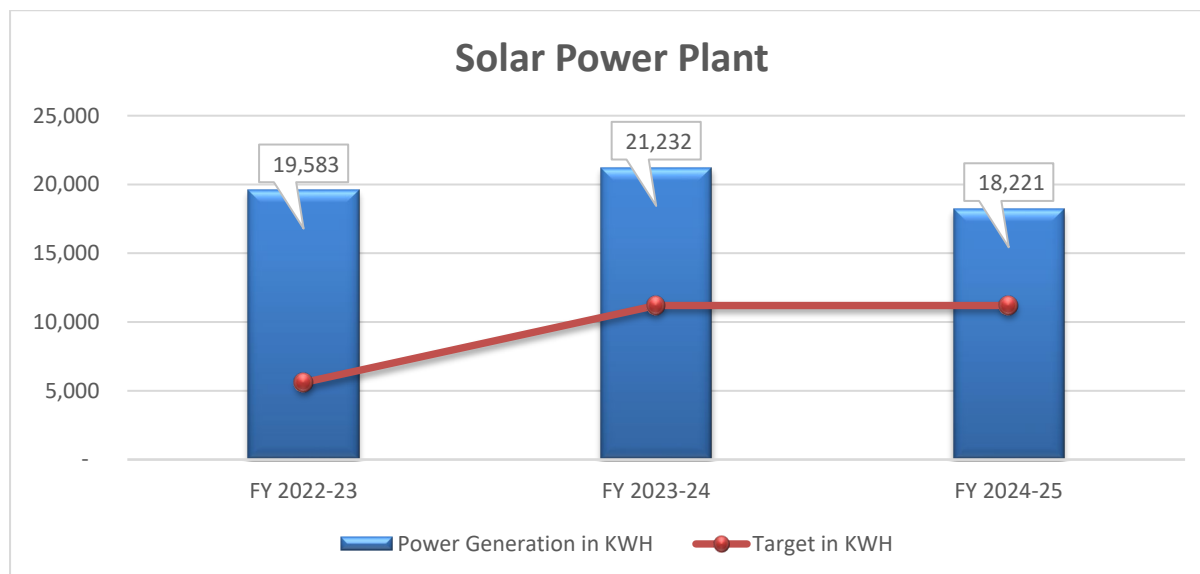
Accordingly, the aforesaid Wind Power Plant has generated 93,81,765 electricity units in the F.Y. 2024-25.



ii) Solar Power Plant:

The Solar Power Plant of the capacity of 10 KW each has been installed at Exchange Plaza and BCP Premises at Kotturpuram, Chennai building which harnesses the Solar Power to cater to part of the lighting load of the buildings.

This way NSE group has saved around 18,221 units in the F.Y. 2024-25.



B. Technology absorption

(i) The efforts made towards technology absorption.

Transformation: From Operational Maturity to Intelligent Infrastructure F.Y. 2024–25 was a year of transformation commencement, marked by a shift from traditional infrastructure management to a more intelligent, automated, and agile ecosystem. NCL's Technology Infrastructure function undertook a series of strategic initiatives aimed at modernisation, automation, and innovation.

Modernisation: The company has worked with other MIs to enhance and support the connectivity requirements that are needed for the exchanges to increase the number of channels / matching engine related enhancements done by them.

In line with the same to accommodate the increase in volumes and to improve the latency of the risk management in the Derivative Segment to make it future ready, investments were made during the year both in enhancing the software and the underlying infrastructure.

(ii) The benefits derived like product improvement, cost reduction, product development or import substitution.

Modernisation & Automation: Routine tasks such as system health checks, and patching were automated, leading to faster turnaround times, reduced manual effort and improved consistency.

Innovation: Advanced monitoring tools, enhanced data protection mechanisms, and infrastructure consolidation and optimisation strategies were introduced, improving responsiveness and reducing operational risks. Also, NCL took strategic call of moving all Cloud based application to on-prem data centre and successfully migrated the same.

Governance & Compliance: NCL reinforced its commitment to transparency and regulatory alignment by strengthening audit readiness, improving software asset governance, and proactively addressing vulnerabilities. These initiatives reflect a culture of continuous improvement and a strategic focus on building a resilient, intelligent, and future-ready infrastructure.

(iii) In case of imported technology (imported during the last three years reckoned from the beginning of the financial year)

(a) the details of technology imported; Not Applicable

(b) the year of import; Not Applicable

(c) whether the technology been fully absorbed; Not Applicable

(d) if not fully absorbed, areas where absorption has not taken place, and the reasons thereof; and - Not Applicable

(iv) The expenditure incurred on Research and Development - Not Applicable

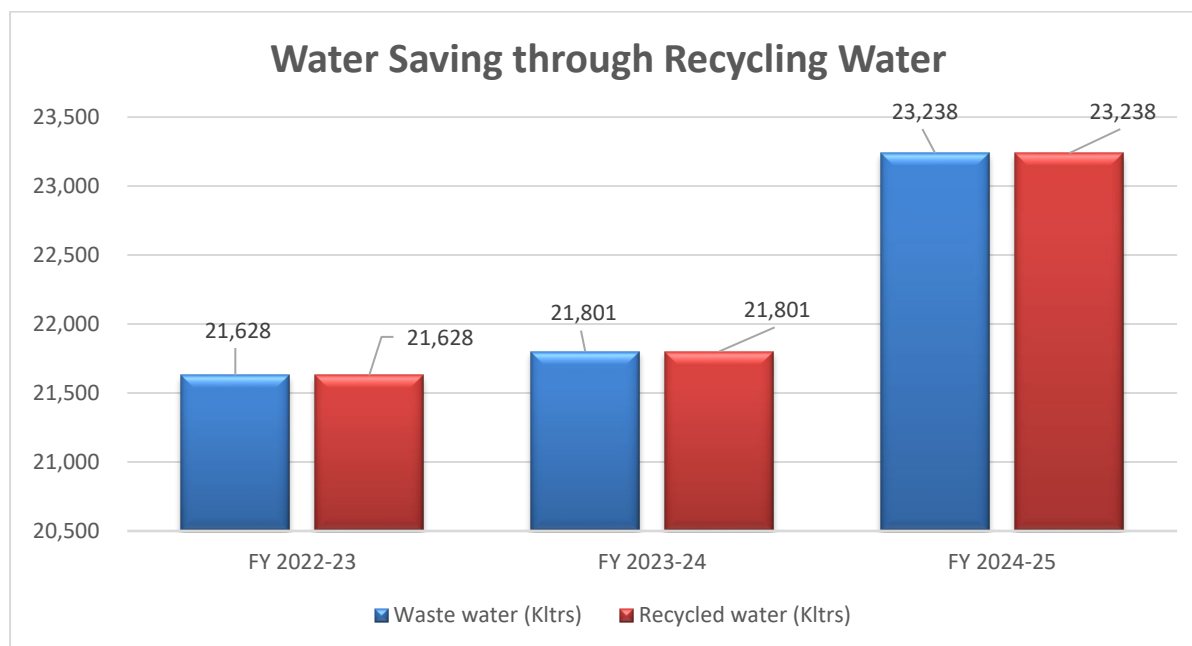
C. Other initiatives

i) Water Recycling - Sewerage Treatment Plant

This plant has been installed at the inception stage itself to enable NSE to reuse building's domestic and flushing water (i.e. after treatment) for its Cooling Towers associated with AC System and for Gardening purposes every day.

This way NSE group has saved around 23,238 Kilolitres of Water in the F.Y. 2024-25.

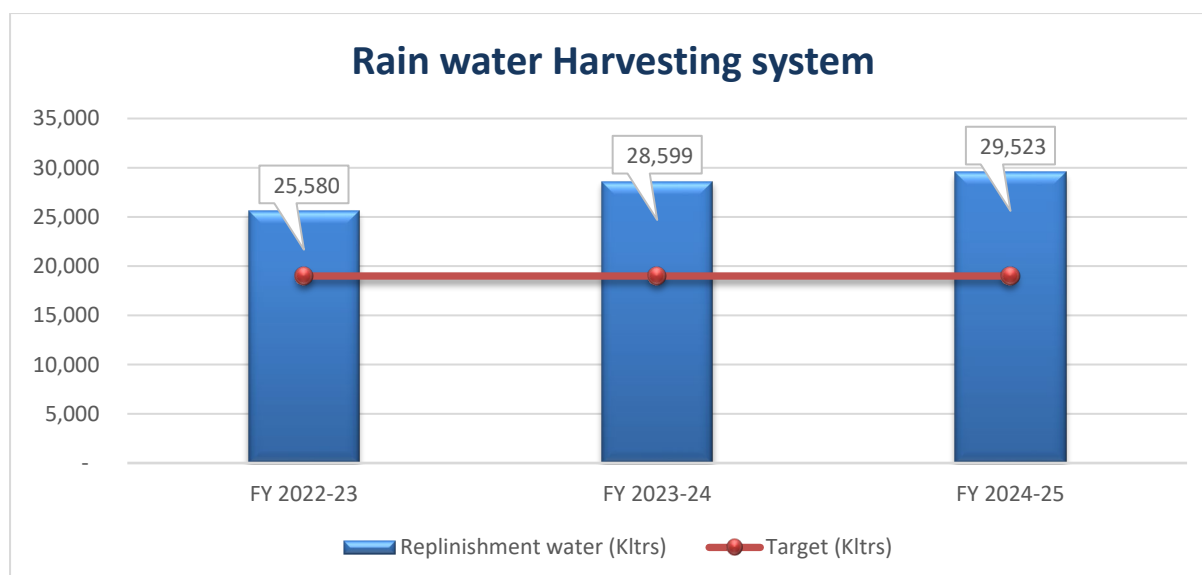




ii) Rain Water Harvesting System:

Envisaging water scarcity in future as well as present water shortages, a proper Hydro – Geological survey was conducted at Exchange Plaza to explore the possibility of harvesting the rainwater in the periphery of Exchange Plaza. Accordingly, post survey and feasibility, Rainwater Harvesting System has been installed. By using this System, water is percolated into the soil in the Exchange Plaza campus.

This way NSE group saved approximately 29,523 kL through rainwater harvesting.



iii) Waste Management:

Vermiculture Plant:

The compostable material like food waste collected from Canteen, Garden Organics and Paper and Cardboard gets collected at one place. Post shredding, the aforesaid organic material gets loaded into Vermiculture plant for the decomposing process. Post 7 days of an on-going process, vermicompost / manure get generated and is being used for Gardening purposes. This way NSE has generated around 175 Kg of manure in the F.Y. 2024-25.

Waste Disposal:

The Company believes in reduce, recycle and reuse and manages its waste efficiently through various initiatives such as Vermiculture system, Sewage treatment plant. We reduce the E-waste and ensure that the E-waste generated is recycled efficiently.

E- Waste – As per the NSE group E-Waste Policy, the E-Waste in the Exchange Plaza building as well as its Branch Office premises is recycled through authorized E-waste Vendor shortlisted by the Central Pollution Control Board (CPCB) / Maharashtra Pollution Control Board (MPCB).

Food Waste – Food waste generated at Exchange Plaza building is processed through Vermiculture System installed at its building wherein manure (i.e. Vermicompost) generated through it is used for Gardening purposes.

Water Recycling – Sewage water generated at the Exchange Plaza is recycled through Sewage Treatment Plant installed at its Exchange Plaza building and the processed water is used for secondary purposes i.e. for cleaning, for Cooling Towers associated with Heating, Ventilation and Air Conditioning (HVAC) System.

14 FOREIGN EXCHANGE EARNINGS / OUTGO DURING THE YEAR UNDER REVIEW

The details of foreign exchange earnings and outgo are mentioned below:

Particulars	For the financial year ended March 31, 2025	(₹ in Crores) For the financial year ended March 31, 2024
Foreign Exchange earnings	Nil	Nil
Foreign Exchange outgo		
- Capital	3.22	160*
- Revenue	0.84	0.95

*Capital contribution of ₹ 160 Crores to NSEICCL.

15 SEGMENT REPORT

NCL operates only in one Business Segment i.e. facilitating clearing and settlement of securities and the activities incidental thereto within India, hence does not have any reportable Segments as per Indian Accounting Standard 108 "Operating Segments".

Necessary disclosure in this regard forms a part of notes to the annual accounts as approved by the Statutory Auditors of the Company.

16 PARTICULARS OF EMPLOYEES

As on March 31, 2025, there are 394 employees on the payroll of NCL. The Statements and Disclosures pursuant Section 197(12) of the Act, read with Rule 5(1) & (2) of Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 is enclosed herewith as **Annexure - 7**. Pursuant to the provisions of Regulation 27 of the SECC Regulations, ratio of compensation paid to each Key Management Personnel, vis-a-vis. median of compensation paid to all employees of NCL is enclosed herewith as **Annexure - 8**.

17 PROCEEDINGS UNDER INSOLVENCY AND BANKRUPTCY CODE, 2016

Pursuant to the provisions of Companies (Accounts) Rules, 2014, the Company affirms that neither any application was made, nor any proceeding is pending under the Insolvency and Bankruptcy Code, 2016, either filed by the Company or against the Company.

18 DIFFERENCE IN AMOUNT OF THE VALUATION

Pursuant to the provisions of Companies (Accounts) Rules, 2014, the Company affirms that for the financial year ended on March 31, 2025, there was no instance of one-time settlement with any bank or financial institution. Therefore, the requirement to disclose the details of the difference between the amount of the valuation done at the time of one-time settlement and the valuation done while taking a loan from the Banks or Financial Institutions along with the reasons thereof is not applicable to the Company.

19 COST AUDIT / COST RECORDS

Maintenance of cost records and cost audit as specified by the Central Government under Section 148 of the Act is not applicable for the business activities carried out by the Company.

20 RECOMMENDATIONS OF AUDIT COMMITTEE

During the F.Y. 2024-25, there were no instances, wherein the Board had not accepted recommendations made by the Audit Committee.

21 DETAILS OF FINANCIAL DISINCENTIVE ON ACCOUNT OF TECHNICAL GLITCHES

During the F.Y. 2024-25, the Company has not made any payment with respect to financial disincentive on account of technical glitches.

22 ACKNOWLEDGMENT

Your Directors' wish to place on record their gratitude for the co-operation and support extended by the Government of India, Securities and Exchange Board of India and Reserve Bank of India.

The Board also wishes to place on record their sincere appreciation for the unstinted efforts of the employees at all levels towards the continued growth of NCL.

For and on behalf of the Board of Directors

Abhaya Hota
Chairperson
DIN:02593219

Place: Mumbai
Date: July 04, 2025

ANNEXURE 1 TO DIRECTORS' REPORT

FORM NO. AOC-2

(Pursuant to clause (h) of sub-section (3) of section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014)

Form for disclosure of particulars of contracts/arrangements entered into by the Company with related parties referred to in sub-section (1) of Section 188 of the Companies Act, 2013 including certain arm's length transactions under third proviso thereto

1. Details of contracts or arrangements or transactions not at arm's length basis:

During the financial year ended March 31, 2025, the Company has not entered into any contract or arrangement or transaction with related parties which is not at arm's length.

2. Details of material contracts or arrangement or transactions at arm's length basis

- a) Duration of the contracts / arrangements/transactions - On-going Transaction
- b) Date(s) of approval by the Board, if any:
Approved by the Audit Committee on March 06, 2024, as all transactions are in the ordinary course of business and at arm's length basis.
- c) Amount paid as advances, if any: Nil

The other details of material transactions entered into by the Company during the financial year ended March 31, 2025, are given below:

Name of the related party & Nature of relationship	Nature of transaction	Financial year ended March 31, 2025 (₹ in crores)	Financial year ended March 31, 2024 (₹ in crores)
National Stock Exchange of India Limited, Holding Company	Clearing and Settlement charges received from NSE.	1,507.17	1,315.80

For NSE Clearing Limited

Abhaya Hota
Chairperson
DIN:02593219

Place: Mumbai
Date: July 04, 2025

FORM NO. MR-3
SECRETARIAL AUDIT REPORT
FOR THE FINANCIAL YEAR ENDED 31st MARCH, 2025

{Pursuant to Section 204(1) of the Companies Act, 2013 and rule 9 of the Companies
(Appointment and Remuneration of Managerial Personnel) Rules, 2014}

To,
The Members,
NSE Clearing Limited
Exchange Plaza, Plot C-1,
Block G, Bandra Kurla Complex,
Bandra East, Mumbai - 400051, Maharashtra, India

We have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **NSE Clearing Limited** (hereinafter called "the Company"). Secretarial audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conduct / statutory compliance and expressing our opinion thereon.

Based on our verification of the Company's books, papers, minutes books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, we hereby report that in our opinion, the Company has, during the audit period covering the financial year ended on **March 31, 2025**, complied with the statutory provisions listed here under and also that the Company has proper Board processes and compliance mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

We have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on **March 31, 2025**, according to the provisions of:

- (i) The Companies Act, 2013 ('the Act') and the rules made thereunder.
- (ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made there under;
- (iii) The Depositories Act, 1996 and the Regulations and Bye-laws Framed there under;
- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made there under to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings **(during the period under review not applicable to the company)**;
- (v) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act'):-
 - (a) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011 **(during the period under review not applicable to the company)**;
 - (b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015, to the extent applicable;
 - (c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 **(during the period under review not applicable to the company)**;

- (d) The Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 **(during the period under review not applicable to the company);**
- (e) The Securities and Exchange Board of India (Issue and Listing of Non- Convertible Securities) Regulations, 2021 **(during the period under review not applicable to the company);**
- (f) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client;
- (g) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021 **(during the period under review not applicable to the Company);**
- (h) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018 **(during the period under review not applicable to the Company);**
- (i) The Securities Contract (Regulation) (Stock Exchange & Clearing Corporations) Regulations, 2018

We have examined compliance with the applicable clauses of the following:

- (i) Secretarial Standards issued by the Institute of Company Secretaries of India;
- (ii) The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 to the extent referred in Regulation 33 of Securities Contract (Regulation) (Stock Exchanges and Clearing Corporations) Regulations, 2018 **(Listing Regulations')**

During the period under review the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc, as mentioned.

We further report that:

The Board of Directors of the Company is duly constituted Executive Directors, consisting of the Non-Executive Directors and Independent Directors. There were changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act.

Adequate notices are given to all Directors to schedule the Board / Committee Meetings, agenda and detailed notes on agenda were sent at least seven days in advance to all the Directors and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

The Company has complied with the provisions pertaining to Corporate Social Responsibility as per Section 135 of Companies Act, 2013 and Companies (Corporate Social Responsibility Policy) Rules, 2014, further with respect to the difference in disclosure in Form CSR-2 pertaining to financial year 2023-24 filed in the financial year 2024-25 which is filed with Ministry of Corporate Affairs, the Company has given required clarification to the authorities.

We further report that there are adequate systems and processes in the company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines

We further report that during the audit period the Company there were following specific events / actions having a major bearing on the Company's affairs in pursuance of the above referred laws, rules, regulations, guidelines, standards, etc:

- a. The members of the company at their Annual General Meeting dated August 22, 2024 declared a final dividend of Rs. 0.20 /- (Rupees Zero point Two Zero Only) per Equity Share of Rs. 10/- each (fully paid-up) for the financial year ended March 31, 2024.
- b. The members of the company at their Annual General Meeting dated August 22, 2024 appointed Mr. Ian Gerard Desouza and Mr. Piyush Sudhir Chourasia as the Directors of the Company.
- c. The Board of Directors and members at their meeting held on January 22, 2024 and February 25, 2025 respectively approved the proposal for sale of 100% stake in NSE IFSC Clearing Corporation Limited by NSE Clearing Limited to NSE IFSC Limited.

**For Mehta & Mehta,
Company Secretaries
(ICSI Unique Code P1996MH007500)**

Atul Mehta

Partner

FCS No: 5782

CP No: 2486

Place: Mumbai

Date: April 25, 2025

UDIN: F005782G000199305

PR No.: 3686/2023

Note: This report is to be read with our letter of even date which is annexed as 'ANNEXURE A' and forms an integral part of this report.

To,
The Members,
NSE Clearing Limited
Exchange Plaza, Plot C-1,
Block G, Bandra Kurla Complex,
Bandra East, Mumbai - 400051, Maharashtra, India

Our report of even date is to be read along with this letter.

- 1) Maintenance of secretarial record is the responsibility of the management of the Company. Our responsibility is to express an opinion on these secretarial records based on our audit.
- 2) We have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. We believe that the processes and practices we followed provide a reasonable basis for our opinion.
- 3) We have not verified the correctness and appropriateness of financial records and Books of Accounts of the Company.
- 4) Wherever required, we have obtained the Management representation about the compliance of laws, rules and regulations and happening of events etc.
- 5) The compliance of the provisions of corporate laws, rules, regulations, standards is the responsibility of management. Our examination was limited to the verification of procedures on test basis.
- 6) As regard the books, papers, forms, reports and returns filed by the Company under the provisions referred in Secretarial Audit Report in Form MR-3, the adherence and compliance to the requirements of the said regulations is the responsibility of management. Our examination was limited to checking the execution and timeliness of the filing of various forms, reports, returns and documents that need to be filed by the Company with various authorities under the said regulations. We have not verified the correctness and coverage of the contents of such forms, reports, returns and documents.
- 7) The secretarial audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.

For Mehta &Mehta,
Company Secretaries
(ICSI Unique Code P1996MH007500)

Atul Mehta
Partner
FCS No: 5782
CP No: 2486
Place: Mumbai
Date: April 25, 2025
UDIN: F005782G000199305
PR No.: 3686/2023

ANNEXURE - 3 TO DIRECTORS' REPORT

Statement containing salient features of the financial statement of subsidiaries / associate companies / joint ventures

Form AOC 1

(Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules, 2014)

Part "A" Subsidiary

Name of the Subsidiary	NSE IFSC Clearing Corporation Limited
The date since when subsidiary was acquired	December 02, 2016
Reporting date	March 31, 2025
Share Capital (₹ in crores)	250.00
Reserves and Surplus (₹ in crores)	(144.13)
Total Assets (₹ in crores)	289.57
Total Liabilities (₹ in crores)	289.57
Investments (₹ in crores)	57.36
Turnover (₹ in crores)	27.08
Profit before Taxation (₹ in crores)	(5.13)
Provision for Taxation	-
Profit after Taxation (₹ in crores)	(5.13)
Proposed Dividend	-
% of shareholding	100%

Notes:

- During the F.Y. 2024-25, NSE IFSC Clearing Corporation Limited was a wholly owned subsidiary (WOS) of NSE Clearing Limited. Further, it ceased to be WOS w.e.f June 10, 2025.

For and on behalf of the Board of Directors

Abhaya Hota
Chairperson
DIN:02593219

Vikram Kothari
Managing Director & CEO
DIN:07898773

Hardik Parikh
Chief Financial Officer

Ravin Tank
Company Secretary

Place: Mumbai
Date: July 04, 2025

ANNEXURE 4 TO DIRECTORS' REPORT

NOMINATION AND REMUNERATION POLICIES**NSE Clearing Limited****Policy for Nomination and Appointment of Directors, KMPs and Senior Management Personnel****1. Introduction**

NSE Clearing Limited (hereinafter referred to as “NCL” or “the company”) is governed by the Companies Act, 2013 and rules notified thereunder; the Securities Contracts (Regulation) Act, 1956 read with rules notified thereunder and the Securities Contracts (Regulation) (Stock Exchanges and Clearing Corporations) Regulations, 2018 (hereinafter referred to as “SCR (SECC) Regulations, 2018”) including disclosure requirements and corporate governance norms as specified for listed companies to the extent applicable to stock exchanges/clearing corporations.

Pursuant to Section 178 of the Companies Act, 2013 and SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations) and SCR (SECC) Regulations, 2018, the Board of Directors of NCL is mandated to constitute a Nomination and Remuneration Committee which shall, amongst other things, formulate the criteria for determining qualifications, positive attributes and independence of a Director and criteria for identifying persons who may be appointed in senior management and recommend to the Board a policy, relating to the remuneration for the directors, key managerial personnel and other employees. Accordingly, NCL has constituted a Nomination and Remuneration Committee. This Policy lays down the broad guideline for nomination and appointment of Directors and Senior Management.

2. Objective

The objective of this Policy is to lay down a framework in relation to appointment of Directors, Key Managerial personnel and Senior Management Personnel under Companies Act and SECC Regulations. The Nomination and Remuneration Committee and this Policy shall be in compliance with Section 178 of the Companies Act, 2013 read along with the applicable rules thereto and Regulation 19 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, (Listing Regulations) and Securities Contracts Regulations (Stock Exchanges and Clearing Corporations) Regulations, 2018 (SECC Regulations). The Company aims to achieve a balance of merit, experience and skills amongst its Directors, KMPs and Senior Management Personnel.

The objectives of this Policy are:

- a. The Company aims to achieve a balance of merit, experience and skills amongst its Directors, KMPs and Senior Management including Key Managerial Personnel.
- b. To institute processes that enables the identification of individuals who are qualified to become Directors and who may be appointed as Key Managerial Personnel and/or in senior management. The NRC shall recommend to the Board of Directors the appointment of Directors, KMPs and Senior Management Personnel and their removal under the Companies Act. The appointment of KMPs under SECC Regulations shall be approved by the NRC.
- c. To formulate the criteria for identifying the persons who are qualified to become Directors and such persons who may be appointed as the KMPs / Senior Management Personnel of the Company.
- d. To determine the composition of the Board of Directors.
- e. To determine the qualifications, positive attributes and independence of a director and
- f. To ensure Board Diversity and implementation of succession planning in the Company.

3. Definitions

- (i) **“Board of Directors”** or **“Board”** shall mean the collective body of directors of NCL;
- (ii) **“Director”** means a director appointed to the Board of NCL;
- (iii) **“Independent Director”** shall have the meaning as defined under the Companies Act, 2013 read with relevant rules and the Listing Regulations.
- (iv) **“Key Managerial Personnel (KMP)”** means as defined under Section 2(51) of the Companies Act, 2013 and/or as per Regulation 2(j) of SCR (SECC), Regulation, 2018.
- (v) **“Managing Director”** means a director who, by virtue of the articles of a company or an agreement with the company or a resolution passed in its general meeting, or by its Board of Directors, is entrusted with substantial powers of management of the affairs of the company and includes a director occupying the position of managing director, by whatever name called.

Explanation.—For the purposes of this clause, the power to do administrative acts of a routine nature when so authorized by the Board such as the power to affix the common seal of the company to any document or to draw and endorse any cheque on the account of the company in any bank or to draw and endorse any

negotiable instrument or to sign any certificate of share or to direct registration of transfer of any share, shall not be deemed to be included within the substantial powers of management;

- (vi) **“Nomination and Remuneration Committee” or “the Committee”** shall mean a Committee of Board of Directors of the Company, constituted in accordance with the provisions of Section 178 of the Companies Act, 2013, Regulation 19 of the Listing Regulations and Regulation 27 of the SECC Regulations.
- (vii) **“Non- Independent Director”** means a means a director elected or nominated by the shareholders who are neither Trading Members nor Clearing Members, as the case may be, or their associates and agents;” as defined under SCR (SECC) Regulations, 2018);
- (viii) **“Policy”** means this “Policy for Nomination and Appointment of Directors, KMPs and Senior Management Personnel.”
- (ix) **“Public Interest Director”** means an Independent Director as defined under SCR (SECC) Regulations, 2018.
- (x) The term **“Senior Management”** shall mean officer/personnel of the company who are members of its core management team excluding Board of Directors and normally this shall comprise all members of management one level below the chief executive officer/managing director/whole time director/manager (including chief executive officer/manager, in case they are not part of the board) and shall specifically include the functional heads, by whatever name called and the company secretary and the chief financial officer [Regulation 16(d) of Listing Regulations]. It includes KMPs under the Companies Act, 2013 and those recommended by the NRC to be part of senior Management from time to time.
- (xi) **“Whole-time director”** as defined under Section 2(94) of the Companies Act, 2013 includes a director in the whole-time employment of the company;

Words and definitions not defined herein, shall have the same meaning as provided in the Companies Act, 2013 read with relevant Rules, Listing Regulations and SECC Regulations or other relevant provisions as may be applicable.

4. Interpretation

In any circumstance where the terms of this Policy differ from any existing or enacted law, rule, regulation governing the Company, the law, rule or regulation will take precedence over the provision of this Policy. Further, apart from the criteria and requirements laid down in this policy, the NRC and the Board will also be guided by the SEBI Directives, Circulars, Letters and Guidance notes with respect to the nomination and appointment of Directors, KMPs and Senior Management Personnel issued by SEBI from time to time.

5. Parameters for recommending a candidate for appointment as Director

When recommending a candidate for appointment as Director, the Committee will have regard to the following qualifications and positive attributes:

- (i) the appointee should satisfy the 'fit & proper criteria' as stipulated under SCR (SECC) Regulations, 2018 (refer Annexure A) and other requirements as prescribed by SEBI from time to time;
- (ii) assessing the appointee against a range of criteria which includes, but not be limited to, qualifications, skills, industry experience, background and other qualities required to operate successfully in the position;
- (iii) the extent to which the appointee is likely to contribute to the overall effectiveness of the Board, work constructively with the existing directors and enhance the efficiencies of the Company, in case of senior management their contribution towards effectiveness of the organisation as a whole would be considered;
- (iv) the nature of existing positions held by the appointee including directorships or other relationships and the impact they may have on the appointee's ability to exercise independent judgment;
- (v) ability of the appointee to represent the Company;
- (vi) ability to work individually as well as a member of the Board and with the senior management;
- (vii) influential communicator with power to convince other in a positive way;
- (viii) ability to participate actively in deliberation and group processes;
- (ix) have strategic thinking and facilitation skills;
- (x) act impartially keeping in mind the interest of the company on priority basis;
- (xi) has attained minimum age of 21 years and is not older than 75 years or such other age as may be prescribed from time to time, in case of Public Interest Directors.
- (xii) shall not be disqualified under Section 164 of the Companies Act, 2013
- (xiii) Personal specifications:
 - Educational qualification;
 - Experience of management in a diverse organization;
 - Interpersonal, communication and representational skills;
 - Demonstrable leadership skills;
 - Commitment to high standards of ethics, personal integrity and probity; and

- Commitment to the promotion of equal opportunities, community cohesion and health and safety in the workplace.
- (xiv) Enrollment of name in the Databank for the position of Independent Director / PID, being maintained by the Indian Institute of Corporate Affairs at Manesar to qualify as an Independent Director.
- (xv) While evaluating the candidature of an Independent Director, the Committee shall review the criteria for determining Independence as stipulated under the Companies Act 2013, Listing Regulations and other applicable regulations or guidelines.
- (xvi) The Committee takes a broad perspective with respect to Independence and takes into consideration not only the dealings, transactions, relationships with the concerned Individual Director but also with relatives, entities and organizations affiliated to it.
- (xvii) The Committee, along with the Board, regularly reviews the skill, characteristics required from the Board & Individual Directors. One of the prime objectives of this exercise is to identify competency gaps in the Board and make suitable recommendations. The objective is to have a board of diverse background and experience in business, technology, governance and areas that are relevant for NSE Clearing Limited.
- (xviii) Besides considering all other qualifications with regards to talent, relevant professional experience, proven track record of performance and achievement, ethics and integrity, ability to bring in fresh and independent perspectives, sector specific experience and expertise, the Committee objectively evaluates whether an individual can dispassionately discharge the statutory functions of a Director as enshrined in the Companies Act, 2013, SCR (SECC) Regulations, 2018 and Listing Regulations.

As far as the position of Managing / Executive Director is concerned, the person to be appointed will be assessed against a range of criteria which shall include but shall not be limited to qualifications, skills, industry experience, fit & proper, background and other attributes required for the said position. The person appointed as Managing / Executive Director shall have all the powers and authorities as prescribed by the Board of Directors and as provided in the Articles of Association and applicable provisions of the Act. Managing / Executive Director will be overall in-charge of the business, administration and other affairs of the Company subject to the superintendence, control and directions of the Board of Directors and he shall guide, control and supervise the employees of the Company, their functions, the business carried on by the Company and all administrative matters.

With respect to the selection of the Managing Director & Chief Executive Officer (MD & CEO), the Management shall ensure that no applicant is invited for an interview for the post of Managing Director & CEO unless the applicant has obtained necessary clearance / No objection certificate from the requisite authorities,

wherever required, in view of SEBI letter dated September 7, 2021, regarding the policy for the appointment of the Managing Director of MIs.

6. Guiding factors to be considered while appointing PIDs

- a. Governing Board shall comprise of atleast one PID having the requisite qualification and experience in each of the areas of capital markets, finance and accountancy, legal and regulatory practice and technology.
- b. Atleast one person shall be inducted having experience and background in finance/ accounts who may preferably be inducted in the audit committee.
- c. Persons currently holding positions of trust and responsibility in reputed organisations or person who have retired from such positions.
- d. Persons who are likely to have interested positions in commercial contracts and affairs of stock exchanges, may preferably be excluded. Persons who are regular speculators in the market or are a director in the board of the Promoter entity of the Stock Exchange or Clearing Corporation, shall be excluded.

7. Composition of Board under SECC Regulations

The Board of NCL shall include:

- (a) Non- Independent Directors;
- (b) Public Interest Directors; and,
- (c) Managing Director & Chief Executive Officer;
- (d) SEBI Nominee Director, if any.

Besides taking into account provisions as specified in the Articles of Association, applicable provisions contained in the Companies Act and Rules made thereunder and Listing Regulations, the Committee shall also take into account the following while deciding the composition of the Board and its size:

- The number of public interest directors shall not be less than the number of Non-Independent directors to constitute the quorum for the meeting of the governing board.;
- The Managing Director & CEO shall be included in the category of non-Independent Directors;
- The Managing Director & CEO of the Company shall not
 - (a) be a shareholder or an associate of a shareholder of a recognised stock exchange or recognised clearing corporation or shareholder of an associate of a recognised stock exchange or recognised clearing corporation, as the case may be;
 - (b) be a trading member or a clearing member, or his associate and agent, or shareholder of a trading member or clearing member or shareholder of an associate and agent of a trading member or a clearing member;
- Any employee of a recognised stock exchange or recognised clearing corporation may be appointed on the governing board in addition to the

Managing Director & CEO and such director shall be deemed to be a non-Independent Director;

- SEBI may appoint one or more persons as its Nominee not exceeding three in number, as director(s) on the governing board of any recognised stock exchange and such director(s) shall enjoy the same status and power as the other directors of the governing board.
- The governing board of the Company shall comprise of directors having the requisite qualifications and experience in the areas of capital markets, finance and accountancy, legal and regulatory practice, technology, risk management and management or administration
- The Company may also appoint directors having qualification and experience in other areas which may be specific to them.
- The Chairperson shall be elected by the Governing Board from amongst the Public interest Directors and shall be subject to prior approval of SEBI;
- No trading member or clearing member, or their associates and agents, shall be on the Board. The exceptions / exemptions in this regard shall be as stipulated in the SCR SECC Regulations, 2018, from time to time;
- No foreign portfolio investor shall have any representation in the Board; and
- The Public Interest Directors on the Board shall be appointed by the SEBI.
- The Public Interest Directors shall be eligible to become a Non-Independent Director only after a cooling period of 3 years after ceasing to be a Public Interest Director.

8. Term / Tenure :

a) Managing Director & CEO / Whole-time Director:

- i. The Company shall appoint or re-appoint any person as its MD & CEO for a term not exceeding 5 (five) years at a time.
- ii. Post the completion of the first term, the company shall conduct the appointment process for appointment of the MD & CEO afresh. The MD may be appointed for a maximum period of ten years, subject to an age limit of sixty-five years.
- iii. No re-appointment shall be made earlier than 1 (one) year before the expiry of the term.
- iv. The appointment and tenure of the MD & CEO would be governed by the applicable provisions of the Companies Act, 2013 and SECC Regulations, as may be mandated by SEBI from time to time.

b) Public Interest Director

- i. A Public Interest Director shall be appointed for a fixed term of 3 (three) years on the Board and for such extended period as may be approved by SEBI, subject to performance evaluation as provided in the Board Evaluation Policy and subject to the maximum age limit of seventy-five years.

- ii. At the time of appointment of the Public Interest Director, it shall be ensured that number of boards on which such Public Interest Director shall serve is restricted to 7 (seven) listed companies as a Public Interest Director.
- iii. The appointment and tenure of the Public Interest Director would be governed by the applicable provisions of the Companies Act, 2013 and as may be mandated by SEBI from time to time.
- iv. Shareholders' approval shall not be necessary for the appointment of PID.

c) Non- Independent Director

- i. The appointment and tenure of the Non-Independent Director would be governed by the applicable provisions of the Companies Act and as may be mandated by SEBI from time to time. The Non-Independent Director shall be liable to retire by rotation as per the provisions of Companies Act, 2013 in this behalf.
- ii. The appointment of a Non-Independent Director who has attained the age of 75 years may be made by passing a special resolution in which case the explanatory statement annexed to the notice for such motion shall indicate the justification for appointing such person.

9. Evaluation

The NRC shall by itself or through the Board or an independent external agency as prescribed in the Board Evaluation Policy, evaluate the performance of the Board / Committee(s), Individual Directors and Chairman at a regular interval (yearly) and review implementation and compliance.

10. Retirement

The Director, KMP and Senior Management Personnel shall retire as per the applicable provisions of the Act or the prevailing policy of the Company, as applicable. The Board / Committee will have the discretion to retain the Director, KMP, Senior Management Personnel in the same position / remuneration or otherwise even after attaining the retirement age, for the benefit of the Company.

11. Board Diversity

The Board shall consist of such number of Directors, including at least one-woman Independent Director, as is necessary to effectively manage the Company of its size. The NRC will lead the process for Board appointments. All Board appointments will be based on meritocracy in the context of the skills, diverse experience, independence and knowledge which the Board as a whole requires to be effective. The candidates will be considered against objective criteria, having due regard to the benefits of diversity on the Board. NCL believes that increased diversity in Board is associated with better financial performance, greater innovation and has a positive impact on the Company.

12. Familiarization Program for Directors

The Company shall provide an orientation to new Directors and continuing education / training to all its Directors and shall periodically provide materials or briefing sessions for all Directors on subjects that would assist them in discharging their duties. Each new Director shall spend reasonable time for personal briefings by senior management on the Company's operations, its material subsidiaries, strategic plans, its financial statements, its key policies and practices and other details as may be desired by the Director. Public interest directors shall peruse the relevant laws, code of conduct, etc. and submit an undertaking that they are aware of their role, responsibilities and obligations. The Company shall provide at least seven days of training to all director each year.

13. Criteria for appointment of KMPs and Senior Management Personnel

The following attributes shall be taken into consideration for selecting suitable candidates for appointment as senior management personnel:

- (i) The KMPs and Senior Management Personnel identified as KMP of NCL should satisfy the "Fit and Proper Person" criteria as prescribed by SECC Regulations (Refer Annexure A);
- (ii) Assessing the appointee against a range of criteria which includes but not be limited to qualifications, skills, industry experience, background and other qualities as may be required to operate successfully in the position;
- (iii) Contribution towards effectiveness of the organisation as a whole;
- (iv) ability of the appointee to represent the company;
- (v) ability to work individually as well as part of team of senior management;
- (vi) influential communicator with power to convince other in a positive way;
- (vii) ability to participate actively in deliberation and group processes;
- (viii) have strategic thinking and facilitation skills;
- (ix) act impartially keeping in mind the interest of the company on priority basis;
- (x) Profile shall include:
 - Educational qualification;
 - Experience of management in a diverse organization;
 - Interpersonal, communication and representational skills;
 - Demonstrable leadership skills;
 - Commitment to high standards of ethics, personal integrity and probity;
 - Commitment to the promotion of equal opportunities, community cohesion and health and safety in the workplace

The NRC / Management from time to time shall identify the level, designation and names of (i) Key Management / Managerial Persons under SCR (SECC) Regulations, 2018, Listing regulations and Companies Act and / or persons who forms part of Senior Management and recommend the same to NRC for its approval. The Managing Director & CEO is empowered to identify the candidates in the Senior Management in terms of the criteria prescribed herein and recommend their appointment to NRC.

14. The approval matrix for selection of various categories of KMP roles will be as follows: -

Sr. No.	Category of KMPs	Final approving authority / Committee
1	KMPs under SEBI SECC regulations	The NRC
2	KMPs under Companies Act, 2013	The NRC and The Board
3	KMPs categorized as Senior Management (Senior roles reporting directly to MD & CEO)	The NRC and The Board

15. Guidelines for appointment of KMPs / Senior Management (SM)

- a) Appointment of MD & CEO does not fall under the scope of this process and will be governed by the SEBI defined process for the same.
- b) The NRC upon the recommendations of the MD & CEO and Human Resource Officer shall periodically review and consider the list of Key Managerial Personnel / SM segmented under
 - (i) due for retirement (within 1 year)
 - (ii) organization readiness to mitigate risks on account of attrition, capability gaps and performance of the role holder.
 - (iii) The NRC shall also consider the new vacancies that may arise because of business needs/up-gradation of Department(s)/Regional Office(s).
- c) The MD & CEO and Human Resource Officer would be responsible to identify roles, designations & levels to be considered as KMP / SM and recommend to the NRC for review and approval.
- d) For vacancies arising out of newly created roles, which fall under the definition of KMPs / SM or on account of exit or transfer to any other role of any existing KMP / SM (subject to approval of the NRC), the Human Resources team will initiate hiring process.

16. Selection process for KMP roles

- i. The process for selection of the candidate for the role can be done either through internal career movement or through external hires based on merit. While doing so, a balance needs to be drawn between the potential available

- talent within the group and drawing on talent available outside the group to enable the management to hire the best talent based on merit.
- ii. Human Resources may utilize the services of professional search firms to assist in sourcing and evaluating external potential candidates.
 - iii. For KMP appointments through external candidates, timely and planned steps should be taken for selection of a candidate to ensure that the appointment is made well before the retirement / relieving of the concerned officer to ensure smooth transition.
 - iv. The interview panel for recommending candidates fitment for KMP roles to the NRC should consist of a minimum of 3 members i.e. the MD & CEO, Head of the Department reporting to the MD & CEO & Head Human Resource.
 - v. The NRC shall assess suitable candidates based on the recommendations of the MD & CEO and Head Human Resource. The NRC based on its interaction will decide to either accept or reject the candidate and further reserves the right to evaluate more candidates before finalizing the recommended candidate.
 - vi. As a process, at least one NRC member needs to interview the candidate and share his/ her assessment comments, which will be shared with the other NRC members for their consideration and approval to initiate further action.
 - vii. In the event of any unexpected occurrence in respect of KMP role holder, the supervisor in charge shall take interim charge of the responsibilities.

17. KMP Offer and compensation guidelines

- a) Head Human Resource will obtain compensation approval from the MD & CEO and NRC before extending the final offer to the selected candidate.
- b) 50% of the variable pay earned for each financial year of the KMPs under SECC Regulations shall be paid to the employee on completion of three years from the last date of the respective financial year, subject to malus and claw back.
- c) KMP roles in Regulatory / Compliance functions as defined under SEBI SECC Regulations will be for a fixed term as prescribed by the NRC.
- d) The Fixed term period for KMP roles - for regulatory functions as per SEBI norms defines fixed term for the role and not with the organization. The organization will have the flexibility to further extend the fixed term post expiry of the same.

- e) Employees in KMP roles in the Regulatory function can be moved within the function during the fixed term period; however, they cannot be transferred to any role out of the Regulatory function during the fixed term period.
- f) The NRC approvals should be obtained for seeking any extension of term in KMP roles and then intimated to SEBI
- g) Human Resources team would be responsible to inform fresh appointees as KMPs in advance of their appointment and the implications of their being in a KMP role and obtain their consent and documentation demonstrating fit and proper status before extending the final offer to the candidate.

18. Succession Planning

The Committee shall review, approve and aid the Board in succession and emergency preparedness plan for Key Executives (which includes persons for appointments to the Board and to senior management). The above mentioned criteria may be applied for such identification and evaluation.

19. Amendment

Any amendment or modification in the Companies Act, 2013, Listing Regulations, SECC Regulations, 2018, Rules, Regulations and directives issued under the respective statutes (which include Listing Regulations) and any other applicable Regulation relating to NRC shall automatically be applicable to the Company.

20. Disclosure

This policy shall be placed on the Company's website in accordance with provisions of the Companies Act, 2013 and Listing Regulations and the salient features of the policy, if any, shall be disclosed in the Board's report.

21. Review of the policy

This Policy shall be reviewed once a year to ensure that it meets the regulatory requirements or latest industry practice or both and the changes shall be placed in the NRC and the Board.

ANNEXURE A**Fit and proper criteria under SECC Regulations**

A person shall be deemed to be a fit and proper person if:

- (A) such person has a general reputation and record of fairness and integrity, including but not limited to-
- i. financial integrity;
 - ii. good reputation and character; and
 - iii. honesty;
- (B) such person has not incurred any of the following disqualifications:
- i. conviction of the person by a court for any economic offence or an offence of the securities laws ;
 - ii. an order for winding up has been passed against the person;
 - iii. the person has been declared insolvent and has not been discharged;
 - iv. an order, restraining, prohibiting or debarring the person from dealing in securities or from accessing the securities market, has been passed by the Board and a period of three years from the date of the expiry of the period specified in the order has not elapsed;
 - v. any other order against the person, or any of its whole time directors or managing partners, which has a bearing on the securities market, has been passed by the Board and a period of three years from the date of the order has not elapsed;
 - vi. the Board has initiated recovery proceedings under the SEBI Act, 1992 and are pending;
 - vii. the person is not financially sound or has been categorized as a willful defaulter; and
 - viii. any other disqualification as may be specified by the Board from time to time.
2. the person has not been found to be of unsound mind by a court of competent jurisdiction and have not been declared a fugitive economic offender; and
3. the person has not been convicted of an offence involving moral turpitude.

If any question arises as to whether a person is a fit and proper person, the Board's (i.e. SEBI's) decision on such question shall be final

NSE Clearing Limited

Remuneration Policy

1. Introduction

NSE Clearing Limited (hereinafter referred to as “NCL” or “the company”) is governed by the Companies Act, 2013 and Rules notified thereunder; the Securities Contracts (Regulation) Act, 1956 read with rules notified thereunder and the Securities Contracts (Regulation) (Stock Exchanges and Clearing Corporations) Regulations, 2018 (hereinafter referred to as “SCR (SECC) Regulations, 2018”) including disclosure requirements and corporate governance norms as specified for listed companies to the extent applicable to clearing corporations.

Section 178 of the Companies Act, 2013 and SCR (SECC) Regulations, 2018 read with SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (hereinafter referred as “Listing Regulations”) prescribe that the Nomination and Remuneration Committee shall recommend to the Board a policy relating to the remuneration of the Directors, Key Managerial Personnel, Senior Management Personnel and other employees.

Regulation 27 of the SCR (SECC) Regulations, 2018 mandates that the Remuneration Policy for the Key Management Personnel of the Clearing Corporation shall be in accordance with the norms specified by SEBI.

2. Definitions

- (i) **“Board of Directors” or “Board”** shall mean the collective Body of Directors of NCL;
- (ii) **“Director”** means a Director appointed to the Board of NCL;
- (iii) **“Independent Director”** shall have the meaning as defined under the Companies Act, 2013 read with relevant rules and the Listing Regulations.
- (iv) **“Key Managerial Personnel (KMP)”** means as defined under Section 2(51) of the Companies Act, 2013 and/or as per Regulation 2 of SCR (SECC), Regulation, 2018
- (v) **“Senior Management”** under Companies Act means personnel of the company who are members of its core management team excluding Board of Directors comprising all members of management one level below the executive directors, including the functional heads. “Senior Management” under SEBI (Listing Obligations and Disclosure Requirements), 2015 mean officers / personnel of the Exchange who are members of its core management team excluding Board of Directors comprising all members of management one level below the chief executive officer/managing director/whole time

director/manager (including chief executive officer/ manager, in case they are not part of the board) and shall specifically include the functional heads, by whatever name called and the Company Secretary and the Chief Financial Officer. It may include such persons identified by the NRC / Board from time to time in terms of the Companies Act, 2013 and Listing Regulations.

- (vi) **“Managing Director”** under the Companies Act, 2013 means a director who, by virtue of the articles of a company or an agreement with the company or a resolution passed in its general meeting, or by its Board of Directors, is entrusted with substantial powers of management of the affairs of the company and includes a director occupying the position of managing director, by whatever name called.

Explanation.—For the purposes of this clause, the power to do administrative acts of a routine nature when so authorized by the Board such as the power to affix the common seal of the company to any document or to draw and endorse any cheque on the account of the company in any bank or to draw and endorse any negotiable instrument or to sign any certificate of share or to direct registration of transfer of any share, shall not be deemed to be included within the substantial powers of management;

- (vii) **“Nomination and Remuneration Committee” or “Committee”** shall mean a Committee of Board of NCL, constituted in accordance with the provisions of Section 178 of the Companies Act, 2013, Regulation 19 of the Listing Regulations and Regulation 27 of SCR (SECC) Regulations, 2018.
- (viii) **“Other Employees”** means any person (other than KMPs under the Companies Act and SECC Regulations and Senior Management Personnel) employed to work full time on the payrolls of the Company.
- (ix) **“Policy”** means this Remuneration Policy.
- (x) **“Public Interest Director”** means an Independent Director, representing the interests of investors in securities market and who is not having any association, directly or indirectly, which in the opinion of the Securities and Exchange Board of India (“SEBI”), is in conflict with his role;
- (xi) **“Whole-time director”** includes a director in the whole-time employment of the company;

Words and definitions not defined herein, shall have the same meaning as provided in the Companies Act, 2013 read with relevant rules, Listing Regulations and SCR (SECC) Regulations 2018 or other relevant provisions; as may be applicable.

3. Interpretation

In any circumstance where the terms of this Policy differ from any existing or enacted law, rule, regulation governing the Company, the law, rule or regulation will take precedence over the provision of this Policy.

4. Objectives

The Company aims to achieve a balance of merit, experience and skills amongst its Directors, Key Managerial Personnel and Senior Management Personnel.

The objectives of this policy are:

- (a) To lay down a policy for payment of remuneration to the Directors, Key Managerial Personnel, Senior Management and other employees of NCL;
- (b) To assist the Board on determination of remuneration payable to the Directors, Key Managerial Personnel, Senior Management and other employees of NCL;
- (c) To ensure that the level and composition of remuneration is reasonable and sufficient to attract, retain and motivate Directors of the quality required to run the Company successfully;
- (d) To ensure that relationship of remuneration to performance is clear and meets appropriate performance benchmarks;
- (e) To ensure that the remuneration to Directors, Key Managerial Personnel and Senior Management involves a balance between fixed and incentive pay reflecting short and long-term performance objectives appropriate to the working of the company and its goals.
- (f) To decide on the Annual Performance Linked Pay (variable pay) payable to Managing Director & Chief Executive Officer (CEO) and to approve annual increase in the Total Pay payable to Managing Director & CEO;
- (g) To assist the Board's overall responsibility relating to executive compensation and recommend to the Board appropriate compensation packages for Whole-time Directors and Senior Management personnel in such a manner so as to attract and retain best available personnel for position of substantial;
- (h) To approve release of variable pay of KMPs under SEBI Regulations withheld earlier; and
- (i) To approve Variable Pay and Fixed Pay of KMPs under SEBI Regulations.

5. Remuneration of Directors, KMP and Senior Management

- (a) The remuneration / compensation, etc. to be paid to Directors will be determined by the Committee and recommended to the Board for approval. The remuneration / compensation / commission etc. shall be subject to the approval of the shareholders of the Company, Central Government and SEBI, wherever required. It shall be as per the statutory provisions of the Companies Act, 2013 read with the rules made thereunder for the time being in force. The requirements, if any, prescribed by SEBI from time to time in this regard shall be followed while determining the compensation payable to Directors, KMP and Senior Management.
- (b) The remuneration / compensation to be paid to the KMP shall be approved by the Committee. For KMP's under Companies Act, 2013, it shall be as per the statutory provisions of the Companies Act, 2013 read with the rules made thereunder for the time being in force. For KMP's under SCR (SECC) Regulations, 2018, the requirements prescribed by SEBI from time to time in this regard shall be followed while determining the compensation payable to

them, which shall be determined by the Committee. For those Senior Management, compensation payable shall be recommended by the Committee to the Board for its approval.

- (c) The Committee shall lay down remuneration policy of the Company from time to time in accordance with market practice and the Company philosophy subject to SEBI norms, as may be applicable.
- (d) The annual compensation shall consist of a fixed component and a variable component. The variable component shall be within a range of 25% to 50% of the total pay in respect of KMPs under SCR (SECC) Regulations, 2018. This shall however not be applicable to the other employees.
- (e) The Head Human Resources will obtain compensation approval from the Managing Director & CEO and the NRC before extending the final offer to the selected candidate.
- (f) 50% of the variable pay in respect of the KMPs in respect of each financial year shall be paid to the KMP concerned on completion of 3 years from the last date of the respective financial year which will be kept invested in fixed deposits till final payment, if any and paid to the employee concerned with accrued interest if and when the final payment is made. However, as a malus arrangement, the said amount or any part thereof along with accrued interest as per fixed deposit rate for the applicable period in respect of a financial year may be prevented from being paid by the compensation committee, after providing an opportunity of being heard to the concerned KMP, in case of fraud, misfeasance, misappropriation or excessive risk taking by the concerned employee intentionally causing financial loss to the company.
- (g) The KMPs are also covered under a claw back arrangement under which the compensation committee may require an employee to return previously paid in full or vested remuneration partially or fully including the interest earned (if any), after providing an opportunity of being heard to the concerned KMP, under the following circumstances namely fraud, misfeasance, misappropriation and intentionally causing financial loss to the company. The claw back is exercisable within a period of three years from the end of financial year in which the remuneration was paid or vested. The claw back is not exercisable in respect of retiral benefits accrued to KMPs in terms of SCR (SECC) Regulations, 2018.
- (h) ESOPs and other equity linked instruments shall not be offered or provided as part of the compensation for the Key Management Personnel.
- (i) The following factors shall be considered while fixing compensation package for the KMPs:
 - A. performance, potential, qualification, experience, expertise,
 - B. role and responsibilities
 - C. level of employees, inflation, attraction and retention of talent,
 - D. market benchmark / comparable to the industry standards,

- E. size and complexities of operation,
- F. financial condition and health of the Company, revenues, net profit,
- G. average levels of compensation payable to employees in similar ranks, periodic review, etc.

(j) Incentive to take excessive risks over the short term shall be discouraged.

(k) The Managing Director & CEO and Head Human Resources will be responsible for execution of the compensation strategy, practices and plan (covering both fixed pay and variable pay) for the other Employees in line with the compensation policy

6. Remuneration criteria for Managing Director & CEO

The remuneration / compensation, if any, etc. of the Managing Director & CEO shall be subject to the approval of the NRC, Board and Shareholders of the Company, wherever required, under applicable laws.

7. Remuneration criteria for Independent Directors/ Public Interest Directors / Non- Executive Directors

The Independent Directors/ Public Interest Directors / Non- Executive Directors of the Company are entitled to sitting fees for attending the meetings of the Board or Committees thereof. The reimbursement of expenses for attending the Board and other Committee meetings including travelling, boarding and lodging expenses, shall be paid by the Company.

8. Amendment

Any amendment or modification in the Companies Act, 2013, SCR(SECC) Regulations, 2018, Rules, Regulations and directives issued under the respective statutes (which includes Listing Regulations) and any other applicable provision relating to the remuneration/compensation/commission, etc. shall automatically be applicable to this Policy.

9. Disclosure

This Policy shall be placed on the Company's website in accordance with provisions of the Companies Act, 2013 and Listing Regulations and the salient features of the policy, if any, shall be disclosed in the Board's report.

10. Review of the policy

This Policy shall be reviewed once a year by the Nomination and Remuneration committee and Board to ensure that it meets the regulatory requirements or latest industry practice or both. The changes made to the Policy shall be placed before the NRC and the Board for approval.

ANNEXURE 5 TO THE DIRECTOS' REPORT

ANNUAL REPORT OF THE CORPORATE SOCIAL RESPONSIBILITY (CSR) ACTIVITIES FOR FY 2024-25

1. Brief Outline on CSR Policy of the Company:

NSE Group understands that the economic and social well-being of the community is closely interlinked to their habitats and the environment. NSE Group therefore strives to integrate triangulated focus to improve the quality of life of its identified beneficiaries towards creating inclusive societies, while meeting its social, economic and environmental responsibilities.

Based on the Schedule VII in section 135 of the Companies Act 2013, NSE Group has identified eight CSR areas as issues of concern to be addressed in the developmental landscape in India to be undertaken through NSE Foundation. They are i) primary Education, ii) Elder care, iii) Safe Drinking Water & Sanitation, iv) Health & Nutrition, v) Environment Sustainability, vi) Skill Development & Entrepreneurship, vii) Funding of incubators in academic institutions and other agencies and viii) Disaster Relief and Rehabilitation.

2. Composition of CSR Committee:

Sr. No.	Name of Director	Designation / Nature of Directorship	Number of Meeting of CSR Committee held during the financial year [^]	Number of Meeting of CSR Committee attended during the financial year
1	Dr. Golaka Nath	Chairperson, Independent Director	3	3
2	Mr. G S Hegde	Independent Director	3	3
3	Mrs. Priti Savla	Independent Director	3	3
4	Mr. Ian Desouza*	Non-Independent Director	2	1

Note:

[^] Number of Meetings held during the tenure of Member

* Appointed as Member w.e.f. November 19, 2024

3. Provide the web-link where Composition of CSR committee, CSR Policy and CSR projects approved by the board are disclosed on the website of the company.

Composition of CSR Committee:	https://www.nseclearing.in/other-committees
CSR Policy:	https://www.nseclearing.in/sites/default/files/disclosure/NSE_Group_CSR_Policy.pdf
CSR projects:	https://www.nseclearing.in/sites/default/files/disclosure-doc/2025-04/Revised%20Annual%20Action%20Plan.pdf

4. Provide the executive summary along with web-links of Impact assessment of CSR projects carried out in pursuance of sub-rule (3) of rule 8, if applicable:

Impact assessments were undertaken by third party assessment agencies (selected via the due vendor governance process of NSE) for concluded projects of NSE Group CSR. Through the assessments, agencies have reviewed the programmes in line with the outlined objectives. The projects fall under the focus areas of Primary Education (13), Safe Drinking Water & Sanitation (6), Elder Care (4), Funding to Incubators (3), Skill Development (2) and Environment Sustainability (2). The list of impact assessments is summarized below:

Sr. No.	Name of the Project	Focus areas	Location	Project Outputs
1	Jaldhara: Integrated Water, Sanitation and Hygiene (WASH) interventions in Nandurbar, Maharashtra	Sanitation and Safe Drinking Water	Nandurbar	The initiative focused on WASH improvements in 40 Nandurbar villages. Awareness sessions in schools and communities boosted sanitation, menstrual hygiene, and open defecation-free environments. The initiative led to 98% improved handwashing practices, 100% toilet usage, and 97% sanitary pad use among respondents. Further, the program reduced waterborne diseases, enhanced public health, and improved privacy and dignity, particularly for women and girls. Key findings indicate significant behavioural changes post-intervention, demonstrating the initiative's success in promoting healthy hygiene practices.
2	Serving and enriching education to under-privileged tribal children in Talode block of Nandurbar district	Primary Education	Nandurbar	This primary education program aimed to improve access and quality for 2,760 underprivileged tribal children across 51 villages. With the All-India Institute of Local Self-Government (AILSG) as the on-ground partner, 102 Children's Resource Centers were established, reaching 4,170 children. The programme also facilitated 87,806 counselling sessions, 53,526 home visits, and 12,444 WASH sessions, significantly improving educational outcomes and hygiene practices. Parental involvement also increased through 582 Parents Apex Body sessions.
3	Sustainable community ODF program at Ramanathapuram block, Ramanathapuram district, Tamil Nadu	Sanitation and Safe Drinking Water	Ramanathapuram	The project aimed to achieve open defecation-free status in Ramanathapuram. It retrofitted 3,200 household latrines, 60 school toilets and 10 Anganwadi toilets impacting 50,000 direct and 100,000 indirect beneficiaries. Key findings include 93% of retrofitted toilets being well-maintained, 92% respondents reported reduction in WASH-related illnesses, and 62% reporting reduced medical expenses. Additionally, 98% of students found school toilets functional, and 93% were aware of importance of handwashing. The program's success is evident in improved hygiene practices, and community well-being.

Sr. No.	Name of the Project	Focus areas	Location	Project Outputs
4	To provide sustainable livelihood by way of providing construction Skill training and employment / self-employment for Rural Youth from Nandurbar, Maharashtra	Skill Development and Entrepreneurship	Nandurbar	This initiative in Nandurbar aimed to provide sustainable livelihoods through construction skills training. Key findings include a 97% job placement rate post-training, with 69% earning ₹ 8,000-9,000 monthly. Around 95% respondents stated that they could fully support their families financially. The program also led to improved socio-economic well-being, with 71% able to bear medical costs, 67.5% reporting increased food consumption, and 66% affording education costs. The program demonstrated significant positive impacts on the trainees' livelihoods and communities.
5	Karadi Path Magic English SLL program	Primary Education	Nandurbar	Launched by the NSE Foundation in Nandurbar, Maharashtra, the program aimed to enhance English skills in 424 Zilla Parishad primary schools. It focused on comprehension and contextual learning. Key findings include an 84% improvement in listening proficiency, 67% in speaking, and 50% in reading. Confidence in English communication increased, and 55% of students found the music path highly engaging. Teachers' English proficiency improved, with many transitioning to English instruction. Around 98% of students reported enjoying English classes, and 94% preferred the learning approach adopted under the program, highlighting its success in fostering language skills and classroom participation.
6	Block transformation for ODF sustainability and WASH compliant communities, schools, Ashramshalas and other key institutions	Sanitation and Safe Drinking Water	Navapur Block, Nandurbar District	The project focused on sustaining Open Defecation Free (ODF) status of 114 gram panchayats, 50,150 households, and 252 schools. Key findings include 80% of student respondents were accessing piped water, 84% of schools had handwashing units, and 81% of respondents reported reduction in open defecation. Further, Nigrani Samitis significantly boosted community participation. Despite progress, gaps in sanitation infrastructure remain. Addressing menstrual health challenges still requires culturally sensitive interventions. The project significantly improved water access, sanitation, and hygiene behaviors in the community.

Sr. No.	Name of the Project	Focus areas	Location	Project Outputs
7	Promotion of swachh and swasth Hindaun block of Karauli district in Rajasthan	Sanitation and Safe Drinking Water	Karauli	The objectives of the project was to enhance water and sanitation infrastructure in 23 schools, 11 villages, 10 Anganwadi centres, and one PHC in Karauli district. Key findings include 96% of students reporting availability of water in restrooms, 98% reported having functional school toilets, and 92% highlighted improvement in toilet cleanliness. Additionally, 87% of beneficiaries had consistent water supply, 64% of women reported improved quality of life, and 97% of beneficiaries participated in Behavioural Change Communication (BCC) sessions. The project successfully improved water and sanitation infrastructure, contributing to better hygiene practices and community well-being.
8	Foundational learning enhancement in primary grades [I-V] in government schools in Hindaun block of Karauli district, Rajasthan	Primary Education	Karauli	The program aimed to provide foundational literacy to underprivileged students in 150 government schools in Hindaun block, Karauli district, Rajasthan. Educational resources and teacher capacity building were program's main components. Key findings include 96% of students feeling more engaged in class. Further students registered improvement competency levels in Mathematics, with those scoring 60%-75% increased from 6.5% to 26%, and those scoring $\geq 75\%$ increased from 3% to 17%. Furthermore, in Hindi, students in the $<30\%$ marks category decreased from 66% to 36%, and those scoring $\geq 75\%$ increased from 2% to 4%. Additionally, 98% of students assisted their families in reading, writing, and calculations. Teachers reported learning new methods, and 95% noted improved community attitudes towards education. The intervention significantly improved student retention, attendance, and literacy skills.
9	Creating enablers for ODF sustainability	Sanitation and Safe Drinking Water	Nandurbar Block, Nandurbar District	The initiative targeted to sustain Open Defecation Free (ODF) status across 137 gram panchayats, enhancing sanitation, healthcare, and waste management practices. Key findings include 96% respondents having regular toilet access, 85% reporting reduced waste-related diseases, and 99% observing improved waste disposal. School sanitation improved with 95% running water availability and 99% student participation in hygiene sessions. The project's comprehensive approach led to increased cleanliness (96%) and raised awareness of open defecation risks, contributing to a healthier and more resilient community in Nandurbar.

Sr. No.	Name of the Project	Focus areas	Location	Project Outputs
10	Making Mandrail block of Karauli district as Open Defecation Free sustainable block through school, AWC and community centered wash interventions	Sanitation and Safe Drinking Water	Karauli	The project enhanced WASH infrastructure in schools and promoted sustainable hygiene practices. Key findings include 90% school children stated that they have access to drinking water, 98% reported improved toilet functionality, and 89% highlighted having handwashing facilities near toilets. Hygiene practices improved for 82% of students, and disease instances reduced due to heightened hygiene awareness. The project elevated health and sanitation standards, benefiting both students and the wider community. This initiative highlights the importance of WASH interventions for long-term well-being.
11	Improving language and numeracy skills of 8,139 children in primary and upper primary schools of Mandrail block in Karauli district of Rajasthan state	Primary Education	Karauli	The key interventions under the program included Shiksha Mitras recruitment, teacher training in Activity-Based Learning (ABL), Village Level Learning Centres (VLLCs) during the pandemic, and Children's Groups for health, hygiene, and life skills. The key outcomes of the project include 80% attendance in VLLCs, 0% dropout rates from schools, 500+ re-enrolled out-of-school children, 314 teachers trained in ABL, and strengthened school governance. The program effectively improved access to education, teaching methodologies, and community involvement, contributing to holistic child development.
12	Sustainable environment & livelihoods through soil & water conservation and improving soil health	Environment Sustainability	Karauli	The intervention targeted to promote sustainable environmental practices and enhance livelihoods through soil and water conservation. Implemented in 76 villages, the project improved water resource access for 78% of respondents, prevented soil erosion for 93% of farmers, increased farm income for 53% and 92% of farmers adopted organic farming practices. The intervention's approach enhanced agricultural productivity, soil health, and community well-being in the drought-prone region.

Sr. No.	Name of the Project	Focus areas	Location	Project Outputs
13	Vidya - enhancing learning of tribal students in Dhadgaon block of Nandurbar	Primary Education	Nandurbar	The objectives of the initiative were to enhance learning outcomes in Marathi and Mathematics for students in grade 1-5 in intervention schools of Nandurbar district. Key findings include 88% of students showing increased interest in English and 91% learning names of local trees in English. The initiative established 50 Bal Bhavans, engaged 12 students per hamlet class during COVID-19, and strengthened SMCs. The project improved educational outcomes, community involvement, and continuity in education despite pandemic challenges.
14	Project Samarthya: elderly care programme (55 years+) in Nandurbar district, Maharashtra	Elder Care	Nandurbar	The project sought to enhance social sustainability and well-being of elderly citizens of targeted locations in Nandurbar district. It empowered the elderly through digital, financial, and legal literacy and fostering linkages with government schemes. Key findings include 60% of beneficiaries reporting monthly savings, 99% receiving free healthcare services, and 62% highlighting improved well-being. Digital literacy empowered 61% respondents by boosting mobile and banking skills. The project also improved agricultural productivity, creating a sustainable model for elderly well-being. Project Samarthya promoted social and financial inclusion and improving livelihoods for elderly population.
15	Project- Student Teacher Empowerment Program (STEP) Plus	Primary Education	Ramanathapuram	The program targeted to improve educational outcomes in 69 government schools of Ramanathapuram, supporting 3,191 students, with a focus on enrolling girls. Key findings include improvement in educational outcomes as exemplified by consistent increase in average scores from Baseline to Impact Assessment across grades and subjects. Further, the project enhanced student engagement, with 90% enjoying learning, and improved teacher pedagogical skills. Challenges included student tracking and pandemic-related issues.

Sr. No.	Name of the Project	Focus areas	Location	Project Outputs
16	Sahaj Path: Bridging learning gaps of students in government primary schools of Dubrajpur block of Birbhum district, West Bengal	Primary Education	Birbhum	The intervention targeted to address educational disparities in 168 government primary schools in Dubrajpur block, Birbhum. The program focused on marginalized communities, improving English proficiency from 10% to 84%, Mathematics from 25% to 88%, and vernacular skills from 24% to 86%. Key interventions included learning centers, upgraded school facilities, and innovative teaching methods. Community engagement led to 95% parent and SMC participation. Regular reading sessions and health awareness reached over 85% of parents. The program improved foundational learning, school attendance, and holistic development among students.
17	SCORE [Sustainable Conservation of Water Resources Through Enabling] community-led development	Environment Sustainability	Ramanathapuram	The project focused on water scarcity in Ramanathapuram, Tamil Nadu. Key interventions included renovation of 70 water bodies, promoting organic farming, and enhancing community-led water management. The project improved water availability, with 44% of tanks retaining water for 6-8 months, increased irrigated land per farmer from 1.34 to 1.60 acres, and boosted livestock farming for 67% of respondents. Groundwater levels improved in 65% of wells, and women's land ownership rose to 73%. The project enhanced agricultural productivity, economic stability, and environmental sustainability, providing a model for water-stressed regions.
18	Healthcare access to geriatric population through technology	Elder Care	Ramanathapuram & Nandurbar	The program targeted to improve healthcare for geriatric populations in intervention location of Nandurbar, Maharashtra, and Ramanathapuram, Tamil Nadu. It covered 27,771 patients through 61,347 teleconsultations, with 99% receiving free medicines. Two tertiary hospitals conducted 1,058 specialist teleconsultations which were rated 'Excellent' by 42% of respondents. The project held 22 health camps and 20,350 counselling interactions, with 67% patients utilizing PHC help desks. Additionally, 1,746 elderly members formed 173 Elders' Self-Help Groups, attending 142 training sessions. The initiative improved healthcare access and quality for the elderly, with sustained positive impacts in both districts.

Sr. No.	Name of the Project	Focus areas	Location	Project Outputs
19	Anupad	Primary Education	Nashik	The initiative sought to address educational challenges in 18 tribal Ashramshalas in Nashik district. Key achievements include increase in grade appropriate Marathi literacy proficiency of students from 10% to 70% and mathematics competency from 15% to 65%. The initiative improved classroom participation, parental involvement, and reduced dropout rates. 70% of students developed regular reading habits, and despite pandemic challenges, Shikshan Mitras provided personalized support. The program influenced school-level policies and enhanced teaching practices, contributing to better educational outcomes in underserved tribal communities.
20	EQUIP Thirupullani Project (Education Quality Improvement Project)	Primary Education	Ramanathapuram	The intervention targeted educational challenges in 50 government primary schools in Thirupullani, Tamil Nadu. The program improved grade appropriate Tamil proficiency from 35% to 77%, English from 30% to 84%, and Math from 34% to 87%. Key interventions included teacher training, community involvement, and upgraded learning resources. Community-driven initiatives boosted school attendance and reduced dropout rates. 95% of parents and SMC members participated in decision-making, and 78% of students developed regular reading habits. The program enhanced education quality and fostered holistic development of students in underserved communities.
21	Skill Mitra And Udyog Mitra model for livelihood in two blocks of Ramanathapuram	Skill Development and Entrepreneurship	Ramanathapuram	The program provided vocational training, mentorship, and community engagement, focusing on trades like palm leaf crafting, jute production, and tailoring to marginalized communities in Mandapam and Thirupullani, Tamil Nadu. Key achievements include 85% of participants improving skills, over 60% women participants enhancing economic independence, and Udyog Mitras supporting micro-businesses. The program increased livelihood awareness for 95% of respondents. It boosted employability, economic self-reliance, and community resilience, aligning with local market demands and government priorities.

Sr. No.	Name of the Project	Focus areas	Location	Project Outputs
22	Akshara: Learning centers for primary children in Rameswaram	Primary Education	Ramanathapuram	The project targeted literacy and numeracy gaps among students of grades 1-5. Key achievements include a increase in foundational math proficiency from 2% to over 70% and undertaking capacity building training for 53 teachers. The project engaged 44 community tutors for personalized student support and 90% of parents in educational activities, strengthening school-community collaboration. Improved access to learning resources and remote engagement strategies ensured continuity despite the pandemic. The project enhanced educational outcomes and fostered an inclusive learning environment.
23	Shraddha – Towards active and healthy ageing	Elder Care	Yavatmal, Nalgonda, Purbi Midnapore & Supaul	The initiative aimed to improve elderly welfare in Maharashtra, Telangana, Bihar, and West Bengal. Key interventions included healthcare support, social inclusion, and economic empowerment through Elderly Self-Help Groups (ESHGs). The project enhanced healthcare access for 99% elderly respondents in Pochampally and 98% in Kolaghat through Gram Chikitsa Centres. Further, increased social participation was reported by 98% respondents in Pochampally and 100% in Ghatanji. Furthermore, an improvement in financial well-being was highlighted by 98% respondents in Pochampally, 91% in Supaul and 100% in Birbhum. COVID-19 support included food security and vaccinations. Overall, ESHGs significantly improved the quality of life for seniors, promoting inclusion and well-being.
24	Aalambana – Towards active and healthy ageing	Elder Care	Birbhum, Ramanathapuram & Karauli	The intervention targeted to enhance elderly welfare in Tamil Nadu, Rajasthan, and West Bengal. Key findings include improved social interactions through Elderly Self-Help Groups (ESHGs) for 96% respondents in Ramanathapuram, 89% in Karauli, and 66% in Birbhum. Financial circumstances improved for 100% respondents in Birbhum, 94% in Karauli, and 97% in Ramanathapuram. The Gram Chikitsa Centre enhanced healthcare access for 98% elderly in Birbhum, 100% in Karauli, and 99% in Ramanathapuram. Digital literacy saw an increase, evidenced by enhanced usage of digital devices by seniors. Overall, ESHGs greatly improved seniors' quality of life, fostering inclusion and well-being.

Sr. No.	Name of the Project	Focus areas	Location	Project Outputs
25	Creating a learning culture	Primary Education	Mumbai	The program focused on improved foundational literacy and numeracy for students in grades 1-5 in targeted schools located in Kurla, Mumbai. Overall, it reached 7,314 students, 4,407 parents, and 100+ teachers through workshops, training, and digital resources. Key findings include 96% of teachers reported seeing improved student engagement, 100% of parents noted enhanced confidence in their children, and 99% of students felt more confident in previously challenging subjects. The program fostered holistic development, innovation in teaching practices, and strengthened community involvement, creating a supportive and inclusive learning environment.
26	Strengthening WASH in municipal schools of Ahmedabad	Integrated Primary Education and WASH	Ahmedabad	The project sought to address foundational learning gaps in Gujarati, EVS (Environmental Studies), and Mathematics for grades 3-5 in Ahmedabad municipal schools. Key achievements include increase in grade appropriate Mathematics proficiency from 18% to over 70%, training 62 teachers in innovative teaching methods, and active participation from 85% of parents and SMC members. The project also upgraded school infrastructure with drinking water taps, clean toilets, and handwashing stations. Hygiene practices improved for 94% of students, and hygiene awareness campaigns promoted better sanitation habits among students and their families. The project enhanced educational outcomes and community engagement.
27	Siksha setu	Primary Education	Nandurbar	The initiative aimed to improve educational outcomes for over 20,000 students in Nandurbar through digital learning using the computer application. The key outcomes of the program include 73.3% of respondents reporting improvement in Mathematics skills and 74.4% in Marathi skills. In competency assessments, advancements were noted in Algebra (64% students) and Writing Skills (84% students). Students using the app for 20+ hours reported greater progress. Post-app use, 86% students felt more confident, 83% more motivated, and 87% saw improved English skills. During the lockdown, 88% students found the app crucial for continuing education. The program enhanced student learning and engagement through interactive techniques.

Sr. No.	Name of the Project	Focus areas	Location	Project Outputs
28	Innovative medical devices for affordable healthcare	Funding of incubators	Mumbai	The project targeted to address critical gaps in India's medical device ecosystem by deploying advanced devices and training innovators to improve healthcare accessibility for underserved communities. Key deployments included 100 Knee Ankle Foot Orthoses (KAFO), 79 digital stethoscopes, and 59 diabetic foot screeners. Collaboration with local NGOs, healthcare professionals, and government bodies facilitated effective device deployment and training. The project highlighted the importance of customized training, strong partnerships, indigenous content, and local manufacturing.
29	Hyperlocal air pollution monitoring using mobile monitoring for Chennai Gurugram and Mumbai	Funding of incubators	Chennai	The project sought to create a cost-effective air quality monitoring system using vehicle-mounted and stationary devices in Mumbai and Gurugram. Key interventions included deploying 25 mobile and 25 static devices in Chennai, and 40 mobile and 80 static devices in Gurugram, generating hyperlocal air quality maps for real-time pollution assessment. The project provided insights into the effectiveness of combining mobile and stationary devices, enabling dynamic monitoring and immediate responses to pollution spikes.
30	Integrated energy monitoring and management system for a large commercial complex towards 100% renewable energy utilization	Funding of incubators	Chennai	The initiative aimed to optimize energy usage and leverage renewable sources. Key objectives included maximizing renewable energy consumption and storage, minimizing overall energy use, and reducing costs. The EMS system achieved 90% renewable energy usage, saving approximately ₹ 33 Lakhs per month. By charging storage during lower-rate hours and using stored energy during peak times, the system enhanced energy efficiency and significantly lowered the carbon footprint. The project demonstrates the potential for sustainable energy practices to drive economic and environmental benefits in India's journey towards a greener future.

As required by Rule 8(3) of the Companies (CSR Policy) Rules 2014 and amendments thereunder, the Company has carried out impact assessment through independent third parties, the summary of the reports is provided as a link.

Link: <https://www.nseclearing.in/disclosures/other-disclosures>

5. a) Average net profit of the company as per section 135(5): ₹ 9,84,95,67,313.27/-
 b) Two percent of average net profit of the company as per section 135(5):
 ₹ 19,69,91,346.26/-
 c) Surplus arising out of the CSR projects or programmes or activities of the previous financial years: Nil
 d) Amount required to be set off for the financial year: Nil
 e) Total CSR obligation for the financial year (5b+5c+5d): ₹ 19,69,91,346.26/-
6. a) Amount spent on CSR Projects (both ongoing projects and other than ongoing project): ₹ 27,81,069.54/-
 b) Amount spent in Administrative Overheads: Nil
 c) Amount spent on Impact Assessment, if applicable: ₹ 49,88,099/-
 d) Total amount spent for the financial year (6a+6b+6c): ₹ 77,69,168.54/-
 e) CSR amount spent or unspent for the financial year:

Total Amount Spent for the financial year (in ₹)	Amount Unspent (in ₹)				
	Total Amount transferred to Unspent CSR Account as per section 135(6)		Amount transferred to any fund specified under Schedule VII as per second proviso to section 135(5)		
	Amount (in ₹)	Date of transfer	Name of the Fund	Amount (in ₹)	Date of transfer.
77,69,168.54	18,92,22,831.46	March 28, 2025	N.A.	Nil	N.A.

f) Excess amount for set off, if any:

Sr. No.	Particulars	Amount
i)	Two percent of average net profit of the Company as per section 135(5)	Not Applicable
ii)	Total amount spent for the financial year	
iii)	Excess amount spent for the financial year [(ii)-(i)]	
iv)	Surplus arising out of the CSR projects or programmes or activities of the previous financial years, if any	
v)	Amount available for set off in succeeding financial years [(iii)-(iv)]	

7. Details of Unspent CSR amount for the preceding three financial years:

Sr. No	Preceding financial year	Amount transferred to Unspent CSR Account under section 135 (6) (in ₹)	Amount spent in the reporting financial year (in ₹)	Amount transferred to any fund specified under Schedule VII as per section 135(6), if any			Amount remaining to be spent in succeeding financial years (in ₹)	Deficiency, if any
				Name of the Fund	Amount (in ₹)	Date of transfer		
1	2023-24	10,64,50,283.00	-	N.A.	Nil	N.A.	10,64,50,283.00	-
2	2022-23	1,88,85,399.00	17,03,404.30*	N.A.	Nil	N.A.	1,71,81,994.70	-
3	2022-21	-	-	N.A.	Nil	N.A.	-	-

*Excluding Mobilization advance given of ₹ 61,26,084/- to EPC Contractor for ongoing project.

8. Whether any capital assets have been created or acquired through Corporate Social Responsibility amount spent in the financial year: No

If yes, enter the number of Capital assets created/ acquired: Not Applicable

Furnish the details relating to such asset(s) so created or acquired through Corporate Social Responsibility amount spent in the financial year:

Sr. No .	Short particulars of the property or assets (including complete address and location of the property)	Pincode of the property or assets(s)	Date of creation	Amount of CSR amount spent	Details of entity / authority / beneficiary of the registered owner		
					CSR Registration Number, if applicable	Name	Registered address
Not Applicable							

9. Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per section 135(5).

In the year under report, ₹ 19,69,91,346.26/- being the amount required to be spent to implement the Corporate Social Responsibility Policy of the Company, ₹ 77,69,168.54/- has been spent.

The CSR Committee and Board have approved a large greenfield project over three phases for a multispecialty OPD hospital with bone marrow transplant facilities at Advanced Centre for the Treatment, Research and Education in Cancer (ACTREC), Navi Mumbai. Accordingly, the balance amount of ₹ 18,92,22,831.46 has been transferred to unspent CSR account as per the provisions of section 135(6) of the Companies Act, 2013 to be utilized for the said project.

For and on behalf of the Board of Directors

Vikram Kothari
Managing Director & CEO
DIN:07898773

Golaka Nath
Chairman, CSR Committee
DIN:09750678

Date: April 25, 2025
Place: Mumbai

ANNEXURE 6 TO DIRECTORS' REPORT

CORPORATE GOVERNANCE REPORT

I. BRIEF STATEMENT ON COMPANY'S PHILOSOPHY ON CORPORATE GOVERNANCE

Corporate Governance is the application of best management practices, compliance of law and commitment to values and ethical business conduct to achieve the Company's objective of effective discharge of its social responsibility and enhancing shareholder value.

NSE Clearing Limited ("NCL" or "the Company" or "Clearing Corporation") is a company incorporated under the Companies Act, 1956. NCL is also a recognised Clearing Corporation under Securities Contracts (Regulation) Act, 1956 read with Securities Contracts (Regulation) (Stock Exchanges and Clearing Corporations) Regulations, 2018 ("SECC Regulations"). NCL is required to comply with Securities Contracts (Regulation) Act, 1956, the Rules and Regulations laid down thereunder and the directives and circulars issued by the Securities and Exchange Board of India ("SEBI") from time to time for the purpose of its governance.

Pursuant to Regulation 33 of the SECC Regulations, the disclosure requirements and corporate governance norms as specified for listed companies are *mutatis-mutandis* applicable to a recognised clearing corporation. NCL has focused on good governance practices and endeavors to improve the same in the corporate landscape. NCL has rigorously stood by the core principles of corporate governance and considers integrity, transparency, fairness, accountability and adherence to the law as the pillars of its business practices. For the information of its stakeholders, NCL is furnishing the Report on Corporate Governance for the financial year ended March 31, 2025.

II. BOARD OF DIRECTORS**A. Composition of the Board and Category of Directors**

The Company, being a Market Infrastructure Institution ("MII"), is governed by the SECC Regulations.

Pursuant to Regulations 23(1) and 23(3) of SECC Regulations, the Board of the Company shall comprise of Public Interest Directors ("PIDs"), Non-Independent Directors ("NIDs") and Managing Director ("MD"), and the number of PIDs shall not be less than the number of NIDs on the Governing Board of the Company. Further, Regulation 23(4) of SECC Regulations, prescribes that the MD shall be included in the category of Non-Independent Directors.

Pursuant to Regulation 2(1)(o) of SECC Regulations, PIDs has been defined as an Independent Director representing the interest of investors in securities market and who is not having any association, directly or indirectly, which in the opinion of SEBI, is in conflict with the role. Further, as per Regulation 2(1) (ka) of SECC Regulations, NID has been defined as a director elected or nominated by the shareholders who are neither trading members nor clearing members, as the case may be, or their associates and agents.

In addition to the above, SEBI may appoint one or more persons, not exceeding three in number, as nominee directors on the Governing Board of the Clearing Corporation. Currently, SEBI has not appointed any such directors on the Governing Board of NCL.

All the Directors of the Company are fit and proper persons in terms of Regulation 20 of SECC Regulations.

Being a recognized clearing corporation, appointments of all the categories of Directors of the Company have been approved by the SEBI.

As on March 31, 2025, the Board consists of 8 (eight) Directors of which 5 (five) are Public Interest Directors, 2 (two) Non-Independent Director and 1 (One) Managing Director & Chief Executive Officer (MD & CEO), all being professionals having experience in diverse areas as specified under SECC Regulations. The said composition of the Board was in compliance with the Companies Act, 2013 ("the Act"), SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations") and SECC Regulations.

The Board of Directors, in the Policy for Nomination and Appointment of Directors, KMPs and Senior Management Personnel, underscored the need for board diversity by stating that the Board shall have an appropriate combination of executive and non-executive directors and their appointments shall be based on meritocracy in the context of skills, diverse experience, independence and knowledge, which the Board as a whole requires, to be effective, after keeping in mind SEBI prescribed norms such as:

- qualifications in the area of capital markets, finance and accountancy, legal and regulatory practice, technology, risk management and management or administration
- at least one person having experience and background in finance / accounts who may preferably be inducted in the audit committee
- persons currently holding positions of trust and responsibility in reputed organizations or person who have retired from such positions.

Accordingly, the Directors are chosen from among eminent persons or experts in the field as aforementioned. None of the Directors hold any shares in the Company except for Mr. Ian Desouza and Mr. Piyush Chourasia who jointly with National Stock Exchange of India Limited (NSE) holds 8 equity shares of the Company, each. Further, the Directors are not inter-se related to each other.

The Board of Directors of NCL is comprised of qualified members who bring in the required skills, expertise and competence enabling them to make a significant contribution to the Board and its Committees. The Board members are committed to maintain highest standards of Corporate governance, fostering trust, transparency and accountability within the organisation.

The Chairperson of the Board is a Non-Executive Independent Director. The composition of the Board is in conformity with SECC Regulations and Listing Regulations.

The composition of the Governing Board as on March 31, 2025, was as follows: -

Name of Director	Category of Directorship
Mr. Abhaya Hota	Chairperson & Public Interest Director (Independent Non-Executive Director)
Mr. G S Hegde	Public Interest Director (Independent Non-Executive Director)
Mr. Jayant Haritsa	Public Interest Director (Independent Non-Executive Director)
Dr. Golaka Nath	Public Interest Director (Independent Non-Executive Director)
Mrs. Priti Savla	Public Interest Director (Independent Non-Executive Director)
Mr. Ian Desouza	Non-Independent Director (Non-Executive Director)
Mr. Piyush Chourasia	Non-Independent Director (Non-Executive Director)
Mr. Vikram Kothari	Managing Director & CEO (Executive Director)

❖ **Changes during the year and till the date of this report:**

1. Mr. Yatrik Vin ceased to be a Non-Independent Director / (Shareholder Director (SHD)) on the Governing Board of NCL consequent to the retirement by rotation at the 29th Annual General Meeting held on August 22, 2024.
2. SEBI approved the appointment of Mr. Ian Desouza (DIN:10721685) and Mr. Piyush Chourasia (DIN:07130931) as the Non-Independent Director (NID) / (Shareholder Director (SHD)) on the Governing Board of NCL with effect from September 26, 2024.

The Skillsets / expertise in specific functional areas of Board of Directors as on March 31, 2025, are as under:

Name of Director	Skillsets / expertise					
	Capital Market	Finance and Accounting	Legal and Regulatory practice	Technology	Risk Management	Management / Administration
Mr. Abhaya Hota	√	√	√	√	√	√
Mr. G S Hegde	√	-	√	-	-	√
Mr. Jayant Haritsa	-	-	-	√	√	√
Dr. Golaka Nath	√	-	√	√	√	√
Mrs. Priti Savla	-	√	√	-	√	√
Mr. Ian Desouza	√	√	√	-	-	√
Mr. Piyush Chourasia	√	-	√	√	√	√
Mr. Vikram Kothari	√	√	√	-	√	√

❖ Board Diversity

Over the years, NCL has been privileged to have eminent individuals from diverse fields to serve as Directors on its Board. NCL places a strong emphasis on ensuring diversity within the Board encompassing aspects such as experience, knowledge, perspective, background, gender, age and culture.

❖ D&O Insurance

In line with the requirements of Regulation 25(10) of the Listing Regulations, NSE group has taken Directors and Officers Insurance (D&O) which is applicable to NCL for all its Directors and Members of the Senior Management for such quantum and for such risks as determined by the NSE's Board.

❖ Chairperson of the Board

The Chairperson plays a pivotal role in ensuring the Board's overall efficiency. Key responsibilities include setting the Board Agenda, ensuring timely and accurate dissemination of information to the Directors, fostering positive relationships, promoting effective participation of both Public Interest Directors and Non-Independent Directors, and cultivating a culture of transparency and constructive debate.

Regulation 23(2) of the SECC Regulations provides that the appointment of a Chairperson shall be from amongst the Public Interest Directors with the prior approval of SEBI.

The Board of Directors at its meeting held on April 25, 2023, elected Mr. Abhaya Hota as Chairperson of the Governing Board of the Company and pursuant to SEBI letter dated May 31, 2023, Mr. Abhaya Hota was appointed as the Chairperson of the Company.

❖ Managing Director & CEO

The MD & CEO is at the helm of operations and is responsible for the Company's day-to-day operations. He serves as the driving force behind its strategic execution, in alignment with the directives of the Governing Board.

Acting as a vital link between the Governing Board and the senior management team, the MD & CEO ensures seamless implementation of decisions made by the Board and its Committees. This role is vital in aligning operational execution with the overarching strategic vision of the Company.

❖ Public Interest Directors (PIDs)

The Public Interest Directors play a crucial role by offering constructive feedback, providing strategic direction, offering expert advice, and ensuring management accountability. The tenure of PIDs is governed by the directives issued by SEBI and is aligned with the regulatory requirements.

In the opinion of the Board, the PIDs satisfy the conditions specified under the Act, Listing Regulations and SECC Regulations. Furthermore, they maintain independence from the management, thereby reinforcing transparency and governance integrity.

B. BOARD MEETINGS

❖ Schedule of Board / Committee meetings

The dates of the Board / Committee and the Annual General Meeting are proposed in advance. The final annual schedule that is fixed is circulated to all the Directors as part of the agenda in the Board meeting for information.

The Company Secretary attends all Board meetings and generally assists Directors in the discharge of their duties and also ensures good information flow within the Board and between the Board and Senior Management. In addition, the Company Secretary attends to Secretarial and Board governance matters and is responsible for ensuring that Board procedures are followed.

As per the provisions of the SECC Regulations, voting on a resolution in the meeting of the Governing Board is valid only when the number of PIDs that have cast their vote on such resolution is equal to or more than the number of NIDs who have cast their vote on such resolution.

❖ Board agenda

The Board has chosen to receive all its agenda papers electronically for all its Board and Committee meetings and has eliminated the need for hard copy of Agenda Papers. However, a hard copy of the Board agenda papers are sent to the Directors at specific request. The agenda papers for Board and Committee meetings are uploaded onto a secure portal which can be accessed digitally.

At the quarterly Board meetings, the MD & CEO gives a comprehensive update on NCL's business and operations. The CFO presents the financial performance and significant financial highlights. Certain business heads provide an update on their areas of business and Key Management Personnel are present at Board meetings, when required. The agenda also includes minutes of the meetings of all the Board Committees and the unlisted subsidiary (NSE IFSC Clearing Corporation Limited) for the information of the Board.

For any business exigencies, the resolutions are passed by circulation and later placed at the subsequent Board / Committee Meeting for noting. The Chairpersons of various Board Committees brief the Board on all the important matters discussed and decided at their respective Committee meetings, which are generally held prior to the Board meeting. Any feedback or observations made by the Board, wherever necessary, form part of the action taken report for their review at the subsequent meetings.

❖ Number of Board Meetings

The Board met Ten times during the year, the maximum interval between any two meetings of the Board was less than one hundred and twenty days, in strict adherence to regulatory requirements. The necessary quorum was present for all the meetings.

BOARD OF DIRECTORS

Composition and Attendance of the Board Meetings

Composition of the Board*

Chairperson :

Mr. Abhaya Hota (PID)

Directors :

Dr. Golaka Nath (PID)

Mr. G S Hegde (PID)

Mr. Jayant Haritsa (PID)

Mrs. Priti Savla (PID)

Mr. Ian Desouza (NID)

Mr. Piyush Chourasia (NID)

Mr. Vikram Kothari (MD & CEO)

* as on March 31, 2025

PID - Public Interest Director

NID - Non-Independent Director

MD & CEO - Managing Director & Chief Executive Officer

No. of meeting held during the financial year

10

Total No. of Directors



- Independent Director
- Non-Independent Director

Average Attendance

97%



Date of Meeting	Mr. Abhaya Hota	Dr. Golaka Nath	Mr. G S Hegde	Mr. Jayant Haritsa	Mrs. Priti Savla	Mr. Yatrik Vin*	Mr. Vikram Kothari	Mr. Ian Desouza	Mr. Piyush Chourasia
Apr 15, 2024	✓	✓	✓	✓	✓	✓	✓	-	-
Apr 30, 2024	✓	✓	✓	✓	✓	✓	✓	-	-
Jul 16, 2024	✓	✓	✓	✓	✓	✓	✓	-	-
Aug 02, 2024	✓	✓	✓	✓	✓	✗	✓	-	-
Oct 17, 2024	✓	✓	✓	✓	✓	-	✓	✓	✓
Dec 09, 2024	✓	✓	✓	✓	✓	-	✓	✓	✓
Jan 22, 2025	✓	✓	✓	✓	✓	-	✓	✓	✓
Feb 10, 2025	✓	✓	✓	✓	✓	-	✓	✓	✓
Mar 03, 2025	✓	✓	✓	✓	✓	-	✓	✓	✓
Mar 31, 2025	✓	✓	✓	✓	✓	-	✓	✗	✓

✓ - Present

✗ - Leave of absence

Note:

- Number of Board Meetings held during the tenure of Director

*Mr. Yatrik Vin (Non-Independent Director), retired by rotation in the 29th Annual General Meeting (AGM) of the Company held on August 22, 2024.

*SEBI approved the appointment of Mr. Ian Desouza (DIN: 10721685) and Mr. Piyush Chourasia (DIN: 07130931) as the Non-Independent Director (NID) / (Shareholder Director (SHD)) on the Governing Board of NCL with effect from September 26, 2024.

C. Directors' Attendance Record and Directorships

As mandated by the Listing Regulations, Directors are neither member of more than ten Board level Committees nor act as Chairperson of more than five such committees across all entities in which he or she is a Director. Table No.1 gives the details of the composition of the Board, attendance and details of Committee Membership and Committee Chairmanship.

Table No. 1

Details of Directors along with the Directorship(s) and Chairmanship(s) or Membership(s) of Committees in other companies as on March 31, 2025:

Name of the Director and DIN	Category	Attendance Particulars			No. of Directorships / Chairmanships and Committee Chairmanships / Memberships		
		Number of Board Meetings during the year		Last AGM	Other Directorship (s) / Chairmanship (s)	Other Committee Membership (s)	Other Committee Chairmanship (s)
		Held#	Attended				
Mr. Abhaya Hota (DIN: 02593219)	Public interest Director	10	10	Y	2	2	1
Mr. G S Hegde (DIN: 09515748)	Public interest Director	10	10	Y	-	-	-
Mr. Jayant Haritsa (DIN:09524601)	Public interest Director	10	10	Y	-	-	-
Dr. Golaka Nath (DIN: 09750678)	Public interest Director	10	10	Y	-	-	-
Mrs. Priti Savla (DIN: 00662996)	Public interest Director	10	10	Y	5	5	2
Mr. Ian Desouza*^ (DIN: 10721685)	Non-Independent Director	6	5	NA	8	6	2
Mr. Piyush Chourasia* (DIN: 07130931)	Non-Independent Director	6	6	NA	6	-	-
Mr. Vikram Kothari (DIN: 07898773)	Managing Director & CEO (Non-Independent Director)	10	10	Y	-	-	-
Mr. Yatrik Vin** (DIN: 07662795)	Non-Independent Director	4	3	Y	NA	NA	NA

Y= Yes; N=No; NA=Not Applicable

* Number of Board Meetings held during the tenure of Director

** Ceased to be Director on the Governing Board w.e.f. August 22, 2024

^ The Chairmanship of Committee in a Private Company (being a deemed public Company) is included

* Appointed as Non-Independent Director on the Governing Board w.e.f. September 26, 2024

Note:

1. The Directorships / Committee memberships held by Directors as mentioned above, do not include Directorships / Committee memberships in Private Limited Companies, Foreign Companies and Section 8 Companies.
2. Memberships / Chairmanships of only the Audit Committee and Shareholders Relationship Committee of all Public Companies have been considered.

Table No. 2

Names of the listed entities where the Directors as on March 31, 2025 is a Director and the category of Directorship:

Name of Director	Name of Listed Entity	Category of Directorship
Mr. Abhaya Hota	The Federal Bank Limited	Non-Executive - Independent Director
	Protean eGov Technologies Limited	Non-Executive - Independent Director
Mrs. Priti Savla	Pitti Engineering Limited	Non-Executive - Independent Director
	IRB Infrastructure Developers Limited	Non-Executive - Independent Director
	Apcotex Industries Limited	Non-Executive - Independent Director
Mr. G S Hegde	-	-
Mr. Jayant Haritsa	-	-
Dr. Golaka Nath	-	-
Mr. Ian Desouza	-	-
Mr. Piyush Chourasia	-	-
Mr. Vikram Kothari	-	-

Separation of Offices of Chairperson & Chief Executive Officer

The Company has been following the principle of separation of the role of Chairperson and the Chief Executive Officer. Mr. Abhaya Hota is the Non-Executive Chairperson of the Company. Mr. Vikram Kothari is the MD & CEO of the Company and is entrusted with the day-to-day management of the affairs of the Company. The MD & CEO carries out his functions subject to superintendence, control and management of the Board of Directors of the Company. Further, Chairperson is not related to MD & CEO of the Company.

D. On-going familiarisation programme for existing Directors of the Board

An induction programme is conducted for all newly appointed Directors through one-on-one meetings with Managing Director & CEO and Functional Heads of the Company to familiarise them with the business operations of NCL.

NCL provides regular training sessions to all the Directors including Public Interest Directors (Independent Directors) covering the matters as specified under Regulation 25(7) of the Listing Regulations.

The Company conducts programmes / presentations / training sessions at regular intervals, to familiarise the Directors with the strategy, operations and functions of the Company, which provides an opportunity to the Directors to interact with the senior leadership team of the Company. It helps them to understand the Company's, business model, markets, services and product offerings, technology, risk management strategy, governance policies etc. Details of the familiarization programmes conducted for Directors during the financial year 2024-25 are available on the Company's website at:

https://www.nseclearing.in/sites/default/files/disclosure-doc/2025-04/Familiarisation_programme_2024-25.pdf

Further, such programmes / presentations also familiarise the Directors with their roles, rights and responsibilities.

The Directors are provided with necessary documents, reports internal policies etc. to enable them to familiarise with the Company's procedures and practices.

Regular updates

Periodic presentations are made at the Board and Committee meetings on business and performance updates of the Company, strategy and risks involved.

The Audit Committee and Governing Board periodically reviews the Compliance reports with various laws, rules and regulations applicable to the Company. Besides the above, the compliance certificate as envisaged in Regulation 17 of Listing Regulations is also provided to the Board by the MD & CEO and the Chief Financial Officer.

E. Code of Conduct

The Board of Directors of the Company has laid down a Code of Conduct for the members of the Board, Committee Members, Key Managerial Personnel / key management personnel and senior management personnel of the Company which, *inter alia*, incorporates the duties of Independent Directors as laid down under the Act. All the Directors, Committee Members, KMPs, and Senior Management Personnel of the Company have affirmed compliance with the Code of Conduct as prescribed by SEBI under Regulation 26 (1) of SECC Regulations and Regulation 17(5) of the Listing Regulations.

A declaration confirming compliance, duly signed by the MD & CEO, is annexed and forms part of this Report.

As per the requirement of the Listing Regulations, the Code of Conduct, has been hosted on the website of the Company at:

<https://www.nseclearing.in/sites/default/files/disclosure-doc/2024-09/NCL%20Code%20of%20Conduct.pdf>

F. Performance Evaluation

Pursuant to the provisions of the Act, Listing Regulations, SECC Regulations read with SEBI Guidance Note on Board evaluation bearing no. SEBI/HO/CFD/CMD/ CIR/P/2017/004 issued on January 05, 2017 and SEBI circular on Performance review of Public Interest Directors bearing no. SEBI/HO/MRD/DOP2DSA2/ CIR/P/2019/26 issued on February 05, 2019, the Company adopted a Board Evaluation Policy for carrying out an annual evaluation of the performance of the Board, its Statutory Committees, Individual Directors including PIDs and Independent External Professional (IEPs) including the Performance Evaluation criteria.

The Policy is available on website of the Company at:

https://www.nseclearing.in/sites/default/files/disclosure-doc/2025-07/NCL_Board%20Evaluation%20Policy.pdf

Board Performance Evaluation

The Board evaluated its own performance based on the criteria viz. Board Composition - proper mix of qualifications, competencies, requisite experience, Board's relationship with management, Shareholders, Regulators and Other Key Stakeholders, Board Member Engagement and Development, Strategic planning, Board Dynamics, unbiased and proactive decisions, flow of information and quality of agenda papers etc.

Committee Performance Evaluation

Internal evaluation of the Statutory Committees was done on the basis of feedback received from the Members of the Statutory Committees on criteria such as terms of reference, composition and expertise of the Committee, open and meaningful discussions during meetings, independence of the Committee from the Board etc.

Chairperson

Evaluation of Chairperson of the Board was conducted on the basis of feedback received from all the other Directors on the Governing Board of the Company on the criteria such as effective leadership in the determination and delivery of the Company's strategy, promotes effective relationship and is open-minded and creates an environment that allows constructive debates and challenges, is overall able to steer the meeting effectively etc.

Individual Directors

Evaluation of Individual Directors was based on criteria such as knowledge and expertise, leadership skills, interpersonal and representational skills, contribution and initiatives at the meetings, availability for the meetings and attendance thereat, etc.

IEPs appointed on Statutory Committees

Evaluation of IEP on Statutory Committees was conducted on similar lines as that of an individual Director.

Outcome of Performance Evaluation

All the directors and IEPs who are members of the Statutory Committees participated in the evaluation process. The outcome of performance evaluation of the Board, its Statutory

Committees and Individual Directors including PIDs and IEPs was reviewed at separate meeting of IDs and Nomination and Remuneration Committee held on April 25, 2025. Board evaluated the outcome of performance evaluation at its meeting held on April 25, 2025.

G. Remuneration of Directors

NCL has framed a Remuneration Policy for its Directors, KMPs, Senior Management and Employees which is annexed as Annexure – 4 of Board's Report and also made available on the website of the Company at:

<https://www.nseclearing.in/sites/default/files/disclosure-doc/2025-07/NCL%20Remuneration%20Policy.pdf>

Managing Director & CEO:

The terms and conditions of service for the MD & CEO of the Company are governed by the resolution passed by the Board of Directors, shareholders, provisions of the Act & Rules made thereunder, Listing Regulations, SECC Regulations and the circulars issued thereunder by SEBI.

The MD & CEO is not eligible for severance pay. The notice period for the MD & CEO is three (03) months.

SEBI had laid down certain norms in terms of the compensation policy for the Key Management Personnel which are as under: -

- The variable pay component shall be within a range of 25% to 50% of total pay.
- 50% of the variable pay will be paid on a deferred basis after a minimum period of three years.
- ESOPs and other equity linked instruments shall not be offered or provided as part of the compensation for the Key Management Personnel.
- Compensation will be subject to malus and claw-back arrangement as per prevailing SEBI / SECC Rules & Regulations.

The details of remuneration paid to the MD & CEO of the Company during the F.Y. 2024-25 are given in Table No. 3 below: -

Table No. 3

(₹ in crores)			
Name & Designation	Fixed Pay	Variable Pay	Total
Mr. Vikram Kothari, Managing Director & CEO	2.39	0.87*	3.26

**Includes Variable pay of ₹ 0.30 crores of earlier years and excludes 50% of the Variable Pay of ₹ 0.43 crores to be paid on a deferred basis after 3 years.*

Non-Executive Directors

The sitting fees paid to the Non-Executive Directors of the Company for attending the meetings of the Board and its Committees (including SECC Regulations Committees) during the year F.Y. 2024-25 is given in Table No. 4 below:

Table No. 4

Name of the Directors	Board meetings		Board Committees meetings		Total
	No. of meetings attended	Amount (₹)	No. of meetings attended	Amount (₹)	
Mr. Abhaya Hota, Chairperson	10	10,00,000	44	33,00,000	43,00,000
Mr. Jayant Haritsa	10	10,00,000	42	31,50,000	41,50,000
Mr. G S Hegde	10	10,00,000	34	25,50,000	35,50,000
Mr. Golaka Nath	10	10,00,000	48	36,00,000	46,00,000
Mrs. Priti Savla	10	10,00,000	31	23,25,000	33,25,000
Mr. Ian Desouza [#]	5	*	2	*	*
Mr. Piyush Chourasia [#]	6	*	2	*	*
Mr. Yatrik Vin [^]	3	*	-	*	*

[^]Ceased to be Director on the Governing Board w.e.f. August 22, 2024.

[#]Appointed as Non-Independent Director on the Governing Board w.e.f. September 26, 2024

Sitting fees are exclusive of Goods & Service Tax (as applicable).

*As per the decision taken by the Board, the employees of NSE who become Directors on the Boards of its subsidiaries are not eligible for sitting fees from such companies. NCL is one of the subsidiaries of NSE. Mr. Ian Desouza, Mr. Piyush Chourasia and Mr. Yatrik Vin, being employees of NSE, are NSE's representative on the Board of NCL. Accordingly, they are not paid any sitting fees for the Board or committee meetings attended by him.

The Non-executive Directors [except Managing / Whole-time Director and the Director who is an employee or equivalent of the Company or any of the NSE Group companies] are remunerated only by way of sitting fees as admissible to independent directors in the Act and as per the provisions of the SEBI Regulations / Requirements. The sitting fees paid for attending the Board Meetings is ₹ 1,00,000/- per meeting and for the Committee Meetings is ₹ 75,000/- per meeting. Further, the Company has not issued any stock option to its Non-Executive Directors. As per the terms of appointment, the non-executive directors are not eligible for severance pay or notice period.

The Criteria of making payments to the Non-executive Directors of the Company have been disclosed on the website of the Company:

<https://www.nseclearing.in/sites/default/files/disclosure/criteriaformakingpaymentstononexecutivedirectors.pdf>

III. COMMITTEES OF THE BOARD

Currently, there are five Committees of the Board required as per the Companies Act namely;



The terms of reference of the Board Committees are determined by the Board from time-to-time. Meetings of the Board Committees are normally convened by the respective Committee Chairperson. Matters requiring the Board's attention / approval, as emanating from the Board Committee Meetings, are placed before the Board with clearance of the Committee Chairperson.

The Minutes of the Board Committee Meetings are placed before the Board for its information. The role and composition of these Committees, including the number of meetings held during the financial year and the related attendance, are provided below:

(A) Audit Committee (AC)

Pursuant to the requirements of the Act and Listing Regulations, NCL is required to constitute an Audit Committee consisting of three or more Directors out of which not less than two-third shall be Independent Directors and the Board has constituted the Audit Committee.

The primary function of the Audit Committee is to assist the Board of Directors in fulfilling its oversight responsibilities as is specified below:

- reviewing the financial information to be disseminated to the shareholders and other stakeholders.
- evaluating the systems of internal controls, established by the management and the Board of Directors.
- overseeing financial reporting processes and
- ensuring adherence to the compliance requirements.

The Committee also foster open communication with statutory auditors, internal auditors, and operational auditors to maintain transparency and effective governance. The Internal Auditors report directly to the Audit Committee.

The Audit Committee reviews the reports of the internal auditors, operational auditors, statutory auditors and secretarial auditors. The terms of reference of the Audit Committee are as per the provisions contained in the Act and Listing Regulations.

The necessary quorum was present for all the meetings with the presence of at least two PIDs as required under Regulation 18(2)(b) of the Listing Regulations.

The Officer responsible for the finance function and the representatives of the statutory auditors, internal auditors, or such other executives as the audit committee considers appropriate are regularly invited to the Audit Committee meetings. The Company Secretary is the Secretary to the Committee.

All members of the Audit Committee have the requisite accounting and financial management expertise. Mrs. Priti Savla, Chairperson of the Audit Committee attended the Annual General Meeting (AGM) held on August 22, 2024, to answer shareholders' queries.

The maximum gap between any two meetings was less than one hundred and twenty days in Compliance with regulatory requirements.

NCL has adopted the Audit Committee Charter, which *inter alia* includes terms of reference as prescribed under the Companies Act and Listing Regulations.

The Charter defines the structure, composition, the roles and responsibility, and operational functions of the Audit Committee, emphasising its overall oversight responsibilities.



Composition and Attendance of the Audit Committee Meetings

Composition of the Committee*

Chairperson :

Mrs. Priti Savla

Members :

Mr. Abhaya Hota

Mr. G S Hegde

Mr. Jayant Haritsa

Mr. Ian Desouza

No. of meeting held during the financial year

5

Total No. of Members



- Independent Director
- Non-Independent Director

Average Attendance

95%



* as on March 31, 2025

Date of Meeting	Mrs. Priti Savla	Mr. Abhaya Hota	Mr. G S Hegde	Mr. Jayant Haritsa	Mr. Ian Desouza [#]
April 30, 2024	✓	✓	✓	✓	-
August 02, 2024	✓	✓	✓	✓	-
October 17, 2024	✓	✓	✓	✓	-
January 22, 2025	✓	✓	✓	✓	✗
March 03, 2025	✓	✓	✓	✓	✓

Note:

✓ - Present
✗ - Leave of absence

- Number of Meetings held during the tenure of Member

[#] Appointed as Member w.e.f. November 19, 2024

The scope and functions of the Audit Committee are aligned with the provision of Section 177 of the Act and Regulation 18 of the Listing Regulations. Its terms of reference include, but not limited to the following:

- Recommendation for appointment, remuneration and terms of appointment of auditors of the Company;
- Review and monitor the auditor's independence and performance and effectiveness of audit process;
- Examination of the financial statement and the auditors' report thereon;
- Granting the omnibus approval in line with Policy on Related Party Transactions and such approval shall be applicable in respect of transactions which are repetitive in nature. Also granting of approval for any subsequent modification of transactions of the company with related parties;
- Scrutiny of inter-corporate loans and investments;
- Valuation of undertakings or assets of the company, wherever it is necessary;
- Evaluation of internal financial controls and risk management systems;
- Monitoring the end use of funds raised through public offers and related matters;
- Call for the comments of the auditors about internal control systems, the scope of audit, including the observations of the auditors and review of financial statement before their submission to the Board and may also discuss any related issues with the internal and statutory auditors and the management of the Company;
- Oversight of the company's financial reporting process and the disclosure of its financial information to ensure that the financial statement is correct, sufficient and credible;
- Approval of payment to statutory auditors for any other services rendered by the statutory auditors;
- Reviewing with the management, the annual financial statements and auditor's report thereon before submission to the board for approval, with particular reference to:
 - a. Matters required to be included in the Director's Responsibility Statement to be included in the Board's report in terms of clause (c) of sub-section 3 of section 134 of the Act, 2013;

- b. Changes, if any, in accounting policies and practices and reasons for the same;
- c. Major accounting entries involving estimates based on the exercise of judgment by management;
- d. Significant adjustments made in the financial statements arising out of audit findings;
- e. Compliance with listing and other legal requirements relating to financial statements;
- f. Disclosure of any related party transactions;
- g. Qualifications in the draft audit report, if any;
- Reviewing, with the management, the quarterly financial statements before submission to the board for approval;
- Reviewing with the management, the statement of uses / application of funds raised through an issue (public issue, rights issue, preferential issue, the statement of funds utilized for purposes other than those stated in the offer document / prospectus / notice and the report submitted by the monitoring agency monitoring the utilisation of proceeds of a public or rights issue or preferential issue or qualified institutions placement, and making appropriate recommendations to the Board to take up steps in this matter;
- Reviewing with the management, performance of statutory and internal auditors, adequacy of the internal control systems;
- Reviewing the adequacy of internal audit function, if any, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage and frequency of internal audit;
- Discussion with internal auditors of any significant findings and follow up thereon;
- Reviewing the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature and reporting the matter to the board of NCL;
- Discussion with statutory auditors before the audit commences, about the nature and scope of audit as well as post-audit discussion to ascertain any area of concern;
- To look into the reasons for substantial defaults in the payment to the depositors, debenture holders, shareholders (in case of non-payment of declared dividends) and creditors;
- To review the functioning of the Whistle Blower mechanism;
- Approval of appointment of CFO (i.e., the whole-time Finance Director or any other person heading the finance function or discharging that function) after assessing the qualifications, experience and background, etc. of the candidate;
- Examination of the Secretarial Audit reports and matters connected therewith;
- Review the utilization of loans and / or advances from / investment by the holding company in the subsidiary exceeding rupees 100 crore or 10% of the asset size of the subsidiary, whichever is lower including existing loans / advances / investments;
- Consider and comment on rationale, cost-benefits and impact of schemes involving merger, demerger, amalgamation etc., on the Company and its Shareholders;
- Carrying out any other function as the Audit Committee may deem fit with the approval of the Board;
- the Audit Committee may seek views of other Statutory Committees of the MII on the observations of the internal auditor;

- The Audit Committee shall mandatorily review the following information:
 - a. Management discussion and analysis of financial condition and results of operations;
 - b. Management letters / letters of internal control weaknesses issued by the statutory auditors;
 - c. Internal audit reports relating to internal control weaknesses;
 - d. The appointment, removal and terms of remuneration of the Chief internal auditor shall be subject to review by the Audit Committee; and
 - e. Statement of deviations: a. quarterly statement of deviation(s) including report of monitoring agency, if applicable, submitted to stock exchange(s) in terms of Regulation 32(1) of Listing Regulations. b. annual statement of funds utilized for purposes other than those stated in the offer document / prospectus / notice in terms of Regulation 32(7) of Listing Regulations.

(B) Nomination & Remuneration Committee (NRC)

The Company has constituted the NRC and the Composition and terms of reference of the Committee are in compliance with the provisions of Regulation 19 of the Listing Regulations, Regulation 29 of SECC Regulations and Section 178 of the Act.

Pursuant to SECC Regulations read with SEBI Circular no. SEBI/HO/MRD/MRD-PoD-3/2024/088 dated June 25, 2024, the NRC shall consist of Public Interest Directors and shall be chaired by a Public Interest Director. However, Independent External Professionals may be part of the Committee for the limited purpose of recommendation relating to selection of Managing Director; wherein the number of PIDs shall not be less than the Independent External Professionals.

Further, as per the requirements of the Act, and Listing Regulations, the Company is required to constitute NRC consisting of three or more non-executive directors out of which not less than two-third shall be independent directors. The Chairperson of NRC shall be different from Chairperson of the Board.

The NRC has laid down the policy for compensation of employees including Key Management Personnel in terms of the compensation norms prescribed by the SEBI. The NRC has also laid down performance evaluation criteria for the Board of Directors, individual directors (including independent directors) and Committees of the Board of Directors.

The necessary quorum was present for all the meetings with the presence of one PID as required under Regulation 19(2A) of the Listing Regulations.

Mr. G S Hegde, the Chairperson of the Nomination & Remuneration Committee, attended the Annual General Meeting (AGM) held on August 22, 2024, to answer shareholders queries.

The information regarding the performance evaluation criteria of Independent Directors is covered in the Annual Report.



Composition and Attendance of the Nomination and Remuneration Committee Meetings

Composition of the Committee*

Chairperson :

Mr. G S Hegde

Members :

Mr. Jayant Haritsa

Dr. Golaka Nath

Mr. Abhaya Hota

* as on March 31, 2025

No. of meeting held during the financial year

10

Total No. of Members



■ Independent Director

Average Attendance

100%



Date of Meeting

	Mr. G S Hegde	Dr. Golaka Nath	Mr. Jayant Haritsa	Mr. Abhaya Hota
April 15, 2024	✓	✓	✓	✓
April 26, 2024	✓	✓	✓	✓
August 02, 2024	✓	✓	✓	✓
September 13, 2024	✓	✓	✓	✓
October 17, 2024	✓	✓	✓	✓
December 09, 2024	✓	✓	✓	✓
January 22, 2025	✓	✓	✓	✓
February 10, 2025	✓	✓	✓	✓
March 03, 2025	✓	✓	✓	✓
March 31, 2025	✓	✓	✓	✓

✓ - Present

The brief terms of reference of NRC are as follows:

- formulate the criteria for determining qualifications, positive attributes and independence of a director and recommend to the board of directors a policy relating to, the remuneration of the directors, key managerial personnel and other employees;
- For every appointment of an independent director, the Nomination and Remuneration Committee shall evaluate the balance of skills, knowledge and experience on the Board and on the basis of such evaluation, prepare a description of the role and capabilities required of an independent director. The person recommended to the Board for

appointment as an independent director shall have the capabilities identified in such description. For the purpose of identifying suitable candidates, the Committee may:

- a. use the services of an external agencies, if required;
 - b. consider candidates from a wide range of backgrounds, having due regard to diversity; and
 - c. consider the time commitments of the candidate;
- (c) Formulation of criteria for evaluation of performance of independent directors and the board of directors;
- (d) Devising a policy on diversity of board of directors;
- (e) Identifying persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down, and recommend to the board of directors their appointment and removal;
- (f) whether to extend or continue the term of appointment of the independent director, on the basis of the report of performance evaluation of independent directors;
- (g) recommend to the board, all remuneration, in whatever form, payable to senior management;
- (h) The NRC shall, while formulating the policy ensure that:
- i. the level and composition of remuneration is reasonable and sufficient to attract, retain and motivate directors of the quality required to run the company successfully;
 - ii. relationship of remuneration to performance is clear and meets appropriate performance benchmarks;
 - iii. Remuneration to Directors, Key Managerial Personnel and other Senior Management involves a balance between fixed and incentive pay reflecting short and long-term performance objectives appropriate to the working of the company and its goals;
- (i) Scrutinising and interviewing applicants for selecting the MD of the stock exchange;
- (j) Adhering and developing a skill evaluation metrics to assess applications of new or existing PIDs and NIDs for their appointment and/or reappointment and recommending their names to the Governing Board;
- (k) Ensuring at all times that the governing board comprises of directors with required skill set and expertise in the areas as provided in SECC Regulations, 2018;
- (l) Ensure compliance with governing board level skill diversity at the time of appointment, reappointment or extension of tenure of PIDs or NIDs;
- (m) Framing & reviewing the policy to carry out internal evaluation of every director's performance, including that of PIDs;
- (n) Reviewing and recommending extension of the term of appointment and re-appointment of existing PIDs;
- (o) Appointment of Independent External Professionals (IEPs).

KMP related aspects:

- (p) Identifying KMPs based on importance of activities carried out by them, including being key decision maker(s) within the stock exchange, other than those specifically provided under regulation 2(1)(j) of the SECC Regulations, 2018. For identifying KMPs, one of the criteria should be, persons (including employees/consultants) drawing annual pay higher than any KMP(s);
- (q) Review, at least once a year hierarchical set ups across the departments, in order to identify KMPs due to a change in role and responsibilities assigned to them. Such review should necessarily include, consultants reporting to the MD/CEO or ED;
- (r) The appointment and removal of KMPs other than resignations;
- (s) Laying down policy for accountability of KMPs. Further, mapping legal and regulatory duties to the concerned position and Delegation of Power (DoP) at various levels;
- (t) Laying down the policy for compensation of KMPs in compliance with the compensation norms prescribed under SECC Regulations, 2018 and ensuring that the compensation paid to KMPs is as per the compensation policy;
- (u) Framing performance review parameters for evaluation of KMPs including that of MD;
- (v) Assess the performance of KMPs based on reports submitted by the functional heads/reporting authority, and observations, if any, received from SEBI, and submit such reports to the governing board every year;
- (w) Determining the tenure of a KMP, other than a director, to be posted in a particular role within regulatory, compliance, risk management and investor grievance vertical;
- (x) Determining and finalizing the Key Result Areas (KRAs) of all KMPs at the beginning of every year. Review the same in line with organization needs;
- (y) Ensuring that no KMP reports to a non-KMP.

On other organization level related aspects:

- (z) Ensure that no employee of the stock exchange is working or reporting to an employee of any other company where the stock exchange has invested and vice-versa;
- (aa) Ensure that hiring of consultants is based on a pre-defined SOP of the stock exchange;
- (bb) Framing, reviewing, implementing and monitoring SOP for imposing disciplinary actions against employees of stock exchange;
- (cc) formulate criteria for evaluation of performance for Independent Directors and Board of Directors its committees, individual directors and Public Interest Director (PID) and its review thereof; which shall be carried out either by the Board, by the Nomination and Remuneration Committee or by an independent external agency and review its implementation and compliance; and
- (dd) Besides the above, to discharge the function(s) as entrusted with the Nomination & Remuneration Committee under the Act and Listing Regulations as amended from time to time or as may be vested by the Board.

(C) Risk Management Committee (RMC)

Pursuant to the requirements of the Listing Regulations, NCL is required to constitute a RMC consisting of three or more members with majority of them being Board members and with at least one PID as member.

The Company has RMC and the Composition and terms of reference of the Committee are in compliance with the provisions of the Act, Regulation 21 of the Listing Regulations, Regulation 29 of SECC Regulations read with SEBI Circular no. SEBI/HO/MRD/ MRD-PoD-3/2024/088 dated June 25, 2024 the RMC may include MD, NIDs (other than Executive Director) and IEPs, along with PIDs. The Chief Risk Officer (CRO) and Chief Information Security Officer (CISO) should be invitees to the meetings of the Committee. If a PID with expertise in risk management is present in the Governing Board, the committee may preferably be chaired by the said PID. The Committee shall also review the strategic, cyber and business risk (non-settlement risks) and advise the Board with respect to the same.

The requisite quorum was present for all the meetings with the presence of one member of the Board of Directors as required under Regulation 21(3B) of the Listing Regulations. The meetings were conducted in such a manner that on a continuous basis not more than two hundred and ten days elapsed between any two consecutive meetings.

Mr. Huzefa Mahuvawala, Chief Risk Officer of NCL reports to the Risk Management Committee and the MD & CEO and attends all meetings of RMC.



Composition and Attendance of the Risk Management Committee Meetings

Composition of the Committee*	No. of meeting held during the financial year	Average Attendance
Chairperson : Mr. Abhaya Hota Members : Mr. Jayant Haritsa Dr. Golaka Nath Mrs. Priti Savla Mr. Kapil Seth Mr. Piyush Chourasia	6 Total No. of Members  - Independent Director - Non-Independent Director	97% 

* as on March 31, 2025

Note: The RMC comprises of 4 PID's (Independent Directors), one Independent External Person (IEP) and one Non-Independent Director (NID) as per SCR (SECC) Regulations, 2018.

Date of Meeting	Mr. Abhaya Hota	Mr. Jayant Haritsa	Dr. Golaka Nath	Mrs. Priti Savla	Mr. Kapil Seth	Mr. Piyush Chourasia*
April 26, 2024	✓	✓	✓	✓	✓	-
July 01, 2024	✓	✓	✓	✓	✓	-
August 01, 2024	✓	✓	✓	✓	✓	-
October 16, 2024	✓	✓	✓	✓	✓	-
January 21, 2025	✓	✓	✓	✓	✓	✗
February 10, 2025	✓	✓	✓	✓	✓	✓

Note:

✓ - Present
✗ - Leave of absence

- Number of Meetings held during the tenure of Member

* Appointed as Member w.e.f. November 19, 2024

The brief terms of reference of Risk Management Committee, *inter alia*, include the following:

- i. Formulate a detailed risk management Framework (RMF) which shall be approved by the governing Board to ensure continuity of operation at all points of time;
- ii. The RMF shall include the following:
 - a) The framework for identification of internal and external risks;
 - b) Measures for risk mitigation including systems and processes for internal control and;
 - c) Business continuity plan;
- iii. Monitor each risk associated with the functioning of the clearing corporation more specifically for functions under vertical 1 and 2;
- iv. Review the RMF & risk mitigation measures at least once annually taking into account the changing industry dynamics and evolving complexity;
- v. Monitor and review enterprise-wide risk management plan and lay down procedures to inform Governing Board about the risk assessment and mitigation procedures;
- vi. Monitor implementation of the RMF and keep the Board and the governing Board informed about its implementation and deviation, if any;
- vii. RMC shall coordinate with other committees. In case of overlap with activities of other committees, RMC may consider views of such committees;
- viii. Approve the Half-Yearly Risk report to be submitted by the Chief Risk Officer (CRiO) to SEBI and the governing board of the clearing corporation;
- ix. Comply with the roles and responsibilities as provided under the Companies Act 2013 and the SEBI (Listing Obligation and Disclosure Requirement), Regulations, 2015;
- x. To ensure that appropriate methodology, processes and systems are in place to monitor and evaluate risks associated with the business of the Company;
- xi. To monitor and oversee implementation of the risk management policy, including evaluating the adequacy of risk management systems;
- xii. To periodically review the risk management policy, at least once in two years, including by considering the changing industry dynamics and evolving complexity;
- xiii. To keep the board of directors informed about the nature and content of its discussions, recommendations and actions to be taken;

- xiv. The appointment, removal and terms of remuneration of the Chief Risk Officer (if any) shall be subject to review by the Risk Management Committee;
- xv. The Committee shall give reports/inputs with respect to performance appraisal of the Chief Risk Officer (CRiO) to the Nomination and Remuneration Committee; and
- xvi. The CRiO shall report to the MD & CEO. However, Risk Management Committee shall hold separate meeting with CRiO at least once a quarter without the presence of MD & CEO or any other executive.

(D) Stakeholders Relationship Committee (SRC)

Pursuant to the requirements of the Act and Listing Regulations, NCL is required to constitute a Stakeholders Relationship Committee consisting of three or more Directors with at least one PID as member. Further, the Chairperson shall be a non-executive director.

Accordingly, considering the said provisions, the Board has constituted the SRC and the Composition and terms of reference of the Committee are in compliance with the provisions of Regulation 20 of the Listing Regulations and the Act. The Committee reviews various aspects of interest of shareholders and other security holders.

The Company has appointed Mr. Amit Pujara as the Chief Regulatory Officer & Compliance Officer of the Company.

Mr. Jayant Haritsa, Chairperson of the SRC attended the Annual General Meeting (AGM) held on August 22, 2024, to answer shareholders queries.



Composition and Attendance of the Stakeholders Relationship Committee Meetings

Composition of the Committee*	No. of meeting held during the financial year	Average Attendance
Chairperson : Mr. Jayant Haritsa Members : Mr. G S Hegde Mrs. Priti Savla Mr. Vikram Kothari	1 Total No. of Members  ■ Independent Director ■ Non-Independent Director	100% 

* as on March 31, 2025

Date of Meeting	Mr. Jayant Haritsa	Mr. G S Hegde	Mrs. Priti Savla	Mr. Vikram Kothari
October 11, 2024	✓	✓	✓	✓
✓ - Present				

The brief terms of reference of SRC are as follows:

- (i) Resolving the grievances of the security holders including complaints related to transfer / transmission of shares, non-receipt of annual report, non-receipt of declared dividends, issue of new / duplicate certificates, general meetings, etc;
- (ii) Review of measures taken for effective exercise of voting rights by shareholders;
- (iii) Review of adherence to the service standards adopted in respect of various services being rendered by the Registrar & Share Transfer Agent;
- (iv) Review of the various measures and initiatives taken for reducing the quantum of unclaimed dividends and ensuring timely receipt of dividend warrants / annual reports / statutory notices by the shareholders of the Company;
- (v) To perform all functions to specifically look into various aspects of interests of shareholders, debenture holders and other security holders of the Company relating to the interests of security holders of the Company;
- (vi) To perform functions as is entrusted under the Act or Rules prescribed thereunder or the Listing Regulations or such other regulatory requirements applicable to the company or in the terms of reference of the Stakeholders Relationship Committee; and
- (vii) To discharge functions as may be assigned / vested by the Board of Directors from time to time.

During the F.Y., the number of shareholders' complaints received, number of complaints not solved to the satisfaction of shareholders and number of pending complaints were NIL.

(E) Corporate Social Responsibility (CSR) Committee

Pursuant to the provisions of Section 135 of the Act, the Company is required to constitute a CSR Committee consisting of three or more Directors with at least one Independent Director as member.

In accordance with the provision of Section 135 of the Act, the CSR Committee, *inter alia*, formulates and recommends to the Board a Corporate Social Responsibility Policy, the amount of expenditure to be incurred on the CSR activities and monitors the implementation and effectiveness of the CSR Policy of the Company on an ongoing basis

The necessary quorum was present for all the meetings.



Composition and Attendance of the Corporate Social Responsibility Committee

Composition of the Committee*

Chairperson :

Dr. Golaka Nath

Members :

Mr. G S Hegde

Mrs. Priti Savla

Mr. Ian Desouza

* as on March 31, 2025

No. of meeting held during the financial year

3

Total No. of Members



■ Independent Director
■ Non-Independent Director

Average Attendance

91%



Date of Meeting	Dr. Golaka Nath	Mr. G S Hegde	Mrs. Priti Savla	Mr. Ian Desouza [#]
April 25, 2024	✓	✓	✓	-
December 09, 2024	✓	✓	✓	✓
March 31, 2025	✓	✓	✓	✗

Note:

- Number of Meetings held during the tenure of Member

✓ - Present

✗ - Leave of absence

[#] Appointed as Member w.e.f. November 19, 2024.

The terms of reference of the CSR Committee, *inter alia*, include the following:

1. Formulate and recommend the CSR Policy to the Board for approval, monitor its implementation and suggest modifications from time to time for the same;
2. Formulate and recommend the Board for approval, an Annual Action Plan in pursuance of the CSR Policy which shall include:
 - (a) the list of CSR projects or programmes approved to be undertaken in areas or subjects specified in Schedule VII of the Act, read with its applicable rules;
 - (b) manner of execution of such projects or programmes;
 - (c) modalities of utilization of funds;
 - (d) implementation schedules for the projects or programmes;
 - (e) monitoring & reporting mechanism for the projects or programmes;
 - (f) approve and recommend the details of need & impact assessment (if applicable) for the projects undertaken by the Company;

Provided that the Board may alter such plan at any time during the F.Y., as per the recommendation of its CSR Committee, based on the reasonable justification to that effect;

3. Approve or ratify the CSR projects undertaken by NSE Foundation in line with the approved CSR Policy to ensure seamless implementation of the projects and fulfilment of the mandate set out under Section 135 of the Act and the Rules thereunder;
4. Report to the Board the manner of utilization of the annual CSR budget in pursuance of the CSR policy, unspent funds or excess spend towards CSR projects and ensure that the administrative overheads shall not exceed five per cent of the total CSR expenditure of the Company for any F.Y;
5. Approve and recommend to the Board an Annual Report on the CSR activities in a format prescribed in the Act;
6. Report to the Board on the progress of the various CSR projects undertaken by NSE Foundation or through any entity as prescribed under Section 135 of the Act and CSR rules thereunder and the expenditure incurred for the same on a periodic basis;
7. Establish a transparent monitoring mechanism for ensuring implementation of the CSR programme; and
8. Recommend the amount of expenditure to be incurred on the CSR activities.

Besides the above, the Company also has constituted the following Committees namely:

(F) Regulatory Oversight Committee (ROC)

Pursuant to the SECC Regulations read in accordance with SEBI Circular no. SEBI/HO/MRD/MRD-PoD-3/2024/088 dated June 25, 2024, ROC may include NIDs (other than Executive Director and MD) and IEPs, along with PIDs. Relevant KMP(s) may be invited to the meetings of the committee, whenever required. The Committee shall be chaired by the PID with expertise in legal and regulatory practices.

The Committee consists of Mr. G S Hegde, PID, Dr. Golaka Nath, PID, Mrs. Priti Savla, PID, Mr. Abhaya Hota, PID, Mr. Piyush Chourasia*, NID and Mr. Chirag Shah, IEP as its members with Mr. G S Hegde as its Chairperson.

During the year under review, the committee met 6 (six) times, viz. April 15, 2024, April 29, 2024, July 31, 2024, October 15, 2024, November 11, 2024 and January 20, 2025. The necessary quorum was present for all the meetings.

The terms of reference of the ROC, *inter alia*, include the following:

- a) Compliance:
 - i. Oversee implementation and Compliance with SECC Regulations, 2018 as amended from time to time and other applicable rules and regulations along with SEBI circulars and other directions issued thereunder;
 - ii. Review the observations arising from various SEBI inspections, ensuring its advisories and findings are appropriately and timely addressed, and reports to governing board on timely basis;
 - iii. Monitor and assess the clearing corporation against the PFMLs on an annual basis and submit a report to the governing board of the clearing corporation.
- b) Code of Conduct
 - i. Lay down procedures for implementation of the code of conduct and prescribe the reporting formats for disclosures required under the code of conduct;
 - ii. Oversee the compliance of the code of conduct by KMPs and members of statutory committees (except directors);
 - iii. Review compliance with the provisions on “Code of Conduct & Institutional mechanism for prevention of Fraud or Market Abuse” of Chapter VI of SEBI Master Circular for Stock Exchanges and Clearing Corporations at least once in a financial year and also verify that the adequacy and operational effectiveness of the systems for internal control;
 - iv. Periodically oversee the dealings in securities by KMPs and IEPs;
 - v. Periodically oversee the trading conducted by firms or corporate entities in which the directors of the Clearing Corporation hold twenty percent or more beneficial interest or hold a controlling interest;
 - vi. While monitoring trades by KMPs and members of statutory committees, ROC shall take into consideration sensitive information held by them as per structured digital database maintained by clearing corporation;
- c) Ensure the adequacy of resources dedicated to functions under verticals for “Critical operations” and “Regulatory, compliance, risk management and investor grievance”;
- d) Grievance Redressal mechanism:
 - i. Define policy and SOP for dealing with complaints by clearing corporation
 - ii. Review of complaint resolution process, complaints remaining unresolved over long period of time, etc.
 - iii. Ensuring that Clearing Corporations take proactive actions in case of repeated nature of complaints against particular CMs, if any;
- e) Supervising the functioning of Investors Services Cell of the clearing corporation;
- f) Whistleblower Mechanism:
 - i. Frame the Whistle Blower Policy to be approved by the governing board
 - ii. Communicate the whistle blower policy internally to all persons and display the same on the clearing corporation’s website.
 - iii. Review the whistle blower policy based on feedback received;
- g) Reviewing the fees and charges levied by a Clearing Corporation including comments on its appropriateness, on a periodic basis as well as each time there is change; and
- h) Manage the Core Settlement Guarantee Fund (Core SGF) of the clearing corporation, including its investments as per norms laid down and ensure proper utilization of Core SGF.

(G) Standing Committee on Technology (SCOT)

Pursuant to the SECC Regulations read with SEBI Circular no. SEBI/HO/MRD/MRD-PoD-3/2024/088 dated June 25, 2024, SCOT may include the MD, NIDs (other than Executive Director), at least 2 IEPs along with PIDs. The IEPs should be proficient in technology with at least one of them being an expert and practitioner in cyber security. The Chief Technology Officer (CTO) and Chief Information Security Officer (CISO) should be invitees to the meetings of the Committee. The Committee shall be chaired by the PID with expertise in technology.

The Committee consists of Mr. Jayant Haritsa, PID, Dr. Golaka Nath, PID, Mr. Abhaya Hota, PID, Ms. V Mythili Ranganath, IEP and Mr. Deval Mazmudar, IEP, as its members with Mr. Jayant Haritsa as its Chairperson.

During the year under review, the committee met 15 (fifteen) times, viz. April 10, 2024, April 25, 2024, June 05, 2024, June 22, 2024, July 16, 2024, August 01, 2024, August 19, 2024, September 27, 2024, October 04, 2024, October 16, 2024, November 11, 2024, December 09, 2024, January 21, 2025, February 10, 2025 and February 27, 2025. The necessary quorum was present for all the meetings.

The terms of reference of the SCOT, *inter alia*, include the following:

- a. Ensure availability of required IT infrastructure for core and critical functions under verticals for “Critical operations” and “Regulatory, compliance, risk management and investor grievances”;
- b. Ensure existence of adequate Business Continuity Plan (BCP) and Disaster Recovery (DR) plans;
- c. Ensuring sound and prudent policies, standards and procedures for managing technology risks and safeguard information assets in the clearing corporation;
- d. Review the implementation of technology risk management framework and strategy of clearing corporation;
- e. Monitor whether the technology used by the clearing corporation remains up to date and meets the growing demands of the markets;
- f. Periodic review of the IT system and network architecture design to identify any weaknesses in the existing design;
- g. Review of in-house availability of appropriate IT staff to manage IT systems and related outsourcing arrangement;
- h. Monitor the adequacy of system capacity and efficiency;
- i. To look into the changes being suggested by the clearing corporation to the existing software or hardware;
- j. Oversee investigation into the computerized risk management or clearing & settlement system, such as hanging or slowdown or breakdown etc;
- k. Ensure that transparency is maintained in disseminating information regarding slowdown or break down risk in Online Clearing & Settlement System and ensure that the Clearing Corporation issues a press release specifying the reasons for any such breakdown;
- l. Approve Root Cause Analysis (RCA) of any stoppage of Clearing and Settlement system and report to the governing board and SEBI;

- m. Review the implementation of board approved cyber security and cyber resilience policy and its framework and ensure existence of advanced Cyber Security and Cyber Resilience framework at the clearing corporation;
- n. Review the identification and classification process of critical assets based on their sensitivity and criticality for business operations, services and data management;
- o. Ensuring that the scope of the system audit, cyber audit and VAPT of the clearing corporation is broad and representative of all critical areas of the clearing corporation;
- p. Monitoring the results of periodic cyber security and DR drills conducted by clearing corporations;
- q. Review and approve the report regarding overall cyber security posture and technology implementation at the Clearing Corporation and submit to the Governing Board. Upon approval by the governing board, submit the report to SEBI;
- r. On the above areas, the Committee shall submit a report to the Governing Board of the clearing corporation for necessary action, if any;
- s. Such other matters as may be referred by the Governing Board of the Clearing Corporation and/or SEBI;
- t. Investigate into the problems computerised risk management / clearing & settlement system, such as hanging / slowdown / breakdown; and
- u. Any stoppage beyond five minutes will be explained and reported to the Board. The Clearing Corporation shall issue a press release specifying the reasons for the breakdown.

(H) **Member Committee (MC)**

Pursuant to SECC Regulations and SEBI circular No. SEBI/HO/MRD/MRD- PoD-3/2024/088 dated June 25, 2024, on Statutory Committees at Market Infrastructure Institutions (MIIs) and vide Board circular resolution passed on June 29, 2024, the name of the “**Member and Core Settlement Guarantee Fund Committee (MCSGFC)**” substituted with “**Member Committee (MC)**”. MC may include two Key Management Personnel (KMP) including the MD, NIDs (other than Executive Director), IEPs along with PIDs. The Committee shall be chaired by the PID with expertise in Capital Markets.

The Committee consists of Dr. Golaka Nath, PID, Mrs. Priti Savla, PID, Mr. G S Hegde, PID and Mr. Vikram Kothari, MD & CEO (KMP) as its members with Dr. Golaka Nath as its Chairperson.

During the year under review, the committee met 6 (six) times, viz. April 29, 2024, July 31, 2024, October 15, 2024, December 09, 2024, January 20, 2025 and March 03, 2025. The necessary quorum was present for all the meetings.

The terms of reference of the MC, *inter alia*, include the following:

i. **On admission, transfer and surrender of membership/Withdrawal/Change in control.**

- a) Formulate the policy to scrutinize, evaluate, accept or reject applications for admission of members and transfer of membership and approve voluntary withdrawal of membership or withdrawal and Change in Control;

- b) The activities with regard to scrutinizing, evaluating, accepting or rejecting applications for admission, transfer surrender/withdrawal and change in control of membership can be implemented through an Internal Committee (IC) under MC;
- c) Also, in case of clearing corporations with commodity derivatives segment, the committee shall also look into:
 - I. Approving the empanelment & cancellation of Warehouse Service Providers or Vault Service Providers or Assayers, accreditation of warehouse, etc;
 - II. Reviewing the continuous functioning, monitoring, and compliance of norms by Warehouse Service Providers, Vault Service Providers and assayers;
- d) The activities with regard to empanelment, cancellation, continuous functioning, monitoring and compliance by Warehouse Service Providers or Vault Service Providers or Assayers, accreditation of warehouse, etc. could also be implemented through an IC under MC;
- e) Define the Standard Operating Procedure (SOP) for the ICs, including the timelines to be followed by ICs, its composition, standardize criteria to scrutinize, evaluate, accept and grounds for rejection of applications, and other associated aspects to ensure uniformity and consistency while dealing / with applications or cases. For scenarios not covered in the SOP, ICs should seek approval of MC; and
- f) Oversee the implementation of the SOP by the ICs, including its timelines, uniformity and consistency in approach, based on quarterly report submitted by ICs. MC shall continue to be responsible and accountable for the activities of the ICs.

ii. On Regulatory Actions

- g) Ensure that the clearing corporation has detailed SOP and processes in place towards monitoring the activities of its members through inspections;
- h) Ensure that there is mechanism for monitoring of its members on various parameters through technology and take necessary action for non-compliance;
- i) Formulate policy for regulatory actions, including warning, monetary penalty, suspension, withdrawal of clearing membership, declaring of default, expulsion, to be taken by the clearing corporations for various violations by the members of the clearing corporation. The policy should have an SOP for undertaking such actions;
- j) Based on the laid down policy, consider all cases of violations observed and impose appropriate regulatory measures on the members of the clearing corporation;
- k) For enforcement actions against violations, where no discretion of MC is involved, the same could be delegated to an IC, provided corresponding regulatory action, including penalty amount, if any, is standardized in the policy framed by MC or through a circular issued by the clearing corporation / SEBI. If the same is delegated, quarterly report in this regard should be placed before MC by the IC. However, for scenarios which require immediate regulatory action, the clearing corporation shall inform the MC post imposition of such actions;
- l) Oversee the regulatory actions taken by IC, if delegated, including evaluating that no discretion has been exercised in the process. For any violation by IC, MC will be responsible and liable for the same;

- m) While imposing the regulatory measure, the Committee shall adopt a laid down process, based on the 'Principles of natural justice' and 'Principle of proportionality'. The 'Principle of natural justice' may be extended by the MC/IC, as applicable;
- n) Any review, appeal or waiver of penalty filed shall be placed before MC for its consideration.

iii. On Defaulter Members

- o) Formulate the policy to realize the assets or deposits of defaulter or expelled member and appropriate the same amongst various dues and claims against the defaulter or expelled member in accordance with the Rules, Byelaws and Regulations of the clearing corporation and applicable regulatory provisions;
- p) The activities with regard to realization of assets, and deposits of the defaulter or expelled member and appropriation of the same amongst various dues and claims against the defaulter or expelled member, etc. can be implemented through an IC under MC;
- q) Define the SOP for the IC, including the timelines to be followed by IC and its composition. For scenarios not covered in the SOP, IC should seek approval of MC;
- r) In the event both the clearing member and the constituent trading member are declared defaulter, then the MC of the clearing corporation and that of the stock exchange shall work together to realise the assets of both the clearing member and the trading member;
- s) Admission or rejection of claims against such members over the assets of the defaulter or expelled member.

(I) Investment Committee (IC)

Pursuant to the SECC Regulations read with SEBI Circular no. SEBI/HO/MRD/MRD-PoD-3/2024/088 dated June 25, 2024, IC may include the MD, NIDs (other than Executive Director), IEPs, along with PIDs.

The Committee consists of Mrs. Priti Savla, PID, Mr. Jayant Haritsa, PID, Mr. G S Hegde, PID and Mr. Vikram Kothari, MD & CEO (KMP) as its members with Mrs. Priti Savla as its Chairperson.

During the year under review, the committee met 3 (three) times, viz. April 30, 2024, October 17, 2024 and January 22, 2025. The necessary quorum was present for all the meetings.

The terms of reference of the IC, *inter alia*, include the following:

- a) Evaluate each investment and divestment proposals, whether requiring infusion of funds or otherwise, except treasury investments;
- b) Evaluate proposals of capital expenditure;
- c) Make detailed analysis of existing investments; and
- d) Investment Committee can provide the recommendation along with rationale to the governing Board.

Public Interest Directors

The Company has complied with Regulation 26 read with part A of Schedule II of SECC Regulations. As per the aforesaid Regulations, Public Interest Directors shall meet separately, at least once in six months to exchange views on critical issues.

IV. AUDITORS

The Audit Committee considers the profile of the audit firms, qualifications and experience of partners auditing books and accounts of the Company, strengths and weaknesses, if any, of the audit firm and other related aspects and then recommends appointment of Auditor and the remuneration payable to them to the Board and shareholders, as the case may be. The Audit Committee also periodically discusses with the Auditors the annual audit programme and the depth and detailing of the audit plan to be undertaken by them.

The Board has appointed an external firm of Chartered Accountants as its internal auditor in order to ensure the independence and credibility of the internal audit process.

V. SECRETARIAL AUDIT

The Company has engaged the services of M/s. Mehta & Mehta, Practicing Company Secretaries, to conduct Secretarial Audit pursuant to the requirements of the Act and the rules laid down thereunder for the financial year ended March 31, 2025. The report of the Secretarial Auditors is placed before the Audit Committee and the Board.

Further, the Company has complied with corporate governance requirements as specified in regulation 17 to 27 and clauses (b) to (i) of sub-regulation (2) of regulation 46 of the Listing Regulations.

VI. ANNUAL SECRETARIAL COMPLIANCE REPORT

NSE Clearing Limited has undertaken an audit for F.Y. 2024-25 for all applicable compliances as per SEBI Regulations and Circulars / Guidelines issued thereunder.

The Annual Secretarial Compliance Report has been obtained from M/s. Mehta & Mehta, Company Secretaries in terms of SEBI circular dated February 08, 2019.

VII. CEO / CFO CERTIFICATION

The CEO and CFO certification of the financial statements for F.Y. 2024-25 is enclosed at the end of the report.

VIII. GENERAL SHAREHOLDER INFORMATION

(A) CIN: U67120MH1995PLC092283

(B) ISIN: INE350O01012

- (C) Annual General Meeting: The 30th Annual General Meeting of the Company will be held at shorter notice on Friday, August 22, 2025 at 11:00 A.M. through Video Conference / Other Audio-Visual Means (VC / OAVM). The venue for the 30th AGM is corporate office of the Company i.e. Meeting Room, 9th Floor, Inspire BKC, Block 'G', Bandra-Kurla Complex, Bandra (East), Mumbai – 400 051. For details, please refer to the Notice of this AGM.
- (D) Financial year: April 01, 2024 to March 31, 2025
- (E) Tentative meeting schedule for considering Results for quarter ending on :
 June 30, 2025 – third or fourth week of July 2025
 September 30, 2025 – third or fourth week of October 2025
 December 31, 2025 – third or fourth week of January 2026
 March 31, 2026 – third or fourth week of April 2026
- (F) Dividend Payment date: Dividend, if declared, at the AGM will be paid within 10 days of the AGM. Proposed dividend for F.Y. 2024-25: Rs. 0.20 per equity share of Rs.10/- each.
- (G) Registrar and Transfer Agent:
 The address for communication and contact details of the Registrar and Transfer Agent are as under:
 M/s. MUFG Intime India Private Limited (Formerly known as Link Intime India Pvt. Ltd),
 C - 101, 247 Embassy, L.B.S. Marg, Vikhroli (West), Mumbai – 400 083. Tel. No. +91 8108116767
 e-mail id: rnt.helpdesk@in.mpms.mufig.com
 website: <https://in.mpms.mufig.com/>
- (H) Share Transfer system: The equity shares of NCL are maintained in dematerialised form. Further, the ISIN of equity shares is suspended by NCL to prevent transfers not approved by NCL pursuant to Article 63 of its Articles of Association and to ensure compliance of the provisions of SECC Regulations. Therefore, if and when application for approval of transfer is received adherence to compliance of SECC Regulations is and will be ensured.
- (I) Distribution of shareholding: In accordance with the SECC Regulations, NCL is required to ensure that at least 51% of the equity share capital must be held by public, with no more than 49% to be held by Trading Member / Clearing Member / their associates. NCL is also required to ensure that at least 51% of the equity share capital must be held by persons resident in India (as defined under Foreign Exchange Management Act, 1999), with no more than 49% to be held by persons resident outside India. NCL is a wholly owned subsidiary of NSE. Accordingly, NSE holds 100% of the paid-up equity share capital of NCL.
- (J) Dematerialization of shares: The Company's shares are 100% dematerialized.
- (K) Plant locations: None
- (L) Compliance Officer: Mr. Amit Pujara is the Chief Regulatory Officer & Compliance Officer of NCL.
- (M) Disclosure with respect to demat suspense account / unclaimed suspense account is not applicable to the Company

IX. OTHER DISCLOSURES

(1) Related Party Transactions

The transactions with related parties are entered in the ordinary course of business and at arm's length price except for the sale of NSE IFSC Clearing Corporation Limited (NSEICC), wholly owned subsidiary, by the Company to NSE IFSC Limited, wholly owned subsidiary of NSE, which

was at arm's length but not in ordinary course of business and the same was approved by the Governing Board, based on the recommendation of the Audit Committee, at its meeting held on January 22, 2025 and by the shareholders at the Extra ordinary General Meeting held on February 25, 2025 and were in compliance with the applicable provisions of the Act and Listing Regulations. Further, the sale of NSEICC was completed on June 10, 2025. The details of the related party transactions are disclosed in the Annual Report.

The 'Policy on dealing with related party transactions' of the Company is available on the website of the Company:

<https://www.nseclearing.in/sites/default/files/disclosure-doc/2024-05/Policy%20On%20Materiality%20and%20Dealing%20with%20Related%20Party%20Transactions.pdf>

The Audit Committee of the Company has granted omnibus approval for the Related Party Transactions (RPTs) which are of repetitive nature and / or entered in the ordinary course of business and are at arm's length. During F.Y. 2024-25, NCL did not have any pecuniary relationship or transactions with Non-Executive Directors.

The Audit Committee also reviews all RPTs on a quarterly basis in line with the omnibus approval granted by it.

(2) Details of non-compliance by the Company, penalties, strictures imposed on the company by SEBI or any other statutory authority on any matter related to capital markets during the last three years:

SEBI vide its order dated December 28, 2022, imposed a Penalty of ₹ 25 Lakhs on the Company on account of partial non-compliance with SEBI circular on Early Warning Mechanism dated December 17, 2018.

In the matter of technical glitch that took place on February 24, 2021, SEBI has issued Show Cause Notice (SCN) to NCL and to some of its employees dated August 11, 2021, wherein a Settlement Order dated June 20, 2023, was passed and NCL made a payment of ₹ 22,88,00,000 in the form of settlement.

In the matter of Inter-CCP Collateral, SEBI has issued Show Cause Notice to NCL dated November 21, 2023, wherein a Settlement Order dated October 29, 2024, was passed and NCL made a payment of ₹ 27,13,10,000 in the form of settlement.

(3) Vigil mechanism / Whistle Blower Policy

The Company has established a mechanism for any person to report concerns about unethical behavior, actual or suspected fraud, or violation of the code of conduct or ethics policy. The Company also provides for adequate safeguards against victimization of employees who avail of the mechanism and also allows direct access to the Chairperson of the Audit Committee in exceptional cases. No personnel have been denied access to the audit committee.

As per the requirements of Listing Regulations, whistle blower policy is provided in the Company's website for the information of the shareholders at the following location:

https://www.nseclearing.in/sites/default/files/disclosure-doc/2025-08/Whistle%20Blower%20Policy_NCL.pdf

The details of Vigil Mechanism are available on the website of the Company at:

<https://www.nseclearing.in/details-vigilance-mechanism>

(4) Compliance with the non-mandatory requirements [Part E of Schedule II Regulation 27(1) of the Listing Regulations]

In addition to the above, NCL also complies with the non-mandatory requirements of Part E of Schedule II prescribed under Regulation 27(1) of the Listing Regulations, like, maintaining a Chairperson's office at the Company's expense, reimbursement of expenses incurred by Chairperson in performance of his duties, the statutory auditors have provided an unmodified opinion on the Company's financial statements, maintaining separate post of Chairperson and Managing Director & CEO and direct reporting of internal auditors to the audit committee, etc.

(5) Subsidiary Companies

As on March 31, 2025, NCL has one wholly owned subsidiary namely NSEICC.

Further, on June 10, 2025, the Company completed the transaction of sale of 100% stake of its wholly owned subsidiary, NSEICC to NSE IFSC Limited, wholly owned subsidiary of NSE. Accordingly, post June 09, 2025, the Company does not have any Subsidiary.

(6) Disclosure by listed entity and its subsidiaries of loans and advances in the nature of loans to firms / companies in which Directors are interested by name and amount

During the year under review, the Company has not given any loans and advances in the nature of loans to firms / companies in which Directors are interested by name and amount, hence not applicable.

(7) Disclosure of Accounting Treatment in the preparation of Financial Statements

NCL follows the guidelines of Accounting Standards laid down by the Central Government under the provisions of Section 133 of the Act in the preparation of its financial statements.

(8) Communications with Shareholders

The Company provides shareholders with comprehensive access to key data and updates through its Investor Relations section on its website at <https://www.nseclearing.in/>. This includes information on:

- a. quarterly and annual financial results,
- b. shareholding pattern,

- c. Board and General meetings details,
- d. terms and conditions of appointment of Independent Directors, and
- e. the details of vigil mechanism, etc.

The Clearing Corporation disseminates all the material information to its shareholders through periodical communications. As per the requirements of the Listing Regulations, the financial results are published periodically in the newspapers.

Annual Report:

Annual report containing, *inter alia*, Audited Accounts, Board's Report, Report on Corporate Governance, Business Responsibility and Sustainability Reporting, Management Discussion & Analysis, other material and related matters / information are circulated to the shareholders and others entitled thereto.

(9) Redressal of shareholders' complaints

The Company is a wholly owned subsidiary of NSE. During the year, the Company did not receive any grievance from its shareholder(s) in respect of transfer of shares, non-receipt of Annual Report, non-receipt of declared dividends.

(10) Credit Ratings

NSE Clearing Limited has received reaffirmation of its corporate credit rating of 'CRISIL AAA/Stable' from CRISIL. NCL has been rated "CRISIL AAA/Stable" for the seventeenth consecutive year.

'CRISIL AAA/Stable' rating indicates the highest degree of strength with regard to honoring debt obligations. As per CRISIL, the rating reflects NSE Clearing's strategic importance to, and the strong support from its parent, NSE, The rating also factor in NSE Clearing's comfortable capital position and comprehensive risk management systems. CRISIL has stated that the systems are regularly upgraded to pre-empt market failures. CRISIL has reaffirmed the outlook for NSE Clearing as "Stable" and states that, "NSE Clearing will maintain its strong market position due to its association with NSE and maintain comprehensive risk management systems and adequate core SGF commensurate with the clearing volumes, over the medium term." On an ongoing basis, NSE Clearing continues to address the risks in clearing and settlement with its stringent norms for selection of members, robust margining system, and risk-based position limits and surveillance mechanism.

- (11)** Details for the name and address of each stock exchange at which the listed entity securities are listed and a confirmation about payment of annual listing fees to each of such stock exchanges, stock code, market price data and performance in comparison to broad based indices – Not applicable.

X. GENERAL BODY MEETINGS

A. Location, date, and time of last three Annual General Meetings (AGMs) were held:

Table No. 5

Type of meeting	Date	Time	Venue	Special Resolution passed
29 th Annual General Meeting	August 22, 2024	12:00 Noon	Through Video Conference/ Other Audio Visual means from the Exchange Plaza, Plot C1, Block 'G', Bandra-Kurla Complex, Bandra (East), Mumbai – 400 051	-
28 th Annual General Meeting	August 17, 2023	11:00 A.M.		-
27 th Annual General Meeting	July 05, 2022	10:00 A.M.		-

B. Extraordinary General Meeting

Date	Time	Venue	Special Resolution passed
February 25, 2025	12:30 P.M	Through Video Conference /Other Audio Visual Means from the Exchange Plaza, Plot C1, Block 'G', Bandra-Kurla Complex, Bandra (East), Mumbai – 400 051	-

C. Postal Ballot

The Company did not pass any resolution through postal ballot in the previous year. The requirement of passing any resolution by postal ballot is not applicable to NCL as the number of shareholders of NCL is less than 200.

XI. CERTIFICATE ON COMPLIANCE OF CORPORATE GOVERNANCE NORMS

In accordance with the provision of the Listing Regulations read with Regulation 33 of SECC Regulations, NCL has obtained a certificate from a Practicing Company Secretary, confirming compliance with the conditions of Corporate Governance stipulated therein. The same has been provided as an Annexure and forms part of this Report.

M/s. Mehta & Mehta, Practicing Company Secretaries has issued a certificate confirming that none of the Directors on the Board of the Company have been debarred or disqualified from being appointed to or continuing as the Directors of NCL by the SEBI / MCA or any such statutory authority. The said certificate is annexed and forms part of this Report.

- XII.** The Board has accepted the recommendations of its committees, made during F.Y. 2024-25, which are mandatorily required to be accepted.

XIII. FEES PAID TO STATUTORY AUDITORS

The details regarding total fees for all services paid by NCL and its subsidiary, NSEICC, on a consolidated basis, to the statutory auditors i.e. M/s. Khandelwal Jain & Co., Chartered Accountants and all entities in the network firm / network entity of which the statutory auditor is a part has been provided below:

Particulars	Amount in ₹
As auditor:	
Audit fees	29,50,000
Tax audit fee	5,50,000
Limited review	15,75,000
In other capacity:	
Taxation matters	18,37,001
Certification matters	3,52,500
Out of pocket	1,60,010
Total	74,24,511

XIV. DETAILS OF MATERIAL SUBSIDIARY INCLUDING THE DATE AND PLACE OF INCORPORATION AND THE NAME AND DATE OF APPOINTMENT OF THE STATUTORY AUDITORS OF SUCH SUBSIDIARIES

As per Listing Regulations, “material subsidiary” shall mean a subsidiary whose turnover or net worth exceeds ten percent of the consolidated turnover or net worth respectively, of the listed entity and its subsidiaries in the immediately preceding accounting year. There are no Material Subsidiary of the Company. Further, the ‘Policy for determining material subsidiaries’ is available on the Website of the Company.

<https://www.nseclearing.in/sites/default/files/disclosure-doc/2025-01/NCL%20-%20Policy-on-Determining-Material-Subsidiaries%20-%20January%2022%202025.pdf>

XV. OUTSTANDING GLOBAL DEPOSITORY RECEIPTS (GDR) OR AMERICAN DEPOSITORY RECEIPTS (ADR) OR WARRANTS OR ANY CONVERTIBLE INSTRUMENTS, CONVERSION DATE AND LIKELY IMPACT ON EQUITY;

The Company has not issued any GDRs / ADRs / Warrants or any convertible instruments in the past and hence, as on March 31, 2025, the Company does not have any outstanding GDRs / ADRs / Warrants or any convertible instruments.

XVI. DISCLOSURE OF LOANS AND ADVANCES TO FIRMS / COMPANIES IN WHICH DIRECTORS ARE INTERESTED

During the financial year under review, NCL has not granted loans and advances to any firm / company in which the Directors are interested.

XVII. DISCLOSURE OF COMMODITY PRICE RISKS OR FOREIGN EXCHANGE RISK OR HEDGING ACTIVITIES AND COMMODITY HEDGING ACTIVITIES

The Company is neither exposed to any commodity price risk or foreign exchange risk nor undertaken any hedging activities. Therefore, the disclosure is not applicable.

XVIII. DETAILS OF UTILIZATION OF FUNDS RAISED THROUGH PREFERENTIAL ALLOTMENT OR QUALIFIED INSTITUTIONS PLACEMENT AS SPECIFIED UNDER REGULATION 32(7A)

The disclosure pertaining to details of utilisation of funds raised through Preferential Allotment or Qualified Institutions Placement as specified under Regulation 32(7A) of the Listing Regulations is not applicable to the Company.

XIX. SENIOR MANAGEMENT

The details of changes in the Senior Management are mentioned under Point 6.1 of Director's Report

XX. The disclosures under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 forms part of this Annual Report.

XXI. DISCLOSURE OF CERTAIN TYPE OF AGREEMENTS BINDING LISTED ENTITIES

Pursuant to clause 5A of paragraph A of Part A of Schedule III of Listing Regulations, there are no agreement impacting management or control of the Company or imposing any restriction or create any liability upon the Company.

XXII. The Members of the Board and Senior Management have affirmed compliance with the Code of Conduct applicable to them during the year ended March 31, 2025. A declaration signed by the MD & CEO stating that the members of Board and Senior Management Personnel have affirmed compliances with the code of conduct of Board of Directors and Senior Management is attached herewith and forms a part of the Corporate Governance Report.

XXIII. Address for correspondence: The Secretarial Department, NSE Clearing Limited, Registered Office: Exchange Plaza, Plot No. C-1, "G" Block, Bandra-Kurla Complex, Bandra (East), Mumbai – 400 051.
Corporate Office: 9th Floor, Inspire BKC, Bandra Kurla Complex, Bandra (East), Mumbai -400 051.

Shareholders are requested to intimate all changes pertaining to their Bank details, email addresses, Power of Attorney, change of name, change of address, contact details, etc., to the Depository Participants (DP) and the Company Secretary, NCL.

CERTIFICATE OF NON-DISQUALIFICATION OF DIRECTORS
[Pursuant to Regulation 34(3) and Schedule V Para C clause (10)(i) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015]

To,

NSE Clearing Limited

Exchange Plaza, Plot C-1,
Block G, Bandra Kurla Complex,
Bandra East, Mumbai - 400051, Maharashtra, India

We have examined the relevant registers, records, forms, returns and disclosures received from the Directors of **NSE Clearing Limited** having **CIN U67120MH1995PLC092283** and having registered office at Exchange Plaza, Plot C-1, Block G, Bandra Kurla Complex, Bandra East, Mumbai - 400051, Maharashtra, India (hereinafter referred to as 'the Company'), produced before us by the Company for the purpose of issuing this Certificate, in accordance with Regulation 34(3) read with Schedule V Para-C Sub clause 10(i) of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In our opinion and to the best of our information and according to the verifications (including Directors Identification Number (DIN) status at the portal www.mca.gov.in) as considered necessary and explanations furnished to me / us by the Company & its officers, We hereby certify that none of the Directors on the Board of the Company as stated below for the Financial Year ending on 31st March, 2025 have been debarred or disqualified from being appointed or continuing as Directors of companies by the Securities and Exchange Board of India, Ministry of Corporate Affairs or any such other Statutory Authority.

Sr. No.	Name of Directors	DIN	Date of appointment in Company
1	Vikram Kothari	07898773	07/11/2017
2	Jayant Ramaswamy Haritsa	09524601	17/06/2022
3	Gopalkrishna Sitaram Hegde	09515748	17/06/2022
4	Golaka Chandra Nath	09750678	17/11/2022
5	Piyush Sudhir Chourasia	07130931	26/09/2024
6	Ian Gerard Desouza	10721685	26/09/2024
7	Priti Paras Savla	00662996	05/04/2023
8	Abhaya Prasad Hota	02593219	06/04/2023

Ensuring the eligibility for the appointment / continuity of every Director on the Board is the responsibility of the management of the Company. Our responsibility is to express an opinion on these based on our verification. This certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.

**For Mehta & Mehta,
Company Secretaries
(ICSI Unique Code P1996MH007500)**

Atul Mehta

Partner

FCS No: 5782

CP No: 2486

Place: Mumbai

Date: July 04, 2025

UDIN: F005782G000715361

PR No.: 3686/2023

**DECLARATION REGARDING COMPLIANCE BY BOARD MEMBERS AND SENIOR
MANAGEMENT PERSONNEL WITH THE COMPANY'S CODE OF CONDUCT**

I, Vikram Kothari, Managing Director & CEO, hereby confirm that the Company has obtained affirmations from all the members of the Board and Senior Management Personnel, confirming their compliance with the code of conduct for the financial year 2024-25.

For the purpose of this declaration, Senior Management Personnel means Key Management Personnel appointed under SECC Regulations, reporting directly to Managing Director & CEO and Key Managerial Personnel, namely, Chief Financial Officer and Company Secretary appointed under the provisions of the Act.

Vikram Kothari
Managing Director & CEO
DIN: 07898773

Date: July 04, 2025
Place: Mumbai

MANAGEMENT DISCUSSION & ANALYSIS

The global economy began 2025 with moderate strength but rising uncertainty. Inflation eased across much of the world, labour markets remained resilient in advanced economies, and financial conditions began to soften after a prolonged phase of monetary tightening. Still, global growth has not picked up meaningfully, held back by regional imbalances, policy lags, and renewed geopolitical friction.

The International Monetary Fund (IMF) projects global GDP growth at 3.3% in 2024 - steady but below the long-term trend. While the US economy remains robust and Europe is gradually recovering, China continues to lag. Early 2025 brought renewed trade tensions, including fresh tariffs and delayed relaxations, weighing on investor sentiment and threatening global trade flows. In response, the IMF cut its 2025 growth forecast to 2.8%, with only a modest rebound to 3% in 2026. Risks remain elevated, driven by escalating trade frictions, policy uncertainty, and tighter financial conditions in key regions.

On the inflation front, the disinflation trend continues. Headline inflation is projected to fall from 5.7% in 2024 to 4.3% in 2025 and to 3.6% in 2026. Several central banks have started cutting rates, though caution prevails. Persistent service inflation and the threat of cost shocks from new trade barriers have complicated the monetary policy outlook.

Looking ahead, the global economy's progress will hinge on managing these trade-offs between growth and stability, and between inflation control and geopolitical risks.

Indian Economic Overview

India's economy remained a global outlier in F.Y. 2024-25, navigating a year of rising geopolitical and economic uncertainty with resilience and steady momentum. Despite a challenging global backdrop, India retained its position as one of the fastest-growing major economies, buoyed by strong domestic demand, robust services exports, and improving rural dynamics. Provisional estimates from the Central Statistics Office (CSO) place India's real GDP growth at 6.5% for F.Y. 2024-25, following a strong 9.2% expansion in the previous year. Over the four years since the pandemic, average growth has stood at an impressive 8.3%, underscoring the economy's underlying strength and adaptability.

Private consumption was the standout driver of growth, expanding by 7.6% during the year. This was supported by a combination of factors: a resurgence in travel and discretionary spending linked to the Maha Kumbh, stronger household credit flows, and improved consumer sentiment. High-frequency indicators reflected this upswing—two-wheeler and passenger vehicle sales rebounded, air travel surged, and FMCG volumes recovered in the second half. On the supply side, Gross Value Added (GVA) grew by 6.4%, led by agriculture and services, which continued to show robust post-pandemic performance.

Inflation moderated through the year, with the headline CPI inflation falling from 5.4% in F.Y. 2023–24 to 4.7% in F.Y. 2024-25, dipping below the 4% target by February 2025. This disinflation was driven by easing food prices in the second half and continued softness in core inflation. With inflation risks moderating and external headwinds intensifying, the RBI shifted its monetary stance. The Monetary Policy Committee cut the repo rate by 25 basis points each in February and April 2025, bringing it to 6.0%, while also injecting liquidity in the final quarter to support growth without undermining price stability.

The F.Y. 2025-26 Union Budget struck a calibrated balance between growth and fiscal responsibility, while continuing to focus on social well-being of the citizens. Key measures included raising the nil-tax threshold from ₹ 7 lakh to ₹ 12 lakh, aimed at spurring consumption,

savings, and small-ticket investment. At the same time, the budget maintained its commitment to consolidation, setting a fiscal deficit target of 4.4% of GDP for F.Y. 26. Under the FRBM (Fiscal Responsibility and Budget Management) roadmap, the government aims to bring down public debt from 55% to 50% of GDP by F.Y. 2030–31, signaling long-term macroeconomic stability and improving India's sovereign risk profile.

The latest figures from the Central Statistics Office (CSO) reveal India's GDP surged by 7.6% in the fiscal year 2023-24, building on the upwardly revised 7.0% growth seen in the preceding year. This streak of robust growth marks the third consecutive year with GDP growth surpassing 7%, averaging 8.1% over this period. Investment, indicated by Gross Fixed Capital Formation, notably soared by 10.2% in 2023-24. Urban consumption remained resilient, as reflected in domestic air travel, household credit and vehicle sales, while rural demand saw a modest recovery. On the production side, the Gross Value Added (GVA) expanded by 6.9%, largely propelled by growth in the Industry and Services sectors.

Capital market scenario and its impact on NSE

Global equity markets ended F.Y. 2024-25 on a cautiously optimistic note, despite ongoing macroeconomic and geopolitical volatility. Cooling inflation, expectations of rate cuts by major central banks, and hopes of a soft-landing supported sentiment across asset classes. Developed markets advanced steadily—Europe benefited from falling energy prices and macroeconomic stability, while US markets saw wider swings amid trade tensions, tech sector corrections, and election-year policy uncertainty. In emerging markets, China led gains on renewed AI optimism and regulatory easing, helping the MSCI Emerging Markets Index broadly match the MSCI World Index's (Developed Market Index) 5.7% return, though both fell short of the previous year's strong performance.

India tracked global equity trends but stood out with strong macro fundamentals and robust domestic participation. Markets ended F.Y. 2024-25 higher, supported by easing inflation, the RBI's policy pivot, and a growth-oriented Union Budget. Despite global headwinds, including FPI outflows, geopolitical risks, and trade volatility, investor sentiment remained resilient. The Nifty 50 rose 5.3% during the year, following a stellar 28.6% gain in F.Y. 2023-24. Mid - and small-caps outperformed once again, with the Nifty Mid-cap 50 and Small-cap 50 returning 7.7% and 9.9%, respectively, though well below their 60%+ surge in the previous year. India retained its rank as the world's fourth-largest equity market, with a market cap of US\$ 4.8 trillion as of March 31, 2025, trailing only the US, China (including Hong Kong), and Japan.

Domestic institutional investors (DIIs) played a pivotal role in supporting the market, recording net equity inflows of ₹ 6.1 lakh crore exceeding the combined DII inflows of the past two years by over 30%. This sustained strength was underpinned by the continued rise of SIP based retail flows, with average monthly SIP inflows tripling over five years from ₹ 8,000 crore in F.Y. 2020-21 to ₹ 24,113 crore in F.Y. 2024-25. Notably, F.Y. 2024-25 marked the strongest annual growth in SIP contributions in seven years.

Direct participation of individuals in terms of net investments also rebounded meaningfully during F.Y. 2024-25. Individuals invested a net amount of ₹ 1.25 lakh crore in NSE's secondary markets during the year, comfortably outpacing their combined inflows from the previous two fiscals. This marked the fifth year in a row of net buying by individual investors. Participation in terms of new and active investors also gained momentum during the year. During the year, 2.1 crore new investors joined the market, pushing the total registered investor base to 11.3 crore - a robust 29% annual growth rate. Active participation also rose

meaningfully, with 3.8 crore individuals executing at least one trade in the NSE cash market during the year, up from 3.1 crore in the previous year.

The rise in domestic investor participation was matched by continued efforts to enhance market integrity, transparency, and stability. NSE Clearing's Settlement Guarantee Fund expanded by 37% YoY to ₹ 12,083 crores as of March 31, 2025. NSE's Investor Protection Fund (IPF) expanded by 23% year-on-year to ₹ 2,459 crores as of March 31, 2025, reflecting a strong commitment to mitigating the risks of settlement failures and maintaining market stability. A series of regulatory and risk-management reforms were also implemented to promote stability in the index derivatives segment. Key measures included restricting weekly expiries to a single benchmark index per exchange, raising contract sizes, imposing additional expiry-day margins, eliminating calendar spread benefits, mandating upfront premium collection from option buyers, and introducing intraday position monitoring.

Outlook

Global growth is expected to slow in F.Y. 2025-26 amid persistent geopolitical tensions, escalating trade frictions, and tighter financial conditions in several advanced economies. Investor sentiment remains cautious as inflation risks re-emerge, and policy uncertainty clouds the global recovery. Against this backdrop, India stands out for its relative stability and domestic demand-driven growth.

The RBI projects GDP growth at 6.5% for F.Y. 2025-26, supported by resilient urban consumption, a likely rebound in rural demand following a normal monsoon, continued public sector investment, and sustained expansion in services. Improving financial conditions driven by the RBI's shift to a more accommodative stance alongside stronger balance sheets and elevated capacity utilisation, are expected to catalyse private investment.

India's medium-term outlook remains constructive. Accelerated digitisation, increased formalisation, and broader financial inclusion are expected to enhance productivity and deepen economic participation. At the same time, a calibrated fiscal consolidation path balancing growth needs with debt sustainability should strengthen sovereign creditworthiness, attract long-term capital, and support a benign funding environment. The continued development of India's securities markets will hinge on three pillars: technology innovation, sound risk management, and adaptive regulation. These will be critical to preserving market resilience and deepening investor trust in a volatile global environment.

Risks and concerns

Global trade tensions, fueled by recent US tariff hikes, have added to policy uncertainty and may dampen global growth and inflation prospects. With the US accounting for 18% of India's exports, spillovers could affect the external sector, though strong domestic consumption - nearly 60% of GDP offers a buffer. Trade talks in progress, however, may limit the fallout. An uneven or delayed monsoon could affect rural incomes and discretionary spending, potentially moderating consumption growth. At the same time, volatile global financial markets could weigh on foreign investor sentiment, keeping capital flows into emerging markets - including India - under pressure. Navigating these crosscurrents will be critical to sustaining India's growth momentum in F.Y. 2025 - 26. For capital markets, such macroeconomic shifts directly influence investor behaviour and funding conditions, with cascading effects across the company's operations and business segments.

Financials

The financial statements have been prepared in compliance with the requirements of the Companies Act, 2013 and Indian Accounting Standards (Ind AS) notified under Section 133 of the Companies Act 2013 (the Act) [Companies (Indian Accounting Standards) Rules, 2015], Companies (Indian Accounting Standards) Amendment Rules, 2016 and other relevant provisions of the Companies Act 2013 (the Act). Consolidated Financial statements have also been presented in this Annual Report.

Financial performance –Standalone (F.Y. 2024-25)

The total revenue has increased by around 26.60% from ₹ 2,172.23 crores for the F.Y. 2023-24 to ₹2,749.98 crores for the F.Y. 2024-25.

The total expenditure for the F.Y. 2024-25 was ₹523.36 crores as compared to ₹ 385.31 crores for the F.Y. 2023-24, an increase of around 35.83% over the previous year.

The total Profit Before tax for the F.Y. 2024-25 was ₹ 2,199.49 crores as against ₹ 1,764.04 crores for the F.Y. 2023-24, increased by around 24.68% over the previous year.

The total Provision for tax (including deferred tax) for the F.Y. 2024-25 was ₹573.84 crores as against ₹ 449.74 crores for the F.Y. 2023-24.

The total Profit after tax for the F.Y. 2024-25 was ₹ 1,625.65 crores as against ₹ 1,314.30 crores for the F.Y. 2023-24, increase by around 23.69% over the previous year.

The total Comprehensive Income for the F.Y. 2024-25 was ₹ 1,624.36 crores as against ₹ 1,313.54 crores for the F.Y. 2023-24, increase by around 23.66% over the previous year.

Operating Revenues

Clearing & Settlement charges

NCL, a wholly owned subsidiary of NSE, carries out the clearing and settlement of the trades executed in the Equity Market, Future and Options, Currency Derivative and Commodity Market. NCL operates under the interoperability framework among Clearing corporations for segments/ products approved by SEBI from time to time. This framework allows market participants to consolidate their clearing and settlement functions at a single Clearing Corporation, irrespective of the stock exchanges on which the trades are executed. The clearing & settlement charges increased by around 27.77% from ₹ 1,251.89 crores for the F.Y. 2023-24 to ₹ 1,599.49 crores for the F.Y. 2024-25.

Interest & Other Investment income

The total investment income increased from ₹ 893.25 crores for the F.Y. 2023-24 to ₹ 1,114.91 crores for the F.Y. 2024-25 on account of increase in average outstanding collateral balance.

Other Operating Revenues

The other operating revenues increased from ₹ 25.64 crores for the F.Y. 2023-24 to ₹33.65 crores for the F.Y. 2024-25.

Expenditure**Other expenses**

During the F.Y. 2024-25, other expenses were at ₹ 349.38 crores as against the other expenses of ₹ 279.33 crores for the F.Y. 2023-24 increase of ₹ 70.06 crores is mainly due to increase of ₹ 61.50 crores in technology related expenses.

Employee cost

Employee related expenses for F.Y. 2024-25 was ₹ 105.20 crores which was ₹ 61.32 crores for the F.Y. 2023-24. For the F.Y. 2024-25, the total employee cost as a percentage to total income was 3.83% and as a percentage of expenditure was 20.10% which is comparable to the industry standards.

Depreciation

Depreciation increased by around 53.95% from ₹ 44.67 crores for the F.Y. 2023-24 to ₹ 68.78 crores for the F.Y. 2024-25.

Exceptional Item

During the F.Y. 2024-25 the company paid the settlement amount of ₹ 27.13 crores in October 2024 towards the SEBI proceedings of the show cause vide settlement order dated October 29, 2024.

Share Capital

During the F.Y. 2024-25 Authorised Share Capital has remain unchanged at ₹ 5,000 crores and issued Share Capital has remain unchanged at ₹1,445 crores

Reserves & Surplus

The total other Equity as on March 31, 2025, is ₹1,875.81 crores comprising General reserve of ₹ 494.71 crores, Capital Redemption Reserve of ₹ 10.00 crores and balance in P&L A/c of ₹1,371.09 crores.

During the F.Y. 2018-19, the Company has received approval from SEBI to start clearing & settlement activities in Commodity Derivatives. As required by SEBI minimum amount of ₹ 250 crores have been earmarked towards a separate fund for the purpose of augmenting Settlement Guarantee Fund for Commodity Derivatives by way of appropriation from General Reserves.

Thus, the total Net worth of the Company as on March 31, 2025, is ₹ 3,320.81 crores (excluding contribution to Core SGF) and ₹ 7,694.36 crores (including contribution to Core SGF and contribution to Settlement Guarantee Fund (SGF)- Commodity derivatives) and the book value is ₹ 22.98 per share (excluding contribution to Core SGF) and ₹ 53.25 per share (including contribution to Core SGF and contribution to Settlement Guarantee Fund (SGF)- Commodity derivatives)

Core Settlement Guarantee Fund (Core SGF)

SEBI, vide circular CIR/MRD/DRMNP/25/2014 dated August 27, 2014, *interalia*, has issued norms related to the computation and Minimum Required Contribution (MRC) to the Core Settlement Guarantee Fund by the Clearing Corporation (minimum 50%), Stock Exchange (minimum 25%) and members (maximum 25%). Further, SEBI vide circular CIR/CFD/FAC/62/2016 dated May 05, 2016 advised Stock Exchange to transfer 25% of its

annual profits to Core SGF. Accordingly, total Core SGF as on March 31, 2025, is ₹ 11,978.58 crores comprising of: a) ₹ 3,732.18 crores contributed by NCL by appropriating reserves / profits b) ₹ 1,986.30 crores received from NSE towards Core SGF. c) Member's contribution to Core SGF amounting to ₹ 641.37 crores contributed by NCL on behalf of Members by appropriating reserves / profits d) Member's contribution to Core SGF amounting to ₹ 1,160.35 crores is utilised out of the amount received from NSE towards 25% of its annual profits upto August 2015 e) The balance amount of 25% of Exchange profits amounting to ₹ 0.04 crores is credited to Core SGF. f) ₹ 133.27 crores received from BSE Limited (BSE) g) ₹ 2.92 crores received from Metropolitan Stock Exchange of India (MSE) h) ₹ 669.11 crores, ₹ 207.91 crores, ₹ 392.75 crores, ₹ 0.01 crore and ₹ 1 crore adjusted towards incremental requirement of Minimum Required Corpus (MRC) from the interest accrual on the cash contribution by NCL, NSE and NSE's Contribution on behalf of members, MSE and Financial Disincentive respectively. In addition to the above, Fines & penalties collected by NCL amounting to ₹ 2,113.52 crores and an amount of ₹ 937.85 crores being Income from investments of Core SGF funds have been credited to Core SGF.

NCL's contribution to Core SGF for own contribution and contribution on behalf of Member for the financial year ended March 31, 2025 is ₹ 1,900.00 crores (for the financial year ended March 31, 2024 is ₹ 1,441.00 crores) have been appropriated out of profits.

Further incremental requirement of Contribution to core SGF for financial year ended March 31, 2025 was ₹ 1,719.82 crores (from NCL ₹ 1,476.79 crores, NSE ₹ 148.28 crores, BSE ₹ 94.75 crores).

Further, as per circular SEBI/HO/MRD2/DCAP/CIR/P/2021/03 dated January 08, 2021, SEBI has allowed transfer of excess contribution made by Stock Exchanges from Core SGF of one Clearing Corporation to the Core SGF of another Clearing Corporation in inter-operable scenario. Accordingly, ₹ 68.35 crores pertaining to contribution of NSE has been transferred to other Clearing Corporations.

Deposits from members & Clearing Banks (Unsecured)

The total deposits from Members & Clearing Banks as on March 31, 2025, stood at ₹ 2,481.53 crores as against ₹ 1,995.25 crores as on March 31, 2024.

Fixed Assets

Total Gross Block as on March 31, 2025, was ₹ 397.80 crores. Total Accumulated depreciation up to March 31, 2025, was ₹ 221.56 crores. Net fixed Assets (including Capital W.I.P and ROU asset) were ₹ 176.24 crores.

Investments

The prudential policy of the Company permits to invest both long term and short-term surplus funds into deposits of highly rated banks, bonds issued by the Central / State governments, debt-oriented schemes of high performing liquid schemes of mutual funds. Current investments were ₹ 334.08 crores as on March 31, 2025, as against ₹ 696.08 crores as on March 31, 2024.

Asset Held for sale

As on March 31, 2025, asset held for sale were ₹ 250 crores and as on March 31, 2024, the total non-current investments were ₹ 250 crores. The Board of Directors and Shareholders has accorded its approval for sale of entire stake in its wholly owned subsidiary namely NSEICC to NSEIX, fellow subsidiary for a consideration of ₹ 250 crores subject to approval of

regulatory authorities. The Company expects that the said sale to be completed within one year and accordingly the said investment has been classified as 'Asset Held for Sale' in accordance with Ind AS 105 – "Non-current assets held for sale and Discontinued Operations".

Other Non-Current and Current Assets

Total other assets (non-current and current) as on March 31, 2025, stood at ₹ 21,543.08 crores mainly comprising of cash and bank balances in current and Fixed Deposits amounting to ₹ 20,175.63 crores, interest accrued on investments and Fixed Deposits amounting to ₹ 442.87 crores, trade receivables amounting to ₹88.75 crores.

Other Non-Current and Current Liabilities

Total other liabilities (non-current and current) as on March 31, 2025, stood at ₹ 16,501.06 crores mainly comprising of Settlement Obligations payable ₹ 2,125.10 crores, Margins from Members ₹ 13,708.01 crores.

Taxation

The total Provision for tax (including deferred tax) for the F.Y. 2024-25 was ₹ 573.84 crores (net off tax on contribution to Core SGF) as against ₹ 449.74 crores for the F.Y. 2023-24.

Events occurring after the balance sheet date.

There are no transactions of material nature that have occurred after March 31, 2025, which could have any impact on the financial performance of the Company for the F.Y. 2024-25.

Financial performance – Consolidated (F.Y. 2024-25)

The total revenue has increased by around 21.18% from ₹ 588.14 crores for the F.Y. 2023-24 to ₹ 2,777.05 crores for the F.Y. 2024-25.

The total expenditure for the F.Y. 2024-25 was ₹ 555.58 crores as compared to ₹ 410.38 crores for the F.Y. 2023-24, an increase of around 35.38% over the previous year.

The total Profit Before tax for the F.Y. 2024-25 was ₹ 2,194.34 crores as against ₹ 1,755.65 crores for the F.Y. 2023-24, increased by around 25.01% over the previous year.

The total Provision for tax (including deferred tax) for the F.Y. 2024-25 was ₹ 573.84 crores as against ₹ 449.74 crores for the F.Y. 2023-24.

The total Profit after tax for the F.Y. 2024-25 was ₹ 1,620.50 crores as against ₹ 1,305.91 crores for the year 2023-24, increase by around 24.09% over the previous year.

The total Comprehensive Income for the F.Y. 2024-25 was ₹ 1,622.37 crores as against ₹ 1,305.78 crores for the F.Y. 2023-24, increase by around 24.25% over the previous year.

Operating Revenues

Clearing & Settlement charges

NCL, a wholly owned subsidiary of the NSE, carries out the clearing and settlement of the trades executed Equity Market, Future and Options, Currency Derivative and Commodity Market. NCL operates under the interoperability framework among Clearing corporations for segments / products approved by SEBI from time to time. This framework allows market participants to consolidate their clearing and settlement functions at a single Clearing Corporation, irrespective of the stock exchanges on which the trades are executed. The

clearing & settlement charges for the F.Y. 2024-25 increased by around 28.03% from ₹ 1,262.60 crores for the F.Y. 2023-24 to ₹ 1,616.50 crores.

Interest & Other Investment income

The total investment income increased from ₹ 898.47 crores for the F.Y. 2023-24 to ₹ 1,123.37 crores for the F.Y. 2024-25 on account of increase in average outstanding collateral balance.

Other Operating Revenues

The other operating revenues increased from ₹ 27.82 crores for the year 2023-24 to ₹ 37.18 crores for the F.Y. 2024-25.

Expenditure

Other expenses

During the F.Y. 2024-25 other expenses were at ₹367.40 crores as against the other expenses of ₹ 294.18 for the F.Y. 2023-24.

Employee cost

Employee related expenses for F.Y. 2024-25 were ₹114.32 crores which was ₹ 66.88 crores for the year 2023-24. During the year, certain employees of NSE were deputed to the Company for IT management and consultancy, accordingly, Salaries, wages and bonus of Deputed Staff pertains to amount reimbursed by the company to NSE in respect of employees made available to the company. For the F.Y. 2024-25, the total employee cost as a percentage to total income was 4.12% and as a percentage of expenditure was 20.58% which is comparable to the industry standards.

Depreciation

Depreciation increased by around 49.76% from ₹ 49.32 crores for the F.Y. 2023-24 to ₹ 73.86 crores for the F.Y. 2024-25.

Exceptional Item

During the F.Y. 2024-25 the company paid the settlement amount of ₹ 27.13 crores towards the SEBI proceedings of the show cause vide settlement order dated October 29, 2024.

Share Capital

During the F.Y. 2024-25 Authorised Share Capital has remain unchanged at ₹ 5,000 crores and issued Share Capital has remain unchanged at ₹ 1,445 crores

Reserves & Surplus

The total other Equity as on March 31, 2025, is ₹ 1,731.67 crores comprising General reserve of ₹ 494.71 crores, Capital Redemption Reserve of ₹ 10.00 crores, Foreign Currency Translation Reserve of ₹ 14.14 crores and balance in P&L A/c of ₹ 1,212.79 crores.

During the F.Y. 2018-19, the Company has received approval from SEBI to start clearing & settlement activities in Commodity Derivatives. As required by SEBI minimum amount of ₹ 250 crores have been earmarked towards a separate fund for the purpose of augmenting Settlement Guarantee Fund for Commodity Derivatives by way of appropriation from General Reserves

Thus, the total Net worth of the Company as on March 31, 2025 is ₹ 3,176.67 crores (excluding contribution to Core SGF) and ₹7,636.81 crores (including contribution to Core SGF and contribution to Settlement Guarantee Fund (SGF)- Commodity derivatives) and the book value is ₹ 21.98 per share (excluding contribution to Core SGF) and ₹ 52.85 per share (including contribution to Core SGF and contribution to Settlement Guarantee Fund (SGF)- Commodity derivatives)

Core Settlement Guarantee Fund (Core SGF)

(i) SEBI, vide circular CIR/MRD/DRMNP/25/2014 dated August 27, 2014, *interalia*, has issued norms related to the computation and Minimum Required Contribution (MRC) to the Core Settlement Guarantee Fund by the Clearing Corporation (minimum 50%), Stock Exchange (minimum 25%) and members (maximum 25%). Further, SEBI vide circular CIR/CFD/FAC/62/2016 dated May 05, 2016 advised Stock Exchange to transfer 25% of its annual profits to Core SGF. Accordingly, total Core SGF as on March 31, 2025, is ₹ 11,978.58 crores comprising of: a) ₹ 3,732.18 crores contributed by NCL by appropriating reserves / profits b) ₹ 1,986.30 crores received from NSE towards Core SGF. c) Member's contribution to Core SGF amounting to ₹ 641.37 crores contributed by NCL on behalf of Members by appropriating reserves / profits. d) Member's contribution to Core SGF amounting to ₹ 1,160.35 crores is utilised out of the amount received from NSE towards 25% of its annual profits upto August 2015. e) The balance amount of 25% of Exchange profits amounting to ₹ 0.04 crores is credited to Core SGF. f) ₹ 133.27 crores received from BSE Limited (BSE). g) ₹ 2.92 crores received from Metropolitan Stock Exchange of India (MSE). h) ₹ 669.11 crores, ₹ 207.91 crores, ₹ 392.75 crores, ₹ 0.01 crore and ₹ 1 crore adjusted towards incremental requirement of Minimum Required Corpus (MRC) from the interest accrual on the cash contribution by NCL, NSE and NSE's Contribution on behalf of members, MSE and Financial Disincentive respectively. In addition to the above, fines & penalties collected by NCL amounting to ₹ 2,113.52 crores and an amount of ₹ 937.85 crores being Income from investments of Core SGF funds have been credited to Core SGF.

NCL's contribution to Core SGF for own contribution and contribution on behalf of Member for the financial year ended March 31, 2025 is ₹ 1,900.00 crores (for the financial year ended March 31, 2024 is ₹ 1,441.00 crores) have been appropriated out of profits.

Further incremental requirement of Contribution to core SGF for financial year ended March 2025 was ₹ 1,719.82 crores (from NCL ₹ 1,476.79 crores, NSE ₹ 148.28 crores, BSE ₹ 94.75 crores).

Further, as per circular SEBI/HO/MRD2/DCAP/CIR/P/2021/03 dated January 08, 2021, SEBI has allowed transfer of excess contribution made by Stock Exchanges from Core SGF of one Clearing Corporation to the Core SGF of another Clearing Corporation in inter-operable scenario. Accordingly, ₹ 68.35 crores pertaining to contribution of NSE has been transferred to other Clearing Corporations.

(ii) SEBI vide circular no. SEBI/HO/MRD/DSA/ CIR / P/2016/125 dated November 28, 2016 has issued norms for set up of a fund and minimum corpus of such fund to guarantee the settlement of trades executed in the stock exchanges in International Financial Service Centre (IFSC). Accordingly, total Core SGF as on March 31, 2025, of NSEICC, WOS of NCL was ₹ 96.67 crores comprising of ₹86.59 crores contributed by NSEICC by appropriating reserves / profits and fines & penalties collected by NSEICC amounting to ₹ 0.11 crores & an amount of ₹ 9.97 crores being Income from investments of Core SGF funds have been credited to Core SGF. Further, NSEICC Contribution for financial year ended March 31, 2025 is ₹ 52.66 and for the financial year ended March 31, 2024, ₹ 25.03 crores.

During the F.Y. 2018-19, the Company received approval from SEBI to start clearing & settlement activities in Commodity Derivatives and commenced operations w.e.f. October 12, 2018. As required by SEBI an amount of ₹ 250 crores has been earmarked towards a separate fund to augment Settlement Guarantee Fund for Commodity Derivatives by way of appropriation from General Reserves. Further, the company has also earmarked investments amounting to ₹ 250 crores towards the same.

Deposits from members & Clearing Banks (Unsecured)

The total deposits from Members & Clearing Banks as on March 31, 2025, stood at ₹ 2,481.53 crores as against ₹ 2,015.89 crores as on March 31, 2024.

Fixed Assets

Total Gross Block as on March 31, 2025, was ₹ 397.80 crores. Total Accumulated depreciation up to March 31, 2025, was ₹ 221.56 crores. Net fixed Assets (including Capital W.I.P and ROU asset) were ₹ 176.24 crores.

Investments

The prudential policy of the Company permits to invest both long term and short-term surplus funds in to deposits of highly rated banks, bonds issued by the Central / State governments, debt-oriented schemes of high performing liquid schemes of mutual funds. Current investments were ₹ 334.08 crores as on March 31, 2025, as against ₹ 696.08 crores as on March 31, 2024.

Asset Held for sale

Asset held for sale were 289.57 crores and liabilities included in disposal group held for sale were 183.71 cores. Net Assets held for sale were 105.86 crores. The Board of Directors and Shareholders has accorded its approval for sale of entire stake in its wholly owned subsidiary namely NSEICC to NSEIX, fellow subsidiary for a consideration of ₹ 250 crores subject to approval of regulatory authorities. Company expects that the said sale to be completed within one year and accordingly the said investment has been classified as 'Asset Held for Sale' in accordance with Ind AS 105 – "Non-current assets held for sale and Discontinued Operations".

Other Non-Current and Current Assets

Total other assets (non-current and current) as on March 31, 2025 stood at ₹ 21,543.08 crores mainly comprising of cash and bank balances in current and Fixed Deposits amounting to ₹ 20,175.63 crores, interest accrued on investments and Fixed Deposits amounting to ₹ 442.87 crores, trade receivables amounting to ₹ 88.75 crores.

Other Non-Current and Current Liabilities

Total other liabilities (non-current and current) as on March 31, 2025, stood at ₹ 16,501.05 crores mainly comprising of Settlement Obligations payable ₹ 2,125.10 crores, Margins from Members ₹ 13,708.01 crores.

Taxation

The total Provision for tax (including deferred tax) for the F.Y. 2024-25 was ₹ 573.84 crores (net off tax on contribution to Core SGF) as against ₹ 449.74 crores for the F.Y. 2023-24.

Events occurring after the balance sheet date.

There are no transactions of material nature that have occurred after March 31, 2025, which could have any impact on the financial performance of the Company for the F.Y. 2024-25.

CEO - CFO CERTIFICATION

**To,
The Board of Directors
NSE Clearing Limited**

We, Vikram Kothari, Managing Director & CEO and Hardik Parikh, Chief Financial Officer of the NSE Clearing Limited hereby certify to the Board that:

- a. We have reviewed financial statements and the cash flow statement for the financial year ended on March 31, 2025, and that to the best of our knowledge and belief:
 - i. these statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading; and
 - ii. these statements together present a true and fair view of the Company's affairs and are in compliance with existing accounting standards, applicable laws and regulations.
- b. There are, to the best of our knowledge and belief, no transactions entered into by the Company during the year which are fraudulent, illegal or violative of the Company's code of conduct.
- c. We accept responsibility for establishing and maintaining internal controls for financial reporting and that we have evaluated the effectiveness of internal control systems of the Company pertaining to financial reporting and we have disclosed to the auditors and the Audit Committee, deficiencies in the design or operation of such internal controls, if any, of which we are aware and the steps we have taken or propose to take to rectify these deficiencies.
- d. We have indicated to the auditors and the Audit committee:
 - i. significant changes, if any, in internal control over financial reporting during the year;
 - ii. significant changes, if any, in accounting policies during the year and that the same have been disclosed in the notes to the financial statements; and
 - iii. instances of significant fraud of which we have become aware and the involvement therein, if any, of the management or an employee having a significant role in the Company's internal control system over financial reporting.

Place: Mumbai
Date: April 25, 2025

Vikram Kothari
Managing Director & CEO
DIN:07898773

Hardik Parikh
Chief Financial Officer

CERTIFICATE ON CORPORATE GOVERNANCE

To,
The Members,
NSE Clearing Limited

We have examined the compliance of conditions of Corporate Governance by **NSE Clearing Limited** (hereinafter referred as "Company") for the financial year ended March 31, 2025 as prescribed under Regulations 17 to 27, clauses (b) to (i) of sub-regulation (2) of regulation 46 and paras C, D and E of Schedule V of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (hereinafter referred as "Listing Regulations").

We state that compliance of conditions of Corporate Governance is the responsibility of the management, and our examination was limited to procedures and implementation thereof adopted by the Company for ensuring compliance with conditions of Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion, and to the best of our information and according to our examination of the relevant records and the explanations given to us, we certify that the Company has complied with the conditions of Corporate Governance as prescribed under Listing Regulations.

We further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the Company.

This certificate is issued solely for the purposes of complying with Listing Regulations and may not be suitable for any other purpose.

**For Mehta & Mehta,
Company Secretaries
(ICSI Unique Code P1996MH007500)**

Atul Mehta

Partner

FCS No: 5782

Place: Mumbai

UDIN: F005782G000715414

CP No.: 2486

Date: July 04, 2025

PR No.: 3686/2023

ANNEXURE 7(I) TO DIRECTORS' REPORT

**STATEMENT PURSUANT TO RULE 5(2) OF THE
COMPANIES (APPOINTMENT AND REMUNERATION OF MANAGERIAL PERSONNEL) RULES, 2014**

Sr. No.	Name & Qualifications	Age in years	Designation/ Nature of Duties	Remuneration Received (in ₹)		Experience (No. of years)	Date of Commencement of Employment	Last Employment
				Gross	Net			
1	Shri. Vikram Kothari CA ICWA.# \$	54	Managing Director & CEO	3,49,79,028	2,24,58,889	29	November 07, 2017	Executive Director J P Morgan Chase Bank
2	Ms. Rana Usman M.Com, PGDBM # \$	54	Chief Operations Officer – Clearing & Settlement	2,36,69,638	1,49,45,151	30	December 01, 2016	Sr. Asst. Vice President National Stock Exchange of India Ltd.
3	Shri. Huzefa Mahuvawala CA # \$	47	Chief Risk Officer	2,55,30,456	1,54,89,760	25	December 01, 2016	Asst. Vice President National Stock Exchange of India Ltd.
4	Shri. Uppili Krishnan Srinivasan MMS, MSC # &	50	Chief Technology Officer - Applications & Development	1,49,35,736	1,01,97,173	29	November 10, 2021	Principal Consultant and Delivery Head Tata Consultancy Services Limited
5	Shri. Pradeep Kumar Mukilmaridur LLB, BA #	56	Head Legal	1,17,14,722	83,19,616	30	December 05, 2022	Director OCTafx India Pvt Ltd
6	Ms. Hima Bindu Vakkalanka MBA # \$	51	Vice President - Operations Risk & Strategic Projects	1,59,13,645	1,03,71,077	29	September 01, 2017	Asst. Vice President National Stock Exchange of India Ltd.
7	Shri. Aniket Bhanu B.E, PGDBM #	41	Vice President - Research & Policy	1,18,93,323	81,87,428	17	July 03, 2017	Partner Giganalytics LLP

Sr. No.	Name & Qualifications	Age in years	Designation/ Nature of Duties	Remuneration Received (in ₹)		Experience (No. of years)	Date of Commencement of Employment	Last Employment
				Gross	Net			
8	Shri. Amit Pujara CA #	47	Chief Regulatory Officer & Compliance Officer	90,02,002	63,52,130	23	November 01, 2021	Compliance Officer & CFO National E-Repository Ltd
9	Shri. Amit Hatakar MMS, BE #	53	Vice President - Technology - Apps & Development	1,40,26,264	95,92,454	32	March 01, 2023	Vice President National Stock Exchange of India Ltd.
10	Shri. Nilesh Tinaikar MMS # \$ @	52	Vice President - Business Solution Group	1,48,57,547	97,33,527	29	June 01, 2023	Vice President National Stock Exchange of India Ltd.
11	Shri. Thomas Cherian BTech & MTech # @	50	Chief Technology Officer - Operations	68,63,278	47,43,595	23	April 15, 2024	Vice President - J.P. Morgan & Chase
12	Shri. Hardik Parikh BCom & CA # @	42	Chief Financial Officer	63,12,938	25,80,997	17	May 29, 2024	Deputy Vice President - The Clearing Corporation of India Ltd.
13	Shri. Vijayakumar Chandrasekaran BCom & CA, Certificate - CISM, CISA # @	49	Chief Information Security Officer	55,94,537	30,34,853	21	July 03, 2024	Chief Information Security Officer - Standard Chartered Bank, India
14	Shri. Santosh Kumar Sadasivan Bachelor of Science – BS & MBA # @	51	Vice President - IT Infrastructure	84,12,235	56,43,715	24	August 12, 2024	Head-IT Strategy Bandhan Bank Ltd.
15	Shri. Deepak Maharishi PGDM, BE #	52	Vice President - Technology - Apps & Development	92,93,459	68,96,476	29	March 08, 2023	Senior Consultant Tata Consultancy Services Limited

Sr. No.	Name & Qualifications	Age in years	Designation/ Nature of Duties	Remuneration Received (in ₹)		Experience (No. of years)	Date of Commencement of Employment	Last Employment
				Gross	Net			
16	Shri. Nirajkumar Chhangani BE #	42	Vice President - Technology Operations	96,56,245	69,29,848	18	March 01, 2023	Vice President National Stock Exchange of India Ltd.
17	Shri. Sijo Eluvathingal CA #	43	Vice President - Collaterals Operations	73,77,986	51,76,143	18	September 01, 2017	Senior Manager National Stock Exchange of India Ltd.
18	Shri. Animesh Jain BS Computer Science #	47	Vice President & Head - Application Development & Maintenance	1,04,96,643	72,69,196	25	September 04, 2023	Associate Director Secmark Consultancy Ltd
19	Shri. Sachin Shetty CA # @	44	Vice President - Risk Operations	53,81,205	39,74,035	20	September 01, 2017	Senior Manager National Stock Exchange of India Ltd.
20	Shri. Manish Karwatkar BE & MBA - IT # @	44	Vice President - Business Solution Group	52,39,592	36,17,864		April 01, 2024	Senior Executive Officer Multi Commodity Exchange of India Ltd.
21	Ms. Nisha Pillai CA # @	40	Vice President - Clearing	52,24,179	38,41,604	16	April 01, 2024	Senior Manager National Stock Exchange of India Ltd.
22	Ms. Kavita Shanbhag BE # @	47	Vice President - Technology - Apps & Development	87,68,112	59,39,106	24	April 01, 2024	National Stock Exchange of India Ltd.
23	Shri. Satish Jathan BCom # @	50	Vice President - Settlement	48,49,012	35,51,097	27	June 19, 2024	Senior Vice President - HDFC Bank Ltd.
24	Ms. Irsha Kale LLM, MBA, Bcom #	40	Associate Vice President - Human Resource	27,42,034	19,28,061	16	January 05, 2024	Chief Manager TJSB Sahakari Bank Ltd

Sr. No.	Name & Qualifications	Age in years	Designation/ Nature of Duties	Remuneration Received (in ₹)		Experience (No. of years)	Date of Commencement of Employment	Last Employment
				Gross	Net			
25	Shri. Ravin Tank BCom & CS #	40	Company Secretary	43,50,687	32,71,522	16	August 19, 2022	Senior Manager Reliance Capital Ltd
26	Shri. Amit Amlani MBA DBM # \$ @	48	Vice President - Finance	63,42,698	46,73,408	25	September 01, 2017	Chief Manager National Stock Exchange of India Ltd.
27	Ms. Mira Desai MBA, Bcom # @	52	Vice President - Technology	4,22,244	3,06,252	29	December 04, 2023	Senior Consultant Tata Consultancy Services Ltd

1. Gross Remuneration includes Salary and other benefits, Leave Encashment, Company's contribution to Provident Fund, Pension, Superannuation Fund, taxable value of perquisites etc. Net remuneration represents gross remuneration less Company's contribution to provident, Pension and superannuation funds, taxable value of perquisites, profession tax and income tax. Where applicable, the amounts also include certain allowances accrued during previous year(s) but claimed in the current year.
2. The above remuneration does not include interest on withheld variable pay of earlier years.
3. 'Employees, whose names are marked with # were Key Management Personnel under SECC Regulations during the year / Part of the year. For employees marked with \$, remuneration received includes 50% variable pay pertaining to earlier period.
4. None of the employees mentioned above are relative of any Director.
5. All Employees are in permanent employment of the company on contractual basis governed by the employment terms & conditions and service rules.
6. Employees whose name has been marked with @ were employed with the company for part of the year.
7. None of the above employees are holding any equity share in the company within the meaning of clause (iii) of sub-rule 2 of Rule 5 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014.
8. The Company does not have any Employees Stock Option Plan (ESOP) Scheme for its employees.

ANNEXURE 7(II) TO DIRECTORS' REPORT

**DISCLOSURES PURSUANT SECTION 197(12) OF THE COMPANIES ACT, 2013,
READ WITH RULE 5(1) OF THE COMPANIES (APPOINTMENT AND
REMUNERATION OF MANAGERIAL PERSONNEL) RULES, 2014**

The disclosures pertaining to remuneration in terms of Section 197 (12) of the Companies Act, 2013 read with Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 and Regulation 27 (6) of SCR (SECC) Regulations, 2018 are as per the details provided below.

i. Ratio of Remuneration of each director to the median remuneration of the employees of the Company for the Financial year

The ratio of remuneration of the Managing Director to the median remuneration of the employees of the Company for the financial year is 25.93 X

ii. The percentage increase in remuneration of each Director, Chief Financial Officer, Chief Executive Officer, Company Secretary or Manager, if any, in the Financial year

The percentage increase in remuneration of Managing Director, Company Secretary and Chief Financial Officer in the financial year is around 8%, 10.93% and 11.87% respectively.

iii. The percentage increase in the median remuneration of employees in the Financial year

There is a percentage increase in the median remuneration of employees in the financial year is around 12.75%.

iv. The number of permanent employees on the rolls of the Company

As on March 31, 2025, there are 394 employees on the rolls of the Company.

v. Average percentile increase already made in the salaries of employees other than the managerial personnel in the last financial year and its comparison with the percentile increase in the managerial remuneration and justification thereof and point out if there are any exceptional circumstances for increase in the managerial remuneration

The average percentile increase for the employees (excluding the Managing Director & CEO) effective April, 01, 2024 was 10.76% and the average percentile increase for MD & CEO effective April 01, 2024 was 8%.

Note:

- a. KMPs under Companies Act and KMPs under SECC Regulations are considered as managerial personnel.
- b. Junior management is grade Senior Manager and below

vi. **Affirmation that the remuneration is as per the remuneration policy of the Company.**

The remuneration is as per the remuneration policy of the Company.

ANNEXURE 8 TO DIRECTORS' REPORT

**INFORMATION REQUIRED UNDER REGULATION 27(5) & (6) OF THE SECURITIES
CONTRACTS (REGULATION) (STOCK EXCHANGES AND CLEARING CORPORATIONS)
REGULATIONS, 2018**

KMP Compensation - NSE Clearing

Sr. No.	KMP Name	KMP Compensation	Median of Compensation of all employees	Ratio of median of compensation of all employees against KMP compensation
1	Shri. Vikram Kothari # \$	3,19,13,028	12,00,000	26.59
2	Ms. Rana Usman # \$	2,05,76,345	12,00,000	17.15
3	Shri. Huzefa Mahuvawala # \$	2,21,16,302	12,00,000	18.43
4	Shri. Uppili Krishnan Srinivasan # &	1,45,80,173	12,00,000	12.15
5	Shri. Pradeep Kumar Mukilmaridur #	1,11,09,737	12,00,000	9.26
6	Ms. Hima Bindu Vakkalanka # \$	1,40,26,127	12,00,000	11.69
7	Shri. Aniket Bhanu # \$	1,07,86,005	12,00,000	8.99
8	Shri. Amit Pujara #	93,80,001	12,00,000	7.82
9	Shri. Amit Hatakar #	1,37,70,387	12,00,000	11.48
10	Shri. Nilesh Tinaikar # \$	1,34,60,765	12,00,000	11.22
11	Shri. Thomas Cherian # @	95,00,000	12,00,000	7.92
12	Shri. Hardik Parikh # @	1,00,00,000	12,00,000	8.33
13	Shri. Vijayakumar Chandrasekaran # @	1,00,00,000	12,00,000	8.33
14	Shri. Santosh Kumar Sadasivan # @	1,35,00,000	12,00,000	11.25
15	Shri. Deepak Maharishi #	90,97,778	12,00,000	7.58
16	Shri. Nirajkumar Chhangani #	95,03,041	12,00,000	7.92
17	Shri. Sijo Eluvathingal #	72,15,804	12,00,000	6.01
18	Shri. Animesh Jain #	1,16,31,148	12,00,000	9.69
19	Shri. Sachin Shetty #	52,43,036	12,00,000	4.37
20	Shri. Manish Karwatkar #	51,64,202	12,00,000	4.30
21	Ms. Nisha Pillai #	50,79,731	12,00,000	4.23
22	Ms. Kavita Shanbhag #	85,32,638	12,00,000	7.11
23	Shri. Satish Jathan # @	82,00,000	12,00,000	6.83
24	Ms. Irsha Kale #	34,25,000	12,00,000	2.85
25	Shri. Ravin Tank #	26,01,225	12,00,000	2.17
26	Shri. Amit Amlani # \$	1,06,29,295	12,00,000	8.86
27	Ms. Mira Desai #	70,00,000	12,00,000	5.83

Notes:

- Gross Remuneration includes Salary and other benefits, Leave Encashment, Company's contribution to Provident Fund, Pension, Superannuation Fund, taxable value of perquisites etc. Net remuneration represents gross remuneration less Company's contribution to provident,

Pension and superannuation funds, taxable value of perquisites, profession tax and income tax. Where applicable, the amounts also include certain allowances accrued during previous year(s) but claimed in the current year.

2. The above remuneration does not include interest on withheld variable pay of earlier years.
3. Employees, whose names are marked with # were Key Management Personnel under SECC Regulations during the year / Part of the year. For employees marked with \$, remuneration received includes 50% variable pay pertaining to earlier period.
4. Median for compensation to all employees is based on Cost to Company (CTC).
5. Employees whose name has been marked with @ were employed with the company for part of the year.

ANNEXURE TO THE DIRECTORS' REPORT

BUSINESS RESPONSIBILITY AND SUSTAINABILITY REPORTING FORMAT

SECTION A: GENERAL DISCLOSURE

I. Details of Listed Entity

1	Corporate Identity Number (CIN) of the Company	U67120MH1995PLC092283
2	Name of the Company	NSE CLEARING LIMITED
3	Year of Incorporation	31-08-1995
4	Registered Office address	Exchange Plaza, C-1, Block-G, Bandra Kurla Complex, Bandra (East), Mumbai – 400051
5	Corporate Address	9 th Floor, Inspire BKC, Bandra Kurla Complex, Bandra (East), Mumbai - 4000
6	Email ID	rtank@nsccl.co.in
7	Telephone	+91 22 26598100
8	Website	https://www.nseclearing.in/
9	Financial year of which Reporting is being done	F.Y. 2024-2025
10	Name of the Stock Exchange(s) where shares are listed	Not Applicable
11	Paid Up Capital	Rs. 1,445 Crores
12	Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report:	Mr. Ravin Tank, Company Secretary Telephone - +91 22 26598446 Email - rtank@nsccl.co.in
13	Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together).	Standalone
14	Name of assurance provider	Bureau Veritas (India) Private Limited
15	Type of assurance obtained	Reasonable

II. Products/Services

16. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1	Processing & Clearing services of securities transactions	NSE Clearing Limited (NCL) carries out clearing and settlement functions as per the settlement cycles provided in the settlement schedule. The clearing function of the clearing corporation is designed to work out a) what members are due to deliver and b) what members are due to receive on the settlement date.	100

17. Products/Services sold by the entity (accounting for 90% of the entity's turnover):

S. No.	Product/Service	NIC Code	% of Total Turnover contributed
1	Processing & Clearing services of securities transactions	6619	100

III. Operations

18. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of Plants	Number of Offices	Total
National	Not Applicable	10	10
International	Not Applicable	0	0

19. Markets served by the entity:

a. Number of locations

Location.	Number
National (No. of states)	28 states 8 union territories
International (No. of countries)	0

b. What is the contribution of exports as a percentage of the total turnover of the entity?

This question is not applicable to NCL as the entity is in the service industry and does not manufacture anything which needs to be exported to other nations.

c. A brief on types of customers

- 1. Clearing Members** are members of the Clearing Corporation who clear and settle deals through the Clearing Corporation for a segment in a manner and mode and are subject to the terms, conditions, and procedures prescribed for them. Clearing Members include **Self-clearing members (SCM) and Custodians**.

1.1 Self-clearing members (SCM) execute, clear, and settle their own trades and those of their clients, while Clearing Members (CM) execute trades both for themselves and clients and clear and settle their own and other members' trades. The Professional Clearing Members (PCM) solely clear and settle trades for other members who opt for their services.

1.2 Custodians handle trade settlements on behalf of their clients. They must confirm the settlement of trades upon which the settlement obligation is assigned to them. If they do not confirm, the obligation reverts to the trading member. Custodians Clearing members are also required to request Clearing Corporation for allotment of Custodian Participant (CP) code for the clients for which they wish to clear and settle.

2. Stock Exchanges

NSE Clearing Limited (NCL) is a recognized Qualified Central Counterparty (QCCP) and systemically important market infrastructure institution in the securities market regulated by SEBI. NCL provides clearing and settlement services for transactions executed on recognized stock exchanges. Currently, NSE Clearing Limited provides clearing and settlement for the Capital Market (CM) Segment, Futures and Options (FO) Segment, and Currency Derivatives (CD) Segment to the National Stock Exchange of India Limited (NSE), BSE Limited (BSE), and Metropolitan Stock Exchange of India Limited (MSEI). NSE Clearing Limited also provides clearing and settlement for the Debt Segment and Commodity Derivatives (CO) Segment of NSE.

IV. Employees

20. Details as at the end of Financial Year:

a. Employees and workers (including differently abled):

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
<u>EMPLOYEES</u>						
1.	Permanent (D)	394	278	71	116	29
2.	Other than Permanent (E)	711	555	78	156	22
3.	Total Employees (D+E)	1105	833	75	272	25
<u>WORKERS*</u>						

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
4.	Permanent (F)					
5.	Other than Permanent (G)			Not Applicable		
6.	Total workers (F + G)					
*NCL has not employed any 'worker'.						

b. Differently abled Employees and workers:

S. No	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)	0	0	0	0	0
2.	Other than Permanent (E)	0	0	0	0	0
3.	Total differently-abled employees (D + E)	0	0	0	0	0
DIFFERENTLY ABLED WORKERS						
4.	Permanent (F)					
5.	Other than permanent (G)					
6.	Total differently-abled workers (F + G)					

21. Participation/Inclusion/Representation of women

	Total (A)	No. and percentage of Females	
		No. (B)	% (B / A)
Board of Directors	8	1	12.5
Key Management Personnel	25	5	20

22. Turnover rate for permanent employees and workers

	FY 2024-25			FY 2023-24			FY 2022-23		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	10.14%	11.22%	10.48%	5.71%	11.69%	7.68%	9.66%	18.95%	12.58%
Permanent Workers	Not Applicable								

V. HOLDING, SUBSIDIARY AND ASSOCIATE COMPANIES (INCLUDING JOINT VENTURES)

23. (a) Names of holding / subsidiary / associate companies / joint ventures

S. No.	Name of the holding/subsidiary/ associate companies/ joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1	National Stock Exchange of India Limited*	Holding	100	Yes
2	NSE IFSC Clearing Corporation Limited	Subsidiary	100	No

*The National Stock Exchange of India Limited is herein referred to as 'NSE,' 'NSE group,' or 'group.'

VI. CSR DETAILS

24. (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: Yes

(ii) Turnover (in Rs.): 2,749.98 Crores

(iii) Net worth (in Rs.): 3,320.81 Crores

VII. TRANSPARENCY AND DISCLOSURES COMPLIANCES

25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If yes, then provide web-link for grievance redress policy)	FY 2024-25			FY 2023-24		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints Filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities		0	0	NA	0	0	NA
Investors (Other than shareholders)		0	0	Nil	0	0	Nil
Shareholders	Yes	0	0	NA	0	0	NA
Employees and workers	https://www.nseclearing.in/	0	0	NA	0	0	NA
Customers		0	0	NA	0	0	NA
Value Chain Partners		0	0	NA	0	0	NA
Other (please specify)*		201	0	NA	0	0	NA

*The complaints are related to direct payout to clients and routine clearing related functions.

26. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1.	Compliance	Risk & Opportunity	Risk: A Clearing House must adhere to multiple regulatory and operational compliances to safeguard investor interests and promote financial system stability. Failure to comply will lead to legal consequences and financial liabilities. Opportunity: Compliance with regulatory standards further strengthens trust and confidence in the organization. This results in heightened trading activity, greater liquidity, and enhanced market efficiency, ultimately bolstering the organization's market standing.	A robust compliance framework and regular audits are key tools to proactively mitigate operational and ethics-related risks. We have implemented several risk management measures, including real-time exposure monitoring through the Parallel Risk Management System (PRISM) and end-of-day monitoring of client-level exposures.	Positive & Negative
2.	Business Ethics	Opportunity	A Clearing House, as a guarantor of every trade, requires unwavering ethical conduct. This ensures the	NA	Positive

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
			stability of the market and protects against financial risks, fostering trust with clients and safeguarding the entire financial ecosystem.		
3.	Data Privacy	Risk & Opportunity	Risk: A Clearing House safeguards a vast amount of critical client data. Inadequate data privacy measures can lead to breaches, causing reputational damage and legal consequences and heightening systemic risks. Opportunity: Addressing data privacy concerns presents an opportunity for us to demonstrate the organization's commitment to integrity, earn stakeholder trust, and gain a competitive advantage.	To effectively mitigate cybersecurity risks, the group has established a robust cybersecurity and cyber resilience policy; and detailed SOPs. The Standing Committee on Technology (SCOT) regularly reviews the implementation of these policies and adherence to SOPs, showcasing its commitment to maintaining robust infrastructure and safeguarding assets against evolving cyber threats.	Positive & Negative
4.	Human Capital Management	Opportunity	Employees serve as the driving force of an organization, and their skills, dedication, and passion significantly impact our overall success. Effective management of human capital not only maximizes talent potential but also promotes employee engagement and boosts	NA	Positive

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
			organizational performance.		
5.	Human Rights	Risk & Opportunity	Risk: NCL is in the service sector, but we still consider human rights risks as highly relevant. By identifying potential issues like discrimination, harassment, unfair working conditions, and privacy violations within the organization, we can mitigate reputational damage, regulatory scrutiny, and loss of investor confidence. Opportunity: This commitment to responsible practices strengthens our position as a leader in the market.	Adhering to regulations and the NSE group's human rights standards enables us to proactively identify and address potential human rights issues within our organization. Every employee is required to complete mandatory e-learning modules on specific aspects of human rights, which undergo annual updates. This programme ensures that all employees are equipped to uphold human rights in their daily work.	Positive & Negative
6.	Occupational Health and Safety	Opportunity	Investing in occupational health and safety measures is essential for creating a safe, productive, and sustainable work environment. Prioritizing wellness programs improves employee's physical and mental health. This leads to reduced absenteeism, decreased incident costs, and	NA	Positive

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
			related legal liabilities. It also increases company effectiveness and boosts employee productivity.		
7.	Employee Retention and Satisfaction	Opportunity	Investing in talent is a strategic imperative for NCL. By prioritizing employee satisfaction, growth, and development, we cultivate a high-performing workforce, driving productivity, quality, and retention, all critical factors for securing a competitive edge.	NA	Positive
8.	Diversity and Inclusion	Opportunity	A diverse and inclusive workplace acknowledges individual skills, fostering broader perspectives and innovative ideas. The organization can attract a diverse pool of expertise, thereby achieving goals effectively and improving employee retention and performance.	NA	Positive
9.	Learning and Development	Opportunity	Enhancing workforce capabilities offers NCL a competitive edge in dynamic capital markets. Leveraging digital platforms and creating customized learning pathways for employees comprehensively enhances their behavioural, functional, and technical skills, thus contributing to	NA	Positive

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
			our business growth and resilience.		
10.	GHG Emissions and Energy Management	Opportunity	Emphasizing energy management, improving efficiency, and transitioning to renewable energy sources offer cost-saving opportunities while also reducing GHG emissions.	NA	Positive
11.	Waste Management	Opportunity	Effective waste management practices reduce environmental footprint and help to align with sustainability goals. NCL, as a part of the group, has adopted responsible waste management practices to ensure compliance and environmental accountability.	NA	Positive

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

Disclosure Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Policy and management processes									
1. a. Whether your entity's policy /policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
b. Has the policy been approved by the Board? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
c. Web Link of the Policies, if available	https://www.nseclearing.in/disclosures/other-disclosures								
2. Whether the entity has translated the policy into procedures. (Yes / No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
4. Name of the national and international codes/certifications/labels/standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustee) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	NSE Group has the following certifications: ISO 27001:2013 - Information security management systems ISO 27017:2015 - Information technology security techniques ISO 45001:2018 - Occupational health and safety Management systems ISO 14001:2015 - Environmental Management Systems USGBC Platinum Certification for Chennai Regional Office IGBC Gold Certificate for Kohinoor office building								

5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	NCL has established internal goals and targets related to economic, environmental, social, and governance aspects aligned with NSE's ESG Policy.
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6. Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	At NCL, we regularly monitor the progress of the established goals and targets and take necessary corrective actions.
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Governance, leadership and oversight

7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure)	
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NCL is dedicated to Environmental, Social, and Governance (ESG) principles and actively engages in sustainability initiatives to enhance its performance. We believe that collaboration with stakeholders and the advancement of sustainability initiatives are crucial to business success. Therefore, NCL partners with both internal stakeholders (including at the group level) and external stakeholders to promote sustainability. By integrating ESG consciousness into our strategic initiatives and operations, we aim to create a sustainable business model that benefits both our stakeholders and the environment.

8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	Governing Board is responsible for the implementation and oversight of the Business Responsibility policies.
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9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.	NCL leverages NSE's group-wide sustainability initiatives to enhance its environmental performance and operational resilience. The Board of Directors is responsible for decision-making on sustainability-related topics.
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10. Details of Review of NGRBCs by the Company

Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board/ Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Performance against above policies and follow up action	Y	Y	Y	Y	Y	Y	Y	Y	Y	Annually								
Compliance with statutory requirements of relevance to the principles and rectification of any non-compliances	Y	Y	Y	Y	Y	Y	Y	Y	Y	Annually								

11. Has the entity carried out independent assessment / evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.

P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
No	No	No	No	No	No	No	No	No

12. If answer to question (1) above is “No” i.e. not all Principles are covered by a policy, reasons to be stated:

Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
The entity does not consider the principles material to its business (Yes/No)									
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)									
The entity does not have the financial or/human and technical resources available for the task (Yes/No)					NA				
It is planned to be done in the next financial year (Yes/No)									
Any other reason (please specify)									

SECTION C: PRINCIPLE-WISE PERFORMANCE DISCLOSURE**PRINCIPLE 1: BUSINESSES SHOULD CONDUCT AND GOVERN THEMSELVES WITH INTEGRITY IN A MANNER THAT IS ETHICAL, TRANSPARENT AND ACCOUNTABLE****Essential Indicators****1. Percentage coverage by and awareness programmes on any of the principles during the financial year:**

Segment	Total number of training and awareness programmes held	Topics/principles covered under the training and its impact	% of persons in respective category covered by the awareness programmes
Board of Directors*	8	1. Monitoring & Supervision of Clearing Members 2. Margin models in Cash Market 3. GIFT IFSC 4. Direct payout of securities to client demat accounts (LOA - Ian sir and Piyush Sir) 5. Cybersecurity and Cyber Resilience Framework (CSCRF) 6. Enhancing Software Resiliency - SaaS Model for Business Continuity 7. Global CCPs in numbers 8. Code of Conduct for Governing Board, Directors and Committee Members	100
Key Managerial Personnel	5	1. POSH 2. Enterprise Risk Management 3. Code of Ethics and Conflict of Interest 4. Anti Money Laundering (AML)	96
Employees other than BoD and KMPs	7	1. POSH 2. Enterprise Risk Management 3. Code of Ethics and Conflict of Interest 4. Anti Money Laundering (AML)	99
Workers		Not Applicable	

*Additionally, the Public Interest Directors also attended external trainings organised by Indian Institute of Corporate Affairs (IICA) on Financial Intelligence and Director's Certification Programme in Corporate Governance held during the F.Y. 2024-25.

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and as disclosed on the Company's website);

Monetary					
	NGRBC Principle	Name of the Regulatory Enforcement Agencies/ Judicial Institutions	Amount (In INR)	Brief of the Case	Has an Appeal been preferred ? (Yes/No)
Penalty/ Fine	Nil	Nil	Nil	Nil	Nil
Settlement		Securities and Exchange Board of India	27,13,10,000	A Show Cause Notice (SCN) dated November 21, 2023 was served on the Company for its failure to maintain sufficient Inter Clearing Corporations (hereinafter referred to as Inter-CCP) collateral from Indian Clearing Corporation Limited. The Company paid the settlement amount of Rs. 27,13,10,000/- in October 2024 and SEBI disposed of the proceedings of the show cause vide settlement order date October 29, 2024 w.r.t. Inter-CCP Collateral.	No
Compounding Fee	Nil	Nil	Nil	Nil	Nil

Non-Monetary			
NGRBC Principle	Name of the Regulatory Enforcement	Brief of the Case	Has an appeal been preferred?

Agencies/Judicial Institutions				(Yes/No)
Imprisonment	Nil	Nil	Nil	Nil
Punishment	Nil	Nil	Nil	Nil

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case details	Name of the regulatory/ enforcement agencies/ judicial institutions
Nil	Nil

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Yes, the anti-bribery and anti-corruption principles are embedded within NCL's Whistle Blower, HR policies, providing comprehensive coverage to address unethical practices, including bribery and corruption. Additionally, we have e-learning modules on anti-money laundering (AML) for our employees, which cover a range of policies, procedures, and technologies aimed at preventing money laundering.

Please refer to the below link to access NCL's Whistle Blower policy:

<https://www.nseclearing.in/sites/default/files/disclosure-doc/2023-04/Whistle%20Blower%20Policy.pdf>

HR Manual/Policy is available on the intranet for employee access.

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	FY 2024-25	FY 2023-24
Directors	0	0
KMPs	0	0
Employees	0	0
Workers	Not Applicable	

6. Details of complaints with regard to conflict of interest:

	FY 2024-25		FY 2023-24	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	0	Nil	0	Nil
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	0	Nil	0	Nil

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

The question is not applicable to NCL, as there have been no instances where fines, penalties, or actions were taken by regulators, law enforcement agencies, or judicial institutions regarding cases of corruption and conflicts of interest.

8. Number of days of accounts payables ((Accounts payable *365) / Cost of goods/services procured) in the following format:

	FY 2024-25	FY 2023-24
Number of days of accounts payables	41.80	26.65

9. Open-ness of business

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties, along-with loans and advances & investments with related parties, in the following format:

Parameter	Metrics	FY 2024-25	FY 2023-24
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	-	-
	b. Number of trading houses where purchases are made from	-	-
	c. Purchases from top 10 trading houses as % of total purchases from trading houses	-	-
Concentration of Sales	a. Sales to dealers / distributors as % of total sales	-	-
	b. Number of dealers / distributors to whom sales are made	-	-
	c. Sales to top 10 dealers / distributors as % of total sales to dealers / distributors	-	-
Share of RPTs in	a. Purchases (Purchases with related parties / Total Purchases)	-	-
	b. Sales (Sales to related parties / Total Sales)	-	-

c. Loans & advances (Loans & advances given to related parties / Total loans & advances)	-	-
d. Investments (Investments in related parties / Total Investments made)	25%	10%

Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the principles during the financial year:

Total number of awareness programmes held	Topics / principles covered under the training	% age of value chain partners covered (by value of business done with such partners) under the awareness programmes
4	Member Conclave meetings are held in multiple regions to discuss key developments, providing members with insights into the company's progress and new initiatives.	Not Available

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No) If yes, provide details of the same.

Yes, NCL's Code of Conduct for Directors and Senior Management Persons outlines professional and ethical standards, ensuring compliance with all pertinent statutory laws, regulations, and internal policies. It requires Directors and committee members to avoid participating in decisions where they have a direct or indirect interest. Public Interest Directors (PIDs) in the capacity of Independent Directors also affirm their compliance with the Code of Conduct.

The Board Evaluation Policy mandates an annual assessment, which is conducted under the supervision of the Board and the Nomination and Remuneration Committee. This evaluation is essential for assessing the performance of the Board both as an individual and collective governing body, as well as the performance of its various committees as stipulated by the Companies Act, 2013 ("Board Committees"). It examines adherence to the Code of Conduct and Ethics, transparency in the disclosure of personal interests, and the effective management of potential conflicts of interest.

Please refer to the below link to access the Code of Conduct for the Directors and Senior Management Personnel:

<https://www.nseclearing.in/sites/default/files/disclosure-doc/2024-09/NCL%20Code%20of%20Conduct.pdf>

Please refer to the below link to access NCL's Board Evaluation Policy:

https://www.nseclearing.in/sites/default/files/disclosure-doc/2025-07/NCL_Board%20Evaluation%20Policy.pdf

PRINCIPLE 2: BUSINESSES SHOULD PROVIDE GOODS AND SERVICES IN A MANNER THAT IS SUSTAINABLE AND SAFE

Essential Indicators

1. **Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.**

	FY 2024-25	FY 2023-24	Details of improvements in environmental and social impacts
R&D	0	0	Not Applicable
Capex	0	0	Not Applicable

2. **a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)**

Yes, NCL implements sustainable procurement practices by leveraging the group's centralized onboarding system, which encourages vendors to comply with environmental regulations and responsible management practices.

- b. If yes, what percentage of inputs were sourced sustainably?**

100% of vendors undergo the vendor empanelment program.

3. **Describe the processes in place to safely reclaim your products for reusing, recycling, and disposing at the end of life for (a) Plastics (including packaging), (b) E-waste, (c) Hazardous waste, and (d) other waste.**

Considering the nature of our business, there is limited scope for product reuse or recycling. However, we have the following practices for managing the various waste categories:

(a) Plastics—All facilities use compostable plastic garbage bags to collect and dispose of both dry and wet waste. At Exchange Plaza, a vendor partner is engaged to compost/recycle the waste in an eco-friendly manner.

(b) E-waste: Our E-waste broadly includes computers, mainframes, scanners, PCs and related peripherals, air conditioners, and similar electronic equipment. These are disposed of through registered E-waste vendors.

(c) Hazardous waste: Due to the nature of our services, hazardous waste category is not applicable

(d) Food waste: Food waste generated at the Exchange Plaza building is managed through an onsite vermiculture system installed onsite. The resulting vermicompost is used for gardening purposes.

4. **Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.**

EPR is not applicable to NCL as the entity is in the service industry and does not produce any goods for customers.

Leadership Indicators

1. Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?

NIC Code	Name of Product /Service	% of total Turnover contributed	Boundary for which the Life Cycle Perspective / Assessment was conducted	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No) If yes, provide the web-link.
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Not Applicable

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

Name of Product / Service	Description of the risk /concern	Action Taken
---------------------------	----------------------------------	--------------

Not Applicable

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Indicate input material	Recycled or re-used input material to total material	
	FY 2024-25	FY 2023-24

Not Applicable

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

	FY 2024-25			FY 2023-24		
	Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed
Plastics						
E-waste						
Hazardous waste						
Other waste						

Not Applicable

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Indicate product category	Reclaimed products and their packaging materials as % of total products sold in respective category
	Not Applicable

PRINCIPLE 3: BUSINESSES SHOULD RESPECT AND PROMOTE THE WELL-BEING OF ALL EMPLOYEES, INCLUDING THOSE IN THEIR VALUE CHAINS

Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	% Employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care Facilities	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Permanent employees											
Male	278	278	100	278	100	0	0	278	100	278	100
Female	116	116	100	116	100	116	100	0	0	116	100
Total	394	394	100	394	100	116	29	278	71	394	100
Other than Permanent employees											
Male	555	0	0	0	0	0	0	0	0	0	0
Female	156	0	0	0	0	0	0	0	0	0	0
Total	711	0	0	0	0	0	0	0	0	0	0

b. Details of measures for the well-being of workers:

Category	% of Workers covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day care facilities	
		Number	% (B / A)	Number	% (C / A)	Number	% (D / A)	Number	% (E / A)	Number	% (F / A)
		(B)	A)	(C)	/ A)	(D)	/ A)	(E)	/ A)	(F)	A)
Permanent Workers											
Male											
Female											
Total											
Other than Permanent Workers											
Male											
Female											
Total											

c. Spending on measure towards well-being of employees and workers (including permanent and other than permanent) in the following format –

	FY 2024-25	FY 2023-24
Cost incurred on well-being measures as a % of total revenue of the company	6.96	3.88

2. Details of retirement benefits, for Current FY and Previous Financial Year.

Benefits	FY 2024-25			FY 2023-24		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100		Y	100		Y
Gratuity	100	Not Applicable	Y	100	Not Applicable	Y
ESI	0		NA	NA		NA
Others-Superannuation	1.02		Y	1		

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Yes, the premises/ offices of NSE are accessible to differently abled employees.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

NCL is committed to providing equal opportunities for all employees through its equal opportunity policy and the group's ESG policy. These policies ensure that employment opportunities and all aspects of employment are equally accessible to all qualified individuals without discrimination. As an equal opportunity employer, NCL adheres to all applicable fair employment practices and equal opportunity laws in each state where it operates. NCL strictly prohibits any discrimination against employees or applicants based on language, race, colour, religion, gender, origin, ethnicity, age, disability, marital status, sexual orientation, gender identity, or any other protected category. NCL's commitment to equality spans the entire duration of an employee's career, from recruitment to separation.

<https://www.nseclearing.in/diversity-equal-opportunity>

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Permanent employees			Permanent workers	
Gender	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100	90.9		
Female	100	50	Not Applicable	
Total	100	84.6		

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

Yes/No (If yes, then give details of the mechanism in brief)	
Permanent Workers	Not Applicable
Other than Permanent Workers	Not Applicable
Permanent Employees	Yes, NCL has the policy "Employee Grievance Policy", following is the mechanism in brief:- This policy of NSE Clearing Ltd, as far as possible prevents the occurrence of grievance and deals promptly and fairly with those which occur. NCL's preferred approach is to resolve employee grievances informally wherever possible, through discussions between the employee and his/ her Manager/Supervisor (or the human resources (HR) department if required). Where an informal process has not been successful or where it has been decided that an informal process is not adequate for the given case, the grievance shall be addressed in accordance with the process laid down in these Procedures. Formal Grievances could be in writing to the Immediate Supervisor / Head of the Department, or the employee may also prefer to directly approach the Grievance Committee stating employee's name, the nature of the complaint, the time and date of incident and such other details as the employee may consider necessary. The employee should also mention the specific remedial action requested by him / her in the grievance redressal letter. The said letter may be sent through an email, the email ID is grievance@nsccl.co.in.
Other than Permanent Employees	Currently, we don't have a grievance mechanism for our vendor resources.

7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Category	FY 2024-25			FY 2023-24		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B/A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D/C)
Total Permanent Employees						
- Male						
- Female						
Total Permanent Workers						
- Male						
- Female						

NCL does not have any employee associations

8. Details of training given to employees and workers:

Category	FY 2024-25						FY 2023-24			
	Total (A)	On Health and safety measures		On Skill Upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No.	% (B	No.	% (C		No.	% (E /	No.	% (F /
		(B)	/ A)	(C)	/ A)		(E)	D)	(F)	D)
Employees										
Male	278	165	59	237	85	181	44	24	104	57
Female	116	55	47	103	89	95	39	41	48	51
Total	394	220	56	340	86	276	83	30	152	55
Workers										
Male										
Female										
Total										

Not Applicable

9. Details of performance and career development reviews of employees and workers:

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. (B)	% (B / A)	Total (C)	No. (D)	% (D / C)
Employees						
Male	278	250	90	181	152	84
Female	116	106	91	95	64	67
Total	394	356	90	276	216	78
Workers						
Male						
Female						
Total						

10. Health and safety management system:

a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?

Yes. NCL operations are located in NSE premises, which adhere to ISO 45001 standards for occupational health and safety. In these premises, comprehensive safety measures are implemented, which include the installation of fire detection and alarm systems, fire safety equipment, emergency escape route maps, and emergency signages. The building also has expansion joints, sump pits, blast-proof film on its façade glass, and a compound wall with concertina coils.

Security is enhanced with the presence of physical security guards, bollard systems, perimeter intruder devices, and sniffer dogs. Access control systems, CCTV systems, baggage and food scanners, door frame metal detectors, and handheld metal detectors. These security measures are implemented based on their applicability and necessity. Collectively, these measures contribute to ensuring the safety and security of all individuals within the premises of NCL.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

NCL, as part of the group protocols, ensures a safe working environment through various measures, such as fire safety measures, biannual fire safety audits, regular fire drills, floor familiarization training sessions, daily briefings for physical security staff on safety protocols, periodic audits to maintain ISO certificates, regular air quality analysis in workspaces, daily workspace cleaning routines, and the scheduled disposal of E-waste.

c. Whether you have processes for workers to report the work- related hazards and to remove themselves from such risks. (Y/N)

Not Applicable

d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)

Yes. At NCL, we consider employees to be our most valuable asset. Employees are offered a comprehensive suite of health and wellness benefits, including group medical insurance with a family floater option, group personal accident insurance, and term life insurance. Additionally, annual medical check-ups are provided to employees and their spouses. The Exchange Plaza office building has a gymnasium and yoga facility accessible to all employees. Health awareness sessions, specifically tailored for female employees, are conducted across all offices. The staff welfare committee organizes regular tournaments such as table tennis, badminton, cricket, and chess for all employees. These initiatives foster a culture of wellness, teamwork, and friendly competition among employees.

11. Details of safety related incidents in the following format:

Safety Incident/Number	Category*	FY 2024-25	FY 2023-24
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0	0
	Workers		NA
Total recordable work-related injuries	Employees	0	0
	Workers		NA
No. of fatalities	Employees	0	0
	Workers		NA
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0
	Workers		NA

*Including in the contract workforce

12. Describe the measures taken by the entity to ensure a safe and healthy work place.

NSE demonstrates its commitment to creating a safe, healthy, and supportive workplace for its employees, prioritising their well-being and security. We offer a wide range of programmes designed to promote a proactive approach to health and safety.

We conduct safety training for all employees, with a focus on fire safety. Every employee, as part of onboarding, receives 1.5 hours of hands-on training on fire safety. All the offices have RO based drinking water systems, and an FSSAI license is required for all the canteen vendors operating within the premises. At Exchange Plaza, we have on-site medical facilities, which include an on-site doctor, a medical emergency room, and a medical kit in case of any medical emergencies. Employee Assistance Programme (EAP) is a support system which enables employees to deal with a wide

range of issues relating to stress, work-life balance, and any other challenges. Employees are offered periodic sessions on work-life balance, healthy habits, resilience building, and achieving a well-rounded lifestyle.

13. Number of Complaints on the following made by employees and workers:

	FY 2024-25			FY 2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	0	0	NA	0	0	NA
DS	0	0	NA	0	0	NA

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and Safety Practices	100
Working Conditions	100

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

No risks or concerns have been identified in the assessments of health and safety practices and working conditions at NCL's offices.

Leadership Indicators

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).

All NCL employees are covered by a Group Term Life Policy that insures against death from any cause, natural or accidental. It also provides coverage for permanent or partial disability. We do not have workers; hence, it is not applicable.

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

At NCL, we prioritize transparent business practices across our value chain. The NCL supplier empanelment process requires the vendors to share copies of all necessary documents to ensure that all statutory dues are deducted and deposited correctly.

3. Provide the number of employees/workers having suffered high consequence work-related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2024-25	FY 2023-24	FY 2024-25	FY 2023-24
Employees	0	0	0	0
Workers	Not Applicable			

4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment?

No, NCL does not have any transition assistance programs.

5. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices	0
Working Conditions	0

6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.

Not Applicable

PRINCIPLE 4: BUSINESSES SHOULD RESPECT THE INTERESTS OF AND BE RESPONSIVE TO ALL ITS STAKEHOLDERS

Essential Indicators

1. Describe the processes for identifying key stakeholder groups of the entity.

At NCL, we recognize the vital role of stakeholders in shaping our business strategy and understanding evolving risks and opportunities. The first Stakeholder Engagement and Materiality Assessment (SEMA) was conducted in FY 2022-23 with our leadership team. This initiative enabled the Company to identify key material topics influencing and impacting our operations. The SEMA assessment enabled NCL to identify its key stakeholders by evaluating their influence and interest concerning the organization's sustainability initiatives.

The various stakeholder groups that are of importance to us are:

- Clearing Members
- Employees
- Regulatory Bodies
- Customers
- Partner Service Providers
- Investors

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly/ others – please specify)	Purpose and scope of engagement, including key topics and concerns raised during such engagement
Clearing Members	No	• Member Help Desk - Phone Calls, E-mails • Periodic Compliance Filings • Webinars	Quarterly / Regular	• Compliance and regulatory matters
Employees	No	• Induction Programs • Training and Development Programs • Employee Engagement Programs	Quarterly / Regular	• Collecting insightful feedback from employees on their welfare and career growth • Employee motivation, career development, and individual wellness

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly/ others – please specify)	Purpose and scope of engagement, including key topics and concerns raised during such engagement
Regulators	No	• Periodic Meetings with SEBI Officials • E-mails • Phone Calls	Quarterly / Regular	• Periodic engagement with SEBI officials on key regulatory matters & important cases • Discussions on policy matters and data requirements
Customers	No	• Group Meetings • Member Help Desk - Phone Calls, E-mails	Quarterly / Regular	• Compliance and regulatory matters • Product and service-related matters
Key partner service providers	No	• Technology Conferences • Webinars and Training • Meetings and Regular Calls • E-mails	Quarterly / Regular	• Adherence to delivery standards and timelines
Investors	No	• NCL Website • Circulars	Quarterly / Regular	• Financial performance, corporate governance, strategic decisions, and feedback collection

Leadership Indicators

- 1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.**

At NCL, we have set up engagement channels customized to each stakeholder group to gather their perspectives on our business activities. These channels enable stakeholders to share their concerns and suggestions with NCL's management and play a crucial role in our risk management strategy. By integrating stakeholder feedback, we mitigate risks and seize opportunities that contribute to building a more sustainable and robust business.

- 2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.**

Yes, stakeholder consultation at NCL is instrumental in supporting the identification and management of ESG (Environment, Social, and Governance) topics. We have established diverse channels for engagement across these dimensions. In FY-2022-23, we conducted a Materiality Assessment with the participation of our leadership team. This initiative enabled us to identify key material topics influencing and impacting our operations and stakeholders.

The NSE Foundation, the CSR arm of the NSE group, collaborates with various NSE group entities, NGOs, and communities to identify, select, and implement initiatives in social and environmental sustainability. Based on suggestions from local municipal corporations, NSE has switched to biodegradable bags. Renewable energy and rainwater harvesting initiatives have also been implemented after extensive deliberations among internal stakeholders.

- 3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.**

NSE Foundation was incorporated in March 2018 as a Section 8 company and a wholly owned subsidiary of NSE. NSE Foundation serves as the central platform for implementing the corporate social responsibility initiatives across the NSE Group. Its primary mandate is to align and converge CSR efforts across group companies, thereby enhancing synergy and amplifying social impact in line with the Group's CSR Policy.

The Foundation focuses on supporting vulnerable and underserved communities, with a special emphasis on rural and tribal populations. Its current programmatic areas lie in the domain of Health particularly augmenting health infrastructure, where it works to deliver sustainable, long-term outcomes. By streamlining initiatives under a unified approach, the NSE Foundation ensures strategic resource utilisation, stronger governance, and deeper, measurable impact with a human centric approach across its areas of operation thereby upholding the NSE Groups commitment to inclusive growth and development. NSE Foundation undertook CSR projects in the focus areas of Health and Primary Education in FY 2024-25.

PRINCIPLE 5: BUSINESSES SHOULD RESPECT AND PROMOTE HUMAN RIGHTS**Essential Indicators****1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:**

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. of employees workers covered (B)	% (B / A)	Total (C)	No. of employees workers covered (D)	% (D / C)
Employees						
Permanent	394	354	90	276	257	93
Other than permanent	0	0	0	419	NA	0
Total Employees	394	354	90	695	257	37
Workers						
Permanent						
Other than permanent						
Total Workers						

Not Applicable

2. Details of Minimum wages paid to Employees and workers in the following format

Category	FY 2024-25					FY 2023-24				
	Total (A)	Equal to minimum wages		More than Minimum Wages		Total (D)	Equal to minimum wages		More than Minimum Wages	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Permanent	394	0	0	394	100	276	0	0	276	100
Male	278	0	0	278	100	181	0	0	181	100
Female	116	0	0	116	100	95	0	0	95	100
Other than Permanent	711	0	0	711	100	419	0	0	0	0
Male	555	0	0	555	100	307	0	0	0	0
Female	156	0	0	156	100	112	0	0	0	0
Workers										

Permanent

Male

Female

Other than Permanent

Male

Female

Not Applicable

3. Details of remuneration/salary/wages.**a. Median remuneration/wages:**

	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category	Number	Median remuneration/ salary/ wages of respective category
Board of Directors (BoD)	7*	42,25,000	1	33,25,000
Key Managerial Personnel	20	1,00,00,000	5	85,32,638
Employees other than BoD and KMP	258	14,82,000	111	10,41,000
Workers	Not applicable			

*Note: Mr. Vikram Kothari, Managing Director of NCL, is KMP.

As per the decision taken by the Board, NSE employees who become Directors on the Boards of its subsidiaries are not eligible for sitting fees from such companies. NCL is one of the subsidiaries of NSE. Mr. Ian Desouza and Mr. Piyush Chourasia, employees of NSE, are NSE's representative on the Board of NCL. Accordingly, they were not paid any sitting fee for the Board or committee meetings attended by them.

b. Gross wages paid to females as % of total wages paid by the entity, in the following formats:

	FY 2024-25	FY 2023-24
Gross wages paid to females as % of total wages.	24.14%	27.18

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes, our Employee Grievance Policy serves as the focal point for addressing all human rights issues within the company. The Internal Committee (IC) acts as a focal point for POSH complaints. All employees have access to HR policies through a dedicated HR portal. Employees are provided a comprehensive overview of HR policies during their induction and onboarding process. Employees are encouraged to raise any grievances related to human rights violations, ensuring a proactive approach to addressing such concerns.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

The Grievance Redressal procedure provides a structured platform for employees to formally raise grievances and discuss problems or concerns regarding discrimination, harassment, and unfair labour practices. Led by a senior member, the Grievance Redressal Committee conducts impartial investigations to ensure fairness and thoroughness in addressing filed grievances. Additionally, employees can report any instances of human rights violations through the whistle-blower mechanism. This mechanism safeguards the confidentiality of the complainant, and appropriate actions are taken based on the investigation.

6. Number of Complaints on the following made by employees and workers:

	FY 2024-25			FY 2023-24		
	Filed during the year	Pending resolution at the End of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	0	0	Nil	0	0	Nil
Discrimination at workplace	0	0	Nil	0	0	Nil
Child Labour	0	0	Nil	0	0	Nil
Forced Labour /Involuntary Labour	0	0	Nil	0	0	Nil
Wages	0	0	Nil	0	0	Nil
Other human rights related issues	0	0	Nil	0	0	Nil

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

	FY 2024-25	FY 2023-24
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act,2013(POSH)	0	0
Complaints on POSH as a % of female employees/workers	0	0
Complaints on POSH upheld	0	0

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

At NCL, we prioritize creating a workplace where everyone feels valued, respected and safe. To achieve this, we have implemented a robust Prevention of Sexual Harassment (POSH) policy. This policy outlines clear guidelines and procedures for preventing, prohibiting, and addressing any instances of sexual harassment, ensuring a work environment free from such misconduct. Our Internal Committee (IC) plays a vital role in upholding this commitment. The IC is responsible for conducting thorough investigations and ensuring fair and prompt resolutions. Furthermore, the IC safeguards complainants by guaranteeing a safe space to report their experiences and prohibiting any retaliation for coming forward. By implementing these practices, NCL demonstrates its unwavering commitment to fostering a work environment where all employees feel secure, respected, and empowered to reach their full potential.

9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

Yes, Procurement process of NCL involves vendors aligning with the Supplier Code of Conduct, which prioritises human rights. The Code encourages vendors to comply with ESG clauses, including those related to human rights. This process helps establish a foundation for ethical business practices within the supply chain and cultivates a culture of respect for human rights across the NCL operations

10. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labour	100
Forced/involuntary labour	100
Sexual harassment	100
Discrimination at workplace	100
Wages	100
Others – please specify	NA

11. Provide details of any corrective actions taken or underway to address significant risks

/ concerns arising from the assessments at Question 10 above.

No risks/concerns had arisen from the assessments at Question 10 above.

Leadership Indicators

1. Details of a business process being modified/introduced as a result of addressing human rights grievances/complaints.

No complaints regarding human rights violations have been reported across the organization, so no modifications to business processes were necessary.

2. Details of the scope and coverage of any Human rights due diligence conducted.

We have not conducted any human rights due diligence.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes, NCL has provisions in place, such as wheelchairs, lifts, and security/housekeeping personnel assisting differently abled visitors, that make the entity's premises/office accessible to them, as per the requirements of the Rights of Persons with Disabilities Act, 2016.

4. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Sexual harassment	0
Discrimination at workplace	0
Child labour	0
Forced Labour/Inventory Labour	0
Wages	0
Others – please specify	0

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments in Question 4 above.

Not Applicable

PRINCIPLE 6: BUSINESSES SHOULD RESPECT AND MAKE EFFORTS TO PROTECT AND RESTORE THE ENVIRONMENT

Essential Indicators

1. Details of total energy consumption (Giga Joules) and energy intensity in the following format:

Parameter*	FY 2024-25	FY 2023-24
From renewable sources		
Total electricity consumption (A)	4,290	4,956
Total fuel consumption (B)	-	-
Energy consumption through other sources (C)	-	-
Total energy consumption from renewable sources (A+B+C)	4,290	4,956
From non-renewable sources		
Total electricity consumption (D)	7,957	22,607
Total fuel consumption (E)	54	100
Energy consumption through other sources (F)	-	-
Total energy consumed from non-renewable sources (D+E+F)	8,011	22,707
Total energy consumed (A+B+C+D+E+F)	12,301	27,663
Energy intensity per rupee of turnover (Total energy consumed / Revenue from operations) GJ/Crores	4	12.73
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed / Revenue from operations adjusted for PPP) GJ/Crores	92	291.37
Energy intensity in terms of physical output	NCL does not generate any physical output in terms of product.	
Energy intensity (optional) – the relevant metric may be selected by the entity	-	-
Source of emission factor	https://www.ipcc-nggip.iges.or.jp/public/2006gl/pdf/2_Volume2/V2_2_	

Ch2_Stationary_Combustion.pdf

PPP Conversion Factor used

20.6

22.8

Source of the PPP Conversion Factor

www.imf.org

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes. Bureau Veritas (India) Private Limited

2. Does the entity have any sites/facilities identified as designated consumers (DCs) under the Performance, Achieve, and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

The question is not applicable as NCL is not an obligated entity and doesnot fall under the PA scheme of the Government of India.

3. Provide details of the following disclosures related to water in the following format:

Parameter	FY 2024-25	FY 2023-24
Water withdrawal by source (in kilolitres)		
(i) Surface water	-	-
(ii) Groundwater	-	-
(iii) Third party water	6,872	7,139
(iv) Seawater / desalinated water	-	-
(v) Others	-	-
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	6,872	7,139
Total volume of water consumption (in kilolitres)	6,872	7,139
Water intensity per rupee of turnover (Total Water consumption / Revenue from operations) KL/Crores	0.98	3.29
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption / Revenue from operations adjusted for PPP) KL/Crores	20.22	75.20
Water intensity in terms of physical output	NCL does not generate any physical output in terms of product.	

Parameter	FY 2024-25	FY 2023-24
Water intensity (optional) – the relevant metric may be selected by the entity		
PPP Conversion Factor used	20.6	22.8
Source of the PPP Conversion Factor	www.imf.org	

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes. Bureau Veritas (India) Private Limited

4. Provide the following details related to water discharged:

Parameter	FY 2024-25	FY 2023-24
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water		
- No treatment	-	-
- With Treatment – please Specify level of treatment	-	-
- (Tertiary level of treatment)		
(ii) To Groundwater		
- No treatment	-	-
- With treatment – please specify level of treatment.	-	-
(iii) To Seawater		
- No treatment	-	-
- With treatment – please specify level of treatment.	-	-
(iv) Sent to third-parties		
- No treatment	-	-
- With treatment – please specify level of treatment.	-	-
(v) Others		

Parameter	FY 2024-25	FY 2023-24
- No treatment (municipal sewage)	-	4,375
- With treatment – Please specify level of treatment.	-	-
Total water discharged (in kilolitres)	-*	4,375

*In previous year, outflowing water was reported as discharge. However, this has now been reclassified as internal recycling and hence total discharge is reported as nil for current year.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes. Bureau Veritas (India) Private Limited

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

NCL adopts NSE's sustainable water management practices. The offices at the Mumbai, Exchange Plaza building and Chennai are equipped with Sewage Treatment Plant (STP), enabling the recycling of water from domestic use and flushing. Post-treatment, the water is repurposed for the cooling towers in the air conditioning system and for gardening purposes. This practice significantly reduces our freshwater consumption and contributes to water conservation efforts. This initiative enabled NSE to conserve around 23,238 kilolitres of water in FY 2024-25.

6. Please provide details of air emissions (other than GHG emissions) by the entity in the following format:

Parameter	Please specify unit	FY 2024-25	FY 2023-24
NOx	NCL is a Clearing Corporation and its operations do not have any continuous sources of air emissions. The DG sets installed by NSE group are used solely during power outage's the air emission (excluding GHGs) are not material.		
SOx			
Particulate matter (PM)			
Persistent organic pollutants (POP)			
Volatile organic compounds (VOC)			
Hazardous air pollutants (HAP)			
Others – please specify			

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Not Applicable

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	FY 2024-25	FY 2023-24
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	4	7
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	1,607	4,496
Total Scope 1 and Scope 2 emission intensity per rupee of turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)	MtCO ₂ e/crores	1	2.07
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)	MtCO ₂ e/crores	12	47.44
Total Scope 1 and Scope 2 emission intensity in terms of physical output	NCL does not generate any physical output in terms of product.		
Total Scope 1 and Scope 2 emission intensity (optional) – the relevant metric may be selected by the entity			
Source of emission factor	• CERC CDM– CO₂ Baseline Database • IPCC – Chapter 2 (Stationary Combustion)		
PPP Conversion Factor used		20.6	22.9
Source of the PPP Conversion Factor		www.imf.org	

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes. Bureau Veritas India Private Limited

8. Does the entity have any project related to reducing Green House Gas emission? If yes, then provide details.

NCL, as a part of the NSE, supports group-level initiatives to reduce GHG emission footprint. We have installed a 20 KW solar power plant at our Mumbai and Chennai locations. This plant helps power part of the lighting load at Exchange Plaza in Mumbai and our BCP premises in Chennai. Additionally, our wind plant in Satara, Maharashtra,

commissioned in 2014, has a capacity of 5 MW (four units of 1.25 MW each). According to Maharashtra's renewable energy policy, the electricity generated by this plant is supplied to the grid, offsetting our power consumption.

NSE has also implemented several energy efficiency initiatives to cut down on power usage and improve operational efficiency. These include installing lighting transformers and LED lights across our offices to regulate power supply and extend the life of our lighting systems. We have integrated a thermal energy storage system into our air-conditioning system to manage peak load by using chilled water stored overnight. Occupancy sensors have been installed throughout our offices to control lighting based on actual usage. Our Building Management System (BMS) ensures that air-conditioning units operate only when needed, and automatic power factor control units improve the overall power factor of the building, earning cost-saving incentives from our power supplier. These measures collectively enhance our building's energy efficiency and reduce its environmental impact. Additionally, we use environment-friendly gases in our firefighting equipment and air conditioning systems (i.e., R134a, R407a, and R410a). These efforts demonstrate our commitment to reducing our environmental footprint.

9. Provide details related to waste management by the entity in the following format:

Parameter	FY 2024-25	FY 2023-24
Total Waste generated (in metric tonnes)		
Plastic waste (A)	0.02	0.003
E-waste (B)	1.38	1.77
Bio-medical waste (C)	-	-
Construction and demolition waste (D)	40.28	-
Battery waste (E)	2.93	0.74
Radioactive waste (F)	-	-
Other Hazardous waste. Please specify, if any. (G)	0.17	-
Other Non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e. by materials relevant to the sector)	0.38	1.72
Total (A+B+C+D+E+F+G+H)	45.16	4.24
Waste intensity per rupee of turnover (Total waste generated / Revenue from operations) Tons/Crore	0.02	0.002
Waste intensity per rupee of turnover adjusted Purchasing for Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP) Tons/Crore	0.34	0.04

Parameter	FY 2024-25	FY 2023-24
Waste intensity in terms of physical output	NCL does not generate any physical output in terms of product.	
Waste intensity (optional) – the relevant metric may be selected by the entity		

For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)

Parameter	FY 2024-25	FY 2023-24
Category of waste		
(i) Recycled (Authorized vendor)	4.31	2.51
(ii) Re-used	-	-
(iii) Other recovery operations (Vermicompost)	0.18	1.72
Total	4.49	4.23

For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)

Category of waste		
(i) Incineration	-	-
(ii) Landfilling	-	-
(iii) Other disposal operations	40.28	0.003
Total	40.28	0.003

Source of emission factor

PPP Conversion Factor used

Source of the PPP Conversion Factor

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes. Bureau Veritas (India) Private Limited

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

At NCL, we are committed to the NSE group's three "R"s of waste management: Reduce, Reuse and Recycle. We have set up systems to carefully track the amount and types of waste we produce. This helps us find ways to cut down on waste and improve efficiency.

Because of our business, we mostly produce a lot of household and electronic waste.

Our E-waste policy makes sure that electronic waste is recycled responsibly by vendors approved by the Central Pollution Control Board (CPCB) and the Maharashtra Pollution Control Board (MPCB). We also use a Document Management System (DMS) to store and manage all approval notes digitally. This reduces the need for paper, cutting down on paper waste in our offices. Additionally, compostable materials like food waste from the canteen, garden waste and paper are processed through our in-house vermicomposting system.

Please refer to the below link to access NCL's E-waste

https://www.nseclearing.in/sites/default/files/disclosure-doc/2024-11/E-Waste_Policy.pdf

- 11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals/clearances are required, please specify details in the following format:**

Sl No.	Location of operations/offices	Type of operations	Whether the conditions of environmental approval/clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any.
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NCL doesnot have offices in/around ecologically sensitive areas.

- 12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:**

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
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NSE did not conduct environmental impact assessments during the financial year because no projects require such assessments.

- 13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:**

S. No.	Specify the law / regulation / guidelines which was not complied with	Provide details of the non-compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken, if any
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No such non-compliances have been noticed.

Leadership Indicators

1. Water withdrawal, consumption and discharge in areas of water stress (in kilolitres):
For each facility / plant located in areas of water stress, provide the following information:

- (i) Name of the area
- (ii) Nature of operations
- (iii) Water withdrawal, consumption and discharge in the following format:

Parameter	FY 2024-25	FY 2023-24
Water withdrawal by source (in Kilolitres)		
(i) Surface water	0	0
(ii) Groundwater	0	0
(iii) Third party water	0	0
(iv) Seawater / desalinated water	0	0
(v) Others	0	0
Total volume of water withdrawal (in kilolitres)	0	0
Total volume of water consumption (in kilolitres)	0	0
Water intensity per rupee of turnover (Water consumed / turnover)	0	0
Water intensity (optional) – the relevant metric may be selected by the entity	0	0
Water discharge by destination and level of treatment (in kilolitres)		
(i) Into Surface water		
- No treatment	0	0
- With treatment – please specify level of treatment	0	0
(ii) Into Groundwater		
No treatment	0	0
With treatment – please specify level of treatment	0	0
(iii) Into Seawater		

Parameter	FY 2024-25	FY 2023-24
No treatment	0	0
With treatment – please specify level of treatment	0	0
(iv) Sent to third-parties		
No treatment	0	0
With treatment – please specify level of treatment	0	0
(v) Others		
No treatment	0	0
With treatment – please specify level of treatment	0	0
Total water discharged (in kilolitres)	0	0

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Not Applicable

2. Provide the details of total Scope 3 emissions & its intensity in the following format:

Parameter	Unit	FY 2024-25	FY 2023-24
Total Scope 3 emissions (Break-up of the GHG into CO2, CH4, N2O, HFCs, PFCs, SF6, NF3, if available)	Metric tonnes of CO2 equivalent	-	-
Total Scope 3 emissions per rupee of turnover		-	-
Total Scope 3 emission intensity (optional) – the relevant metric may be selected by the entity		-	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

3. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

The question can only be answered if NCL has responded to the question (P6-E-11).

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

Sr. No.	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1	Wind Power Plant	The NSE group has a 5 MW wind power plant in Satara, Maharashtra that contributes electricity to the local grid. This offsets their power consumption at any location within the grid	The wind power plant has generated 93,81,765 KWh electricity units in the FY 2024-25.
2	Solar Power Plant	20 kW solar power plants have been installed at Exchange Plaza and BCP Premises in Chennai. These plants harness solar power to meet part of the buildings' lighting needs.	NSE group has diverted 18,221 KWh from the grid to solar energy in the FY 2024-25.
3	Lighting Transformer and LED Lights	Lighting transformers have been installed in the lighting feeders to regulate the incoming power supply. This reduces excess power consumption and extends the life of the luminaries. Additionally, LED lights have been installed throughout the entire office area.	These measures have saved around 39,004 KWh units in the FY 2024-25.
4	Thermal Energy Storage System	NSE group implemented a thermal storage system at Exchange Plaza. AC chillers now operate at night, generating chilled water stored in tanks. During the day, this chilled water is used for air conditioning, shifting energy consumption away from peak hours. This allowed NSE to surrender excess contracted power.	NSE group has saved around 16,921 Demand KVA in the FY 2024-25.
5	Occupancy Sensors	Motion/Occupancy Sensors have been installed throughout the office to operate the lights automatically based on occupancy in the respective areas.	The value of this initiative in terms of the outcome cannot be precisely measured.